

TREATMENT OF INVESTORS

1. Basis and Character of Treatment Obligations		Access	7.112
A. The Rule of Law in International Investment Protection	7.01	Delay	7.118
B. Current Structure of Investor Treatment		Due process	7.128
Provisions	7.26	Content of the judgment	7.134
Non-contingent standards	7.29	Finality	7.137
Typical model BIT	7.29	Relation with other causes of action	7.147
NAFTA	7.33	The legislative function: the scope of regulatory stability	7.153
Energy Charter Treaty	7.35	Host State law at the time of investment	7.158
US revised model BIT	7.36	Subsequent change in host state law	7.162
Trans-Pacific Partnership Agreement	7.39	The executive function: review of administrative action	7.174
Canada-European Comprehensive Economic and Trade Agreement	7.41	Legitimate expectations	7.179
Contingent standards	7.45	Due process in administrative decision-making	7.191
Typical model BIT	7.45	Substantive unfairness	7.208
Pre- and post-establishment protection	7.47	Countervailing factors	7.228
C. Evolution of the Treatment Standards	7.54	Objective basis for decision	7.231
Treaty and custom in the origins of the standards	7.55	No disproportionate impact on foreign investor	7.233
Diplomatic protection of investors	7.62	Absence of legal right	7.234
Person and property	7.67	Investor conduct and duty to investigate	7.239
Exhaustion of local remedies	7.68	B. Full Protection and Security	7.240
Contested status	7.69	Standard of care	7.246
Dissent over primary rules	7.70	Against whose acts does the protection apply?	7.253
Effect of development through bilateral treaties	7.71	What interests does the standard protect?	7.257
The failure of multilateral consensus	7.73	C. National Treatment	7.267
Implications for contemporary treatment provisions	7.79	General considerations	7.267
Wide acceptance of fair and equitable treatment	7.80	Treatment	7.277
Impact of the abrogation of the local remedies rule	7.81	Like circumstances—the comparator	7.280
Custom in the content of treaty rights	7.82	No less favourable treatment—the comparison	7.293
D. The Process of Interpretation	7.85	Nexus to rational government policies	7.295
General rule of interpretation	7.88	D. Most-Favoured-Nation Treatment	7.298
Collateral and subsequent agreements	7.91	General considerations	7.298
Relevant rules of international law	7.95	Application to dispute settlement provisions	7.317
Special meanings	7.97	3. An Approach to the Determination of Contested Rights	7.343
<i>Travaux préparatoires</i>	7.98	A. General	7.345
2. Modern Application in Investment Arbitral Awards	7.99	B. Non-Contingent Standards	7.349
A. Fair and Equitable Treatment	7.102	Fair and equitable treatment	7.351
The judicial function: denial of justice	7.103	Full protection and security	7.362
		C. Contingent Standards	7.364

1. Basis and Character of Treatment Obligations

A. The Rule of Law in International Investment Protection

- 7.01** Of all the catalogue of rights vouchsafed to investors under bilateral investment treaties (BITs), none has proved more elusive, or occasioned as much recent controversy as the guarantee of ‘fair and equitable treatment’.¹ The provision lies at the centre of a set of interlocking treatment obligations that will form the subject of this chapter: the non-contingent standards of fair and equitable treatment, full protection and security; and the contingent standards of national treatment, most-favoured-nation treatment (MFN), and non-discrimination.²
- 7.02** The assurance of fair and equitable treatment simply provides, with Delphic economy of language, that investments shall ‘at all times be accorded fair and equitable treatment and shall enjoy full protection and security in the territory [of the reciprocating host State]’.³
- 7.03** No doubt the beguiling simplicity of the phrase secured its easy passage into treaty practice. What State seeking to attract foreign investment could fail to agree to make such provision? Indeed, what State would concede that its legal system might fail to provide such an elementary protection? Yet, despite having been included almost universally in the modern investment treaty lexicon, this guarantee has until the recent development of investment treaty arbitration received scant attention or analysis. The extent of the neglect was such that one commentator concluded an exhaustive survey of the practice in 1999 by observing ‘the paucity of jurisprudence’.⁴ BITs, he observed ‘are yet to generate a substantial flow of international litigation, and, even where litigation has occurred, the fair and equitable standard has not been decisive in the proceedings.’⁵ The most that could be said on the meaning of the standard was the tentative conclusion that it barred ‘host countries from treating foreign investors unfairly and inequitably’.⁶
- 7.04** The investment arbitration experience has turned a drought into a flood. It has produced an important stream of jurisprudence, in which the fair and equitable standard has often emerged as the outcome-decisive right, such that it has been described as ‘the most important and frequently adjudicated question in international investment law.’⁷ National treatment and MFN treatment have also figured in recent awards. But a determination of their content has, on the whole, proved less controversial,⁸ even if their application has on occasion produced results that may not have been anticipated by host State or investor.⁹ By

¹ For more studies of the standard, see: Paparinskis (2013); Kläger (2011); UNCTAD, *Fair and Equitable Treatment: A Sequel* (UNCTAD Series on Issues in International Investment Agreements II, 2012).

² On the meaning of this distinction see H Walker, ‘Modern Treaties of Friendship, Commerce and Navigation’ (1957–1958) 42 Minn LR 805; S Vasciannie, ‘The Fair and Equitable Treatment Standard in International Investment Law and Practice’ (1999) 70 BYIL 99, 105–7.

³ UK model BIT (Appendix 4 below) art 2(1).

⁴ Vasciannie, ‘The Fair and Equitable Treatment Standard’ 162–3.

⁵ *ibid.*

⁶ *ibid* 163.

⁷ J Álvarez, *The Public International Law Regime Governing International Investment* (2011) 177.

⁸ But see para 7.298 *et seq* below for the controversy over the application of the MFN clause to dispute resolution.

⁹ eg the use of the MFN clause to apply protections from a BIT between Croatia and Chile for the benefit of a Malaysian investor in Chile in *MTD Equity Sdn Bhd v Chile* (Award) ICSID Case No ARB/01/7, 12 ICSID Rep 6, IIC 174 (2004, Rigo Sureda P, Lalonde & Oreamuno Blanco); upheld on annulment 13 ICSID Rep 500, IIC 177 (2007, Guillaume P, Crawford & Noriega).

contrast, fair and equitable treatment has emerged from the shadows of investment law to become a potent tool in the assessment of the adequacy of the judicial and administrative systems of host States. For that very reason, its dangers have also become apparent, perhaps especially when the legal systems placed under the microscope of the international arbitral process are those of developed Western States.

In the course of this process, arbitral tribunals have had to determine for themselves the content of the concept and its application to the many and various contexts of the State regulation of the modern globalised economy. Hazardous waste disposal in Mexico;¹⁰ populist television channels in the Czech Republic;¹¹ the building of a new town in Chile;¹² and the conduct of a jury trial in Mississippi¹³ have all provoked international investment disputes. These cases of the early twenty-first century are a far cry from the mistreatment of aliens in jail, or the failures in the investigation of crimes against the person, which populate the early twentieth-century reports of arbitral awards. 7.05

The transformation of the standard in the theatre of rights and duties that is international arbitration has exposed the relative poverty of the interpretation process when applied to the open-textured language of an investment treaty. Tribunals have turned to dictionaries for definitions of the concepts of 'fair' and 'equitable'. But, because these terms are general descriptors of the qualities of a system of justice, it is essential first to ask: by reference to what system of law are these concepts to derive their meaning? One can look in vain for guidance from *travaux préparatoires*. The bilateral process does not typically produce informative guidance on the public record as to the parties' intentions, and when such information does become available,¹⁴ the results are often inconclusive. 7.06

The process of the adjudication of these rights has also exposed considerable divergencies in approach, both between arbitrators, and between arbitrators and contracting States. Some of these differences have had serious consequences for litigants, as well as for the future development of the law in this area. In *Metalclad v Mexico*, the Tribunal's finding that Mexico had failed to provide such treatment because its administrative procedures were not transparent¹⁵ was reversed in a challenge to the award in the Canadian courts on the ground that the requirement of transparency was outside the arbitrators' jurisdiction.¹⁶ The Tribunal in *Pope* 7.07

¹⁰ The context for a number of the initial disputes: *Azinian v Mexico* (Award) ICSID Case No ARB(AF)/97/2, 5 ICSID Rep 269, IIC 22 (NAFTA, 1999, Paulsson P, Civiletti & von Wobeser); *Metalclad Corp v Mexico* (Award) ICSID Case No ARB(AF)/97/1, 5 ICSID Rep 209, IIC 161 (NAFTA, 2000, Lauterpacht P, Civiletti & Siqueiros); *Técnicas Medioambientales Tecmed SA v Mexico* (Award) ICSID Case No ARB(AF)/00/2, 10 ICSID Rep 130, IIC 247 (2003, Grigera Naón P, Bernal Vereá & Fernández Rozas); *Waste Management Inc v Mexico* (Award) ICSID Case No ARB(AF)/00/3, 11 ICSID Rep 361, IIC 270 (NAFTA, 2004, Crawford P, Civiletti, & Magallón Gómez).

¹¹ *Lauder v Czech Republic* (Award) 9 ICSID Rep 62, IIC 205 (UNCITRAL, 2001, Briner C, Cutler & Klein); *CME Czech Republic BV v Czech Republic* (Partial Award) 9 ICSID Rep 121, IIC 61 (UNCITRAL, 2001, Kühn C, Schwebel & Hándl (dissenting)).

¹² *MTD v Chile*.

¹³ *Loewen Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/98/3, 7 ICSID Rep 421, IIC 254 (NAFTA, 2003, Mason P, Mikva & Mustill).

¹⁴ As it did dramatically in *Pope & Talbot Inc v Canada* (Award on Damages) 7 ICSID Rep 148, IIC 195 (NAFTA/UNCITRAL, 2002, Dervaird P, Belman & Greenberg).

¹⁵ *Metalclad*.

¹⁶ sub nom *Mexico v Metalclad Corp* 2001 BCSC 664, 5 ICSID Rep 236 (S Ct BC).

& *Talbot Inc v Canada* decided that it was not limited in its interpretation of the standard in the North American Free Trade Agreement (NAFTA) by the minimum standard of treatment at customary international law.¹⁷ The Free Trade Commission of the three State Parties responded, while the arbitration was still on foot, by issuing an Interpretation of the treaty provision in which it confirmed that ‘the concepts of “fair and equitable treatment” and “full protection and security” do not require treatment in addition to or beyond that which is required by the customary international law minimum standard of treatment of aliens’.¹⁸

7.08 Thus, the appearance of virtual unanimity in State practice, which is gleaned from a comparison of the language of the multitude of treaties, masks an absence of settled agreement over content. Although the decisions of the decade since the first edition of this work have brought greater clarity to some aspects of the standard, it cannot yet be said that a *jurisprudence constante* has been achieved. Much of the controversy has focused on whether, as FA Mann once contended, the terms ‘are to be understood and applied independently and autonomously’¹⁹ and ‘envisage conduct which goes far beyond the minimum standard’²⁰ of the treatment of aliens at customary international law. Even where the treaty language expressly refers to ‘fair and equitable treatment in conformity with the principles of international law,’ one tribunal has found it possible to maintain that this merely sets a floor and not a ceiling on the applicable treaty standard.²¹ The alternative view, espoused not just by the NAFTA Free Trade Commission but also in the interpretation of other BITs that do not have an express reference to an external international law standard²² is that fair and equitable treatment is synonymous with a customary concept of the minimum standard.

7.09 This latter approach, specifically required by the NAFTA Free Trade Commission and expressly called for by the language of other agreements, has not however quelled the controversy. It has served only to expose a different set of methodological issues. It converts the tribunal’s enquiry from one of treaty interpretation to ascertainment of the content of custom. Such a task poses particular challenges in this controversial field. The Tribunal in *Glamis Gold*²³ took as its point

¹⁷ *Pope & Talbot Inc v Canada* (Award) 7 ICSID Rep 102, IIC 193 (NAFTA/UNCITRAL, 2001, Dervaird P, Belman & Greenberg).

¹⁸ NAFTA Free Trade Commission (FTC), Interpretation of NAFTA Chap 11 (31 July 2001) 6 ICSID Rep 567, 568 [emphasis added].

¹⁹ FA Mann, ‘British Treaties for the Promotion and Protection of Investments’ (1981) 52 BYIL 241, 244. But of the considered view which he subsequently expressed in the 5th edition of *The Legal Aspect of Money* (1992) 526, referring to ‘... the overriding principle of “fair and equitable treatment”, which, it must be repeated, in turn is perhaps no more than a (welcome) contractual recognition and affirmation of that principle of customary international law which requires States to act in good faith, reasonably, without abuse, arbitrariness, or discrimination’. The formulation is in substance repeated in the 6th edition, C Proctor, *Mann on the Legal Aspect of Money* (2005) para 22.53. See JC Thomas, ‘Reflections on Article 1105 of NAFTA: History, State Practice and the Influence of Commentators’ (2002) 17 ICSID Rev-FILJ 21, 57.

²⁰ *ibid.*

²¹ *Compañía de Aguas del Aconquija SA v Argentina* (Award) ICSID Case No ARB/97/3, IIC 307 (2007, Rowley P, Bernal Vereja & Kaufmann-Kohler) (*Vivendi II*) para 7.4.6. The Tribunal relied upon *Azurix Corp v Argentina* (Award) ICSID Case No ARB/01/12, 14 ICSID Rep 374, IIC 24 (2006, Rigo Sureda P, Lalonde & Martens) para 361. However, the *Azurix* Tribunal was interpreting a provision that accorded investors fair and equitable treatment ‘and shall in no case be accorded treatment less than required by international law.’ Such a provision by its terms sets a floor. In any event the *Azurix* Tribunal found that the applicable standards of custom and treaty ‘may in substance be the same’ (para 364).

²² eg Statement by Swiss Foreign Office [1980] *Annuaire Suisse de Droit International* 178.

²³ *Glamis Gold Ltd v United States of America* (Award) IIC 380 (NAFTA/UNCITRAL, 2009, Young C, Caron & Hubbard) paras 538–40; followed *Cargill Inc v Mexico* (Award) ICSID Case No ARB(AF)/05/2, IIC 479 (NAFTA, 2009, Pryles P, Caron & McRae) para 267.

of departure a well-known formulation of the customary standard offered in a 1926 arbitral award, *Neer*,²⁴ and held that the claimant bears the burden of proof to establish by reference to evidence of concordant state practice and *opinio juris* that the customary standard has changed.²⁵ Yet, as the Tribunal pointed out in *RDC v Guatemala*, '[i]t is ironic that the decision considered reflecting the expression of the minimum standard of treatment in customary international law is based on the opinions of commentators and, on its own admission, went further than their views without an analysis of State practice followed because of a sense of obligation. By the strict standards of proof of customary international law applied in *Glamis Gold*, *Neer* would fail to prove its famous statement ...'.²⁶

By contrast, other tribunals have argued that the minimum standard has evolved since 1926. In *Merrill & Ring*,²⁷ the Tribunal suggested *obiter* that the standard as encapsulated in *Neer* was simply a 'first track' in the development of the minimum standard. *Neer* had been rendered largely obsolete by the subsequent emergence of the international law of human rights, applicable to aliens and nationals alike. There is, the Tribunal proposed, a discernable second track in the development of the standard so far as concerns investment: 'This other standard, which was much more liberal, is evidenced by the tendency of states to support the claims of their citizens in the ambit of diplomatic protection with an open mind, and without requiring a showing of "outrageous" treatment before doing so.'²⁸ 7.10

This controversy is misguided and the dichotomy presented by the opposing views is a false one on a number of levels. It takes an overly simplistic view of differences in formulation of the right in different treaties. It suggests that the only choice open to a tribunal is between a complete discretion to determine whether particular conduct is 'unfair and inequitable' on the one hand, and the application of a conception of customary international law 'frozen in amber'²⁹ at some time in the past. Most seriously of all, it falsely presents the minimum standard of treatment of aliens in customary international law as having a well-settled content. In so doing, it ignores the level of dissent among States throughout much of the twentieth century not only over the content of such a standard, but even over whether it existed at all.³⁰ 7.11

Indeed, for much of the twentieth century, the international minimum standard of treatment was vigorously opposed by many States, which saw the limit of the obligation upon them as being to accord national treatment to alien investors.³¹ In current BIT practice these 7.12

²⁴ *Neer (United States of America) v Mexico* (1926) IV RIAA 60.

²⁵ *Glamis Gold* para 601.

²⁶ *Railroad Development Corporation v Guatemala* (Award) ICSID Case No ARB/07/23, IIC 553 (2012, Rigo Sureda P, Crawford & Eizenstat) para 216 (*RDC v Guatemala*).

²⁷ *Merrill & Ring Forestry LP v Canada* (Award) IIC 427 (UNCITRAL/NAFTA, 2010, Orrego Vicuña C, Dam & Rowley), followed *Clayton and Bilcon of Delaware Inc v Canada* (Award) PCA Case No 2009-04, IIC 688 (UNCITRAL/NAFTA, 2015, Simma C, Schwartz & McRae (dissenting)) para 435.

²⁸ *Merrill & Ring* para 205.

²⁹ *ADF Group Inc v United States of America* (Second Submission of Canada pursuant to NAFTA art 1128) ICSID Case No ARB(AF)/00/1 (2002) para 33.

³⁰ E Borchard, 'The "Minimum Standard" of the Treatment of Aliens' (1940) 38 Mich LR 445. The cases cited in *Merrill & Ring* at para 206 notes 138–43 were all decided prior to 1945 and do not support the broad proposition for which they are cited.

³¹ Brownlie 612–6.

two standards, traditionally placed in opposition, are almost universally placed alongside one another without any attempt at reconciliation.

- 7.13** It is both possible and necessary to reconcile the particular treaty language with requirements of general international law. Indeed, as it was put in the important *Saluka* Award, ‘the difference between the Treaty standard ... and the customary minimum standard, when applied to the specific facts of a case, may well be more apparent than real’.³² In any event, the legal protection afforded by the guarantee of fair and equitable treatment cannot be understood without a conception of the proper function of international law in assessing the standards of justice achieved by national systems of law and administration.
- 7.14** Elihu Root, speaking on the appropriate treatment to be accorded to aliens in 1910, concluded that: ‘There is a standard of justice, very simple, very fundamental, and of such general acceptance by all civilized countries as to form a part of the international law of the world. The condition upon which any country is entitled to measure the justice due from it to an alien by the justice which it accords to its own citizens is that its system of law and administration shall conform to this general standard.’³³ Root here makes four points that continue to be of fundamental relevance in understanding the function of fair and equitable treatment today. First, he posits the *source* of the standard as being a principle of ‘general acceptance by all civilized countries’. Secondly, he sees the *concern* of the standard as being that of justice. Thirdly, the *subject matter* of the enquiry is a country’s system of law and administration. Fourthly, he saw the *rationale* for a standard which was absolute, and not merely an assurance of national treatment, as being a means of ensuring that that basic standard of justice to which the citizens of all countries ought to be entitled is at least available to the alien, who might otherwise lack the claim of a national on his own legal system. Thus, for Root, the standard was not a matter of establishing two systems of law. Rather the action mandated by the standard ‘is always action which would be equally required in case a native citizen were placed under the same circumstances of exigency’.³⁴
- 7.15** Seen in this light, the fair and equitable standard gives modern expression to a *general principle of due process* in its application to the treatment of investors.³⁵ The foundation of this principle is that, by agreeing to extend such treatment to nationals of a reciprocating country, States have accepted that there is an objective standard of treatment by which their own legal and administrative system may be judged. The standard thus encapsulates the minimum requirements of the rule of law.³⁶ A Chamber of the International Court of Justice (ICJ) expressed this idea by contrasting due process with arbitrariness: ‘Arbitrariness is not so much something opposed to a rule of law, as something opposed to the rule of law. This idea was expressed by the Court in the *Asylum* case, when it spoke of “arbitrary action” being “substituted for the rule of law” (*Asylum Judgment*, *I.C.J. Reports 1950*, p. 284). It is a wilful disregard of due process of law ...’³⁷

³² *Saluka Investments BV v Czech Republic* (Partial Award) PCA Case No 2001–04, 15 ICSID Rep 274, IIC 210 (UNCITRAL, 2006, Watts C, Behrens & Fortier) para 291 (‘*Saluka*’). Accord: Douglas paras 157–8.

³³ E Root, ‘The Basis of Protection to Citizens Residing Abroad’ (1910) 4 AJIL 517, 521–2.

³⁴ *ibid* 523.

³⁵ Paulsson 5–6.

³⁶ See also S Schill, ‘Fair and Equitable Treatment under Investment Treaties as an Embodiment of the Rule of Law’ (2006) 3 TDM 5.

³⁷ *Eletronica Sicula SpA (ELSI)* (*United States of America v Italy*) [1989] ICJ Rep 15, 76, para 128.

The rule of law is properly to be understood as the principle underlying and animating the concept of fair and equitable treatment. It does not of itself provide a prescriptive set of rules that may be mechanically applied in the same way in all contexts in which the principle is invoked. Procedural rights that are essential to a fair judicial process may not be required as due process in administrative decision-making. As the *Apotex* Tribunal observed: 'whatever process may be due depends upon the particular context or circumstances of the claim'.³⁸ **7.16**

Another consequence of the fact that what is being applied is an international law standard, is that international adjudication is not 'the continuation of domestic politics and litigation by other means.'³⁹ A finding that the host State is in breach of its own law will not breach the standard.⁴⁰ This is a basic principle of the law of State Responsibility, since 'an act of a State cannot be characterized as internationally wrongful unless it constitutes a breach of an international obligation, even if it violates a provision of the State's own law.'⁴¹ A Chamber of the International Court elaborated on the significance of this point in the context of arbitrary conduct in the following way: **7.17**

[T]he fact that an act of a public authority may have been unlawful in municipal law does not necessarily mean that that act was unlawful in international law, as a breach of treaty or otherwise. A finding of the local courts that an act was unlawful may well be relevant to an argument that it was also arbitrary; but by itself, and without more, unlawfulness cannot be said to amount to arbitrariness. Nor does it follow from a finding by a municipal court that an act was unjustified, or unreasonable, or arbitrary, that that act is necessarily to be classed as arbitrary in international law, though the qualification given to the impugned act by a municipal authority may be a valuable indication.⁴²

In the past, debates on minimum treatment have foundered upon the traditional hurdles of customary international law: the lack of a sufficiently uniform practice, let alone an acceptance of *opinio juris*, given the deep divergencies in the views of States exposed during the many fruitless multilateral negotiations on investment law. But the voluntary acceptance of the principle by treaty transforms the question from one of obligation to content. **7.18**

Then the issue becomes one of locating a sufficiently common consensus among civilized nations as to content. In this, reference to 'general principles of law common to civilized nations' as the third basic source of international law⁴³ becomes of crucial importance. In the task of finding common principles in this field, the development of modern international law presents a substantial advantage over the position in the early twentieth century as a result of the elaboration of relevant international human rights standards, and of the gradual emergence of global administrative law.⁴⁴ Reference to these sources facilitates the application of standards that may be seen as genuinely common to civilized nations. It is not, as has **7.19**

³⁸ *Apotex Holdings Inc v United States of America* (Award) ICSID Case No ARB(AF)/12/1, IIC 661 (NAFTA/ICSID, 2014, Veeder P, Crook & Rowley) para 9.48.

³⁹ *Bilcon v Canada* para 437.

⁴⁰ *Bilcon v Canada* (Dissenting Opinion, McRae) para 34.

⁴¹ ILC 'Responsibility of States for Internationally Wrongful Acts: Draft Articles with Commentaries' (Crawford, Special Rapporteur) [2001] 2(2) YB ILC 30, art 3.

⁴² *ELSI*, 74, para 124.

⁴³ Statute of the International Court of Justice (26 June 1945) UKTS 67, art 38(1)(c). G Schwarzenberger, *International Law* (3rd edn, 1957) vol I 200, cited (with apparent approval) in *ADF Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/00/1, 6 ICSID Rep 449, IIC 2 (NAFTA/ICSID (AF), 2003, Feliciano P, de Mestral & Lamm) para 185, see fn 176.

⁴⁴ B Kingsbury et al (eds), 'The Emergence of Global Administrative Law' (2005) 68 Law & Cont Prob 15.

sometimes been suggested, that the emergence of international human rights norms would subsume and render obsolete both the international minimum standard and the standard of national treatment.⁴⁵ Rather, some elements of human rights law may furnish a source of general principle from which the obligation of fair and equitable treatment may be given contemporary content.⁴⁶

- 7.20** More generally the standard of fair and equitable treatment has to be applied in the contemporary context in which the effect of state measures on investments fall to be judged. On this point all tribunals are agreed: both those that have taken a strict view of the level of conduct required to breach the standard and those that have taken a more dynamic approach. As the Tribunal in *Mondev* put it:

Neer and like arbitral awards were decided in the 1920s, when the status of the individual in international law, and the international protection of foreign investments, were far less developed than they have since come to be. In particular, both the substantive and procedural rights of the individual in international law have undergone considerable development. In light of these developments it is unconvincing to confine the meaning of 'fair and equitable treatment' and 'full protection and security' of foreign investments to what those terms—had they been current at the time—might have meant in the 1920s when applied to the physical security of an alien.⁴⁷

- 7.21** Such a process of actualisation of the standard reflects the facts. The process of globalisation has engendered an unprecedented level of foreign direct investment across every field of economic endeavour. At the same time, the modern State is empowered to regulate economic activity in the pursuit of numerous public interests.
- 7.22** The transfer of the prime locus of investment protection from the customary international law model of diplomatic protection (with its requirement of the exhaustion of local remedies) to the treaty model has also had a fundamental effect on the contexts in which the non-contingent standards fall to be applied. The investment treaty tribunal will be called upon to consider not only the conduct of the State's judicial organs (as in the case of a denial of justice), but also the conduct of its administrative agencies and, in exceptional cases, of its legislature. This is a necessary consequence of the application of an international standard to consider the responsibility of the State as a whole. It means that many of the situations that a treaty tribunal must confront will not have a direct analogue in earlier precedent.
- 7.23** Taking the function of the fair and equitable treatment standard seriously as an international check on the arbitrary conduct of States that is contrary to a minimum standard of international law also requires international arbitral tribunals themselves to meet the same standards that they would impose on national decision-makers. As Crawford observes in a more general context: 'In the long run, national systems founded on the rule of law cannot tolerate review by international systems not so founded, especially as to otherwise

⁴⁵ ILC 'Report on International Responsibility' (García-Amador, Special Rapporteur) in *Report of the International Law Commission of its eighth session* UN Doc A/CN.4/96, [1956] 2 YB ILC 173, paras 140–59.

⁴⁶ Brownlie 616; American Law Institute *Restatement of the Law, Third, Foreign Relations Law of the United States* (1987) s 711(a), 184–96; B Simma, 'Foreign Investment Arbitration: A Place for Human Rights' (2011) 60 ICLQ 573.

⁴⁷ *Mondev International Ltd v United States of America* (Award) ICSID Case No ARB(AF)/99/2, 6 ICSID Rep 181, ILC 173 (NAFTA, 2002, Stephen P. Crawford & Schwebel) para 116; approved in *Glamis Gold* para 613.

internal matters.⁴⁸ The fair and equitable treatment standard is undoubtedly broad and open-textured. Tribunals are called upon to apply it in a myriad of different contexts. This in itself is neither surprising nor objectionable. After all, delictual standards of responsibility in domestic law (such as the tort of negligence in common law countries or art 1382 of the French Civil Code) are often framed as very broad standards. On the other hand, the exercise of adjudicatory power according to the rule of law, whether by national judges or international arbitrators, requires that questions of legal right and liability should ordinarily be resolved by the application of the law and not by the exercise of discretion, that the law should be applied consistently, and that the content of that law should be reasonably predictable in advance.⁴⁹ This is not to treat the standard as a rigid rule, incapable of development to meet the changing exigencies of the times. But it is to emphasise the importance of the elaboration of specific content for the standard beyond the tribunal's own assessment of 'inappropriate behaviour of a sort, which while difficult to define, may still be regarded as unfair, inequitable or unreasonable.'⁵⁰

One final consideration of a general character must be added. In contrast to the earlier customary international law standard, the protection is not simply concerned with 'fair' or 'just' treatment to investors. Appropriate weight and meaning must also be given to the requirement of 'equitable treatment'. Schwarzenberger observed on the first emergence of this formula, that this 'presents an imaginative attempt to combine the minimum standard with the standard of equitable treatment.'⁵¹ The concept of equitable treatment provides not merely a means of doing equity as between different classes of investors, whether natives or equally favoured foreigners. That is something that the concomitant rights of national treatment and MFN treatment will secure in any event. The inclusion of the reference to equitable treatment also provides a means by which an appropriate balance may be struck between the protection of the investor and the public interest that the host State may properly seek to protect in the light of the particular circumstances then prevailing. As the editors of *Oppenheim* have observed: 'The requirements of international law in this field ... represent an attempt at accommodation between the conflicting interests involved.'⁵² This process involves, as was observed in the *Saluka* award, 'a weighing of the [investor's] legitimate and reasonable expectations on the one hand and the [host State's] legitimate regulatory interests on the other'.⁵³ Many tribunals have observed that States retain a 'wide regulatory "space" for regulation'⁵⁴ and that an international arbitral tribunal 'does not have an open-ended mandate to second-guess government decision-making.'⁵⁵ An international tribunal should give particular weight to governmental regulatory decisions taken in good faith in the interests of public morals, health or the environment.⁵⁶

7.24

⁴⁸ J Crawford, 'Chance, Order, Change: The Course of International Law' (2014) 365 *Recueil des Cours* 9.

⁴⁹ Bingham 37–51.

⁵⁰ *Merrill & Ring* para 210.

⁵¹ G Schwarzenberger, 'The Abs-Shawcross Draft Convention on Investments Abroad: A Critical Commentary' (1960) 9 J Pub L 147, 152, repeated in his *Foreign Investments and International Law* (1969) 114.

⁵² *Oppenheim* 933.

⁵³ *Saluka* para 306.

⁵⁴ *International Thunderbird Gaming Corp v Mexico* (Award) IIC 136 (NAFTA, 2006, van den Berg P, Portal Ariosa & Wälde) para 127.

⁵⁵ *SD Myers Inc v Canada* (First Partial Award on the Merits) 8 ICSID Rep 3, IIC 249 (NAFTA/UNCITRAL, 2000, Hunter C, Chiasson & Schwartz) para 261.

⁵⁶ *Apotex* paras 9.37–9.39; *Al Tamimi v Oman* (Award) ICSID Case No ARB/11/33, IIC 745 (2015, Williams P, Brower & Thomas) para 389.

7.25 Section 2 of this chapter will examine these propositions against the evidence in the shape of the corpus of arbitral awards that have sought to apply the provision in the modern context. This will enable a distillation, in Section 3, of the measurable standards which are emerging to give content to the concept. However, it is first necessary to put the arbitral awards into context by drawing together three strands:

- (1) The current structure of investor treatment provisions;
- (2) Some key aspects of their genesis and development; and
- (3) The proper approach to interpretation.

B. Current Structure of Investor Treatment Provisions

7.26 The standard of treatment extended to investors by investment treaties, while various in its iteration, nevertheless may be found to consist of the following two main elements: the ‘non-contingent standards’ of fair and equitable treatment and full protection and security; and the ‘contingent standards’ of national treatment, MFN treatment, and non-discrimination. The distinction drawn in the literature between contingent and non-contingent standards⁵⁷ simply denotes the idea that the content of a contingent standard is determined, not by reference to the standard itself, but by reference to an exterior state of law or fact, namely the treatment accorded to other persons or entities, who stand in the requisite relationship to the protected investor. Non-contingent standards, on the other hand, are absolute as they apply to protect a given entity irrespective of the treatment that may be accorded to others. It is for that reason that they present a potentially more valuable tool in investor protection.

7.27 The model form BITs adopted by many States, both capital importing and exporting, provide the best guidance on States’ views as to the appropriate formulation of both categories of rights. As has been rightly observed: ‘A model BIT represents the set of norms that the relevant state holds out to be both reasonable and acceptable as a legal basis for the protection of foreign investment in its own economy.’⁵⁸

7.28 Another important source of the formulation of such rights are the plurilateral agreements. Of these, the most influential to date have been NAFTA and the Energy Charter Treaty (ECT). In the case of NAFTA, this is not only because it consists in an agreement between three States which have traditionally had widely different views on the protection of aliens, but also because its arbitration provisions have spawned much of the recent jurisprudence. The ECT is one of the most significant multilateral investment treaties in view of the large number of States parties, albeit that it has a limited subject-matter scope. Finally this second edition of this work includes reference to the investment protection provisions of three recent free trade agreements. The first of these, the ASEAN–Australia–New Zealand FTA, is in force, but there has not so far been any case law under its investment chapter. The other two are of major potential significance, even though they have not at the time of writing come into force: the Canada-European Comprehensive Economic and Trade Agreement 2014 (CETA); and the Trans-Pacific Partnership Agreement 2016 (TPPA). No pretension of exhaustive treatment as to the alternative forms arrived at in bilateral negotiation will be made here, since the purpose of the enquiry is to identify the common features. In the interpretation of any particular treaty, the general must yield to the specific.

⁵⁷ eg Walker; Vasciannie.

⁵⁸ Z Douglas, ‘The Hybrid Foundations of Investment Treaty Arbitration’ (2003) 74 BYIL 151, 159.

Non-contingent standards

Typical model BIT The fundamental standards of fair and equitable treatment and full protection and security are frequently grouped together with unreasonable impairment and non-discrimination in a single article which provides, without further elaboration: **7.29**

Investments of nationals or companies of either Contracting Party shall at all times be accorded fair and equitable treatment and shall enjoy full protection and security in the territory of the other Contracting Party. Neither Contracting Party shall in any way impair by unreasonable or discriminatory measures the management, maintenance, use, enjoyment or disposal of investments in its territory of nationals or companies of the other Contracting Party.⁵⁹

This example is taken from the Sri Lankan model BIT. The concept of fair and equitable treatment finds expression in model BITs adopted in numerous States, whether capital exporting⁶⁰ or capital importing,⁶¹ and including many States, such as those of Latin America, which had traditionally been opposed to the imposition of an international minimum standard.⁶² **7.30**

The Chinese model BIT enshrines protections for both ‘the constant protection and security of investments’ and their ‘fair and equitable treatment’.⁶³ Despite China’s historic opposition to the international minimum standard, these terms are understood to refer to customary international law. In some recent investment treaties, China has made this link express.⁶⁴ **7.31**

In the French prototype, the concept is rendered as ‘juste’ and is expressly linked to the general principles of international law as ‘traitement juste et équitable, conformément aux principes du Droit international’.⁶⁵ **7.32**

NAFTA This link between international law and fair and equitable treatment is also made explicitly in NAFTA,⁶⁶ but in language that suggests that the particular treatment standards **7.33**

⁵⁹ Sri Lanka model BIT (Appendix 9 below) art 2.

⁶⁰ eg Netherlands model BIT (Appendix 8 below) art 3; Switzerland model BIT, reprinted in UNCTAD, *International Investment Instruments: A Compendium* (1996) Vol III 177, 179 art 4(1); UK model BIT (Appendix 4 below) art 2(2).

⁶¹ eg Egypt model BIT, reprinted in UNCTAD, *International Investment Instruments: A Compendium* (2000) Vol V 293, 295 art 3; Malaysia model BIT, reprinted in UNCTAD, *International Investment Instruments: A Compendium* (2000) Vol V 325, 326 art 2(2).

⁶² eg Chile model BIT, reprinted in UNCTAD, *International Investment Instruments: A Compendium* (1996) Vol III 143, 145 art 4(1).

⁶³ arts 2 and 3 Chinese model BIT reproduced in W Shan & M Gallagher ‘China’ in Brown 156, 158.

⁶⁴ eg art 5(2) China–Mexico BIT (2008), confirming that fair and equitable treatment does not require anything ‘in addition to or beyond that which is required by the international minimum standard of treatment of aliens.’

⁶⁵ France model BIT (Appendix 10 below) art 4; see Accord sur l’encouragement et la Protection Réciproques des Investissements (‘Agreement on the Reciprocal Promotion and Protection of Investments’) (France–Argentina) (signed 3 July 1991, entered into force 3 March 1993) 1728 UNTS 282 art 3, cited in *Compañía de Aguas del Aconquija SA and Vivendi Universal (‘Vivendi’) v Argentina* (Decision on Annulment) ICSID Case No ARB/97/13, 6 ICSID Rep 327, IIC 70 (2002, Fortier P, Crawford & Fernández Rozas) para 57: ‘Each Contracting party shall undertake to accord in its territory and maritime zone *just and equitable treatment, in accordance with the principles of international law* ...’

⁶⁶ North American Free Trade Agreement (adopted 17 December 1992, entered into force 1 January 1994) CTS 1994 No 2 (‘NAFTA’) (Appendix 1 below).

were seen by the framers as examples of a more general international law standard. Article 1105(1) provides:

Article 1105: Minimum Standard of Treatment

1. Each Party shall accord to investments of investors of another Party treatment in accordance with international law, including fair and equitable treatment and full protection and security.⁶⁷

7.34 This provision must now be read in the light of the Interpretation issued by the NAFTA Free Trade Commission (FTC) on 31 July 2001, which provides that:

B. Minimum Standard of Treatment in Accordance with International Law

1. Article 1105(1) prescribes the customary international law minimum standard of treatment of aliens as the minimum standard of treatment to be afforded to investments of investors of another Party.
2. The concepts of 'fair and equitable treatment' and 'full protection and security' do not require treatment in addition to or beyond that which is required by the customary international law minimum standard of treatment of aliens.
3. A determination that there has been a breach of another provision of the NAFTA, or of a separate international agreement, does not establish that there has been a breach of Article 1105(1).⁶⁸

7.35 Energy Charter Treaty The Energy Charter Treaty (ECT), by contrast, sets international law as a minimum for the standard, providing, in art 10(1):

Each Contracting Party shall, in accordance with the provisions of this Treaty, encourage and create stable, equitable, favourable and transparent conditions for Investors of other Contracting Parties to make Investments in its Area. Such conditions shall include a commitment to accord at all times to Investments of Investors of other Contracting Parties fair and equitable treatment. Such Investments shall also enjoy the most constant protection and security and no Contracting Party shall in any way impair by unreasonable or discriminatory measures their management, maintenance, use, enjoyment or disposal. *In no case shall such Investments be accorded treatment less favourable than that required by international law, including treaty obligations.* Each Contracting Party shall observe any obligations it has entered into with an Investor or an Investment of an Investor of any other Contracting Party.⁶⁹

7.36 US revised model BIT The United States adopted a more restrictive conception of the nature of the reference to international law in its most recent model BIT adopted in 2012.⁷⁰ The formula adopted in this model has also been adopted in free trade agreements to which the United States is party. Article 5 of this form provides:

Article 5: Minimum Standard of Treatment

⁶⁷ See generally A Bjorklund, J Hannaford and M Kinnear, *Investment Disputes under NAFTA: An Annotated Guide to NAFTA Chapter 11* (2006) paras 1105-1–1105-57.

⁶⁸ The FTC is, by NAFTA Art 2001(2) empowered to, inter alia, 'resolve disputes that may arise regarding [the Agreement's] interpretation or application'. Pursuant to art 1131(2) an interpretation by the FTC of a provision of the Agreement 'shall be binding on a Tribunal'.

⁶⁹ emphasis added.

⁷⁰ 2012 US model BIT (Appendix 6 below).

1. Each Party shall accord to covered investments treated in accordance with customary international law, including fair and equitable treatment and full protection and security.
2. For greater certainty, paragraph 1 prescribes the customary international law minimum standard of treatment of aliens as the minimum standard of treatment to be afforded to covered investments. The concepts of 'fair and equitable treatment' and 'full protection and security' do not require treatment in addition to or beyond that which is required by that standard, and do not create additional substantive rights. The obligation in paragraph 1 to provide:
 - (a) 'fair and equitable treatment' includes the obligation not to deny justice in criminal, civil, or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world; and
 - (b) 'full protection and security' requires each Party to provide the level of police protection required under customary international law.
3. A determination that there has been a breach of another provision of this Treaty, or of a separate international agreement, does not establish that there has been a breach of this Article.

Annex A adds, for good measure, a definition of customary international law as follows:

7.37

The Parties confirm their shared understanding that 'customary international law' generally and as specifically referenced in Article 5 ... results from a general and consistent practice of States that they follow from a sense of legal obligation. With regard to Article 5 ... the customary international law minimum standard of treatment of aliens refers to all customary international law principles that protect the economic rights and interests of aliens.

This revised formulation may be understood as a response to a perception in and by the United States that a definition of 'fair and equitable treatment' unbounded by custom had left the door open to adventurist arbitrators to exercise an unfettered discretion as to the appropriateness of State policy. Whether the faith of the drafters in the certainty of customary international law is well founded may be debatable. But the new model form represents an attempt, even if partial, at a codification of the content of the two central concepts. Importantly, the (non-exclusive) definition of 'fair and equitable treatment' draws expressly upon a principle of due process, which is described in terms consistent with it being seen as a general principle of law common to civilized nations.

7.38

Trans-Pacific Partnership Agreement The investment protection provision in art 9.6 of the Trans-Pacific Partnership Agreement is in all material respects identical to that of the 2012 US Model BIT. It only adds, in art 9.6(4) a further qualifier 'for greater certainty' that:

7.39

[T]he mere fact that a Party takes or fails to take an action that may be inconsistent with an investor's expectations does not constitute a breach of this Article, even if there is loss or damage to the covered investment as a result.

This paragraph acknowledges a controversy⁷¹ about the extent to which the fair and equitable treatment standard protects an investor's 'legitimate expectations'. The TPPA provides that mere inconsistency with such expectations will not suffice, but does not indicate what more may be required.

7.40

⁷¹ Below paras 7.179 *et seq.*

7.41 Canada-European Comprehensive Economic and Trade Agreement By contrast, CETA (also not yet in force) attempts a much more ambitious codification of the content of fair and equitable treatment. Article X.9 (2) provides:

A Party breaches the obligation of fair and equitable treatment referenced in paragraph 1 where a measure or series of measures constitutes:

- (a) Denial of justice in criminal, civil or administrative proceedings;
- (b) Fundamental breach of due process, including a fundamental breach of transparency, in judicial and administrative proceedings.
- (c) Manifest arbitrariness;
- (d) Targeted discrimination on manifestly wrongful grounds, such as gender, race or religious belief;
- (e) Abusive treatment of investors, such as coercion, duress and harassment; or
- (f) A breach of any further elements of the fair and equitable treatment obligation adopted by the Parties in accordance with paragraph 3 of this Article.⁷²

7.42 Article X.9 (3) adds a provision on the role of legitimate expectations:

When applying the above fair and equitable treatment obligation, a tribunal may take into account whether a Party made a specific representation to an investor to induce a covered investment, that created a legitimate expectation, and upon which the investor relied in deciding to make or maintain the covered investment, but that the Party subsequently frustrated.

7.43 Article X.9 (5) provides that ‘“full protection and security” refers to the party’s obligations relating to the *physical security* of investors and covered investments’.⁷³

7.44 The CETA text represents a bold attempt to provide a codification of the concept of fair and equitable treatment. It is free standing and does not depend upon a cross-reference to customary international law in the manner of NAFTA. Experience has shown that such a reference does not necessarily improve predictability of decision. The elements identified in art X.9 (2) do bear a close relationship to the basic types of conduct in respect of which this standard seeks to offer protection, as suggested above: denial of justice; fundamental breach of due process; arbitrariness; discrimination and abusive treatment. Each of these elements is also supported in the case law. Nevertheless, one should not overstate the additional degree of certainty afforded by this further elaboration. The terms used in art X.9 (2) are themselves broad and open-textured, susceptible of a variety of meanings in their application to particular circumstances. The addition of a qualifier, such as ‘manifest’ is capable of having a material effect on the intensity of the review,⁷⁴ as it leaves a margin of appreciation to the original decision-maker. But this, too, remains a matter of assessment for the tribunal.

Contingent standards

7.45 Typical model BIT The other major set of treatment standards—those providing for national treatment and MFN treatment—are usually described as ‘contingent standards’

⁷² Paragraph 3 empowers the Committee on Services and Investment to develop recommendations as to the content of the fair and equitable treatment obligation for decision by the Trade Committee.

⁷³ emphasis added.

⁷⁴ cf the review standard for manifest excess of powers under art 52 (1)(b): *Fraport AG Frankfurt Airport Services Worldwide v Philippines* (Decision on Annulment) ICSID Case No ARB/03/25, IIC 478 (2010, Tomka

in that the quality of treatment which they prescribe is determined by reference to that accorded to others in the same position. In typical BIT practice, these two standards are combined in a single article. Thus, for example, the UK model provides:

Article 3

National Treatment and Most-favoured-nation Provisions

- (1) Neither Contracting Party shall in its territory subject investments or returns of nationals or companies of the other Contracting Party to treatment less favourable than that which it accords to investments or returns of its own nationals or companies or to investments or returns of nationals or companies of any third State.
- (2) Neither Contracting Party shall in its territory subject nationals or companies of the other Contracting Party, as regards their management, maintenance, use, enjoyment or disposal of their investments, to treatment less favourable than that which it accords to its own nationals or companies or to nationals or companies of any third State.⁷⁵

Such provisions also normally provide for exceptions for customs unions and for taxation agreements or legislation.⁷⁶ **7.46**

Pre- and post-establishment protection A major policy distinction in BIT practice is between those States which seek to extend the protection of national treatment to the right of establishment as well as to operation, and those that limit it to post-establishment operation.⁷⁷ The US prototype provides expressly for the pre-entry stage: 'Each party shall accord to investors of the other Party treatment no less favorable than that it accords, in like circumstances, to its own investors with respect to the *establishment, acquisition, expansion*, management, conduct, operation, and sale or other disposition of investments in its territory'.⁷⁸ **7.47**

On the other hand, the UK Prototype set out above provides no such extension. On the contrary, the obligation upon the host State to admit capital in art 2(1) is made 'subject to its right to exercise powers conferred by its laws'. This difference is highly material. It is normally for the host State to determine for itself the conditions under which it will admit foreign investment, and the nature of the rights thus acquired. An extension of national treatment to the pre-entry phase fundamentally alters that balance. **7.48**

The approach of limiting investment protections to the post-establishment phase is very widely followed in non-US treaty practice of both capital exporting and capital importing States. The majority of BITs follow such a controlled entry approach, reflecting the fact that under general international law all States retain the sovereign right to determine whether to admit investments, and, if so, on what terms.⁷⁹ So, for example, art 2 of the Netherlands model BIT provides: 'Subject to its right to exercise powers conferred by its laws **7.49**

P. Hascher & McLachlan) para 44, applying *Arbitral Award of 31 July 1989 (Guinea-Bissau v Senegal)* [1991] ICJ Rep 53, 69 paras 47-8; *Sudan v The Sudan People's Liberation Movement/Army (the Abyei Arbitration)* (Final Award) (2009) XXX RIAA 145, para 510.

⁷⁵ UK model BIT (Appendix 4 below).

⁷⁶ eg *ibid* art 7.

⁷⁷ M Sornarajah, *The International Law on Foreign Investment* (3rd edn, 2010) chap 5 para 4.3.1.

⁷⁸ 2012 US model BIT (Appendix 6 below) art 3(1) [emphasis added].

⁷⁹ I Gómez-Palacio & P Muchlinski 'Admission and Establishment' in Muchlinski chap 7; UNCTAD 'Admission and Establishment' (1999) UN Sales No E.99.II.D.10.

or regulations, each Contracting Party shall admit such investments.’⁸⁰ In similar terms, the Chinese model BIT provides that ‘Each Contracting Party shall encourage investors of the other Contracting Party to make investments in its territory and admit such investments in accordance with its laws and regulations.’⁸¹

- 7.50** By contrast, in those plurilateral treaties to which the US is a party, the American approach of extending investment protection to the pre-establishment phase is normally adopted.
- 7.51** NAFTA extends both of the contingent standards, by arts 1102 and 1103, to investors and investments of the other parties, and (subject to scheduled exceptions) extends the protections of national treatment to the pre-establishment phase. Article 1104 contains a rule of priority between the two standards. It provides that: ‘Each Party shall accord to investors of another Party and to investments of investors of another Party the better of the treatment required by arts 1102 and 1103.’ There is an elaborate set of reservations and exceptions to arts 1102 and 1103 set out in art 1108. These, *inter alia*, enable parties to schedule non-conforming measures⁸² and specifically exclude State procurement.⁸³
- 7.52** The same structure is found in both CAFTA⁸⁴ and the TPPA.⁸⁵ CETA extends its national treatment and most-favoured-nation treatment to the establishment of investors,⁸⁶ but, in keeping with its more prescriptive approach, contains a detailed code of the measures that States may not take with regard to market access together with a list of those types of measures that are permissible.⁸⁷
- 7.53** The ECT distinguishes sharply between the pre-investment phase and the currency of any investment as to the extent of protection afforded by the national treatment and MFN treatment provisions of its art 10. Paragraph 7 imposes a legal obligation to afford either such treatment (whichever is the most favourable) during the currency of the investment in all spheres save for the modalities of its application to energy technology research and development.⁸⁸ The extension of a binding obligation of national treatment to the making of an investment (ie the pre-investment phase) is, however, reserved to the negotiation of a subsequent treaty, which has not yet been concluded.⁸⁹ In the meantime, the obligation is only one of best endeavours, coupled with an obligation to notify exceptions to the principle to the ECT Secretariat.⁹⁰

⁸⁰ Netherlands 2004 model BIT (Appendix 8 below) art 2; and see N Schrijver and V Prislan ‘The Netherlands’ in Brown 535, 558–60.

⁸¹ China model BIT, art 2: available at <<http://investmentpolicyhub.unctad.org/Download/TreatyFile/2840>> (last accessed 21 July 2016), and see W Shan and N Gallagher ‘China’ in Brown 131, 156–7.

⁸² NAFTA (Appendix 1 below) art 1108(1)–(4).

⁸³ *ibid* art 1108(7).

⁸⁴ CAFTA arts 10.3 & 10.4.

⁸⁵ TPPA (Appendix 11 below) arts 9.4 & 9.5.

⁸⁶ CETA arts X.6 & X.7.

⁸⁷ CETA art X.4(1) & (2).

⁸⁸ ECT (Appendix 2 below) art 10(8).

⁸⁹ *ibid* art 10(2)–(6).

⁹⁰ *ibid* art 10(9). The results of the Secretariat’s comprehensive 2014 review of notified exception are set out in Energy Charter Secretariat ‘The Blue Book: Making Investments in Energy Charter Member Countries, Exceptions to the principle of non-discriminatory treatment’ (2014) available at: <http://www.energycharter.org/fileadmin/DocumentsMedia/Legal/BlueBook_en.pdf> (last accessed 21 July 2016).

C. Evolution of the Treatment Standards

What light may be shed on the contemporary meaning to be attributed to the standards of treatment accorded to investors in modern BITs by an examination of their historical evolution? 7.54 Four general themes may be drawn from the historical experience: (a) the contrast between the treaty origins of contingent standards and the customary origins of non-contingent standards; (b) the significance of the development of non-contingent standards primarily through the law of State responsibility and diplomatic protection; (c) the chill effect of international dissension on the evolution of the fair and equitable treatment standard; and (d) the implications of the revival in bilateralism for the status of the standards.

Treaty and custom in the origins of the standards

The first point is that the non-contingent standards of national treatment and MFN treatment, which are of considerable historical antiquity,⁹¹ have always developed exclusively through express grants by treaty.⁹² Customary international law does not require that States accord either form of treatment to aliens. As the editors of *Oppenheim* put it as to MFN treatment: 'Notwithstanding such force as the general principle of non-discrimination might have, a state is not normally prevented from extending to another state particularly favourable treatment which it refrains from extending to third states.'⁹³ As to national treatment, 'a degree of discrimination in the treatment of aliens as compared with nationals is, generally, permissible as a matter of customary international law'.⁹⁴ 7.55

Thus, where States wish to secure for their citizens the benefits of national or MFN treatment in a foreign State, they must do so by treaty. The negotiation of such agreements forms one of the earliest subjects of treaty-making practice, dating back at least to the seventeenth century.⁹⁵ 7.56

The lexicon of MFN and national treatment may now be said to dominate the field of international economic law generally as a result of the adoption of these two standards as the central pillars of world trade in goods by arts I and III respectively of the General Agreement on Tariffs and Trade 1947.⁹⁶ 7.57

By contrast, non-contingent standards have had an extensive—if controversial—life in customary international law.⁹⁷ Their incorporation into treaties appears almost as an incidental confirmation of the pre-existing right. As such, commerce or investment treaties have, until recently, served but little as the basis for the pursuit of international claims for the vindication of such rights. 7.58

The modern treaty-based non-contingent formula may be traced to the draft for a multilateral convention to protect private foreign investment prepared by Hermann Abs⁹⁸ and Lord 7.59

⁹¹ B Nolde, 'La Clause de la Nation la plus Favorisée et les Tarifs Préférentiels' (1932) 39 *Recueil des Cours* 1, 24; JHW Verzijl, *International Law in Historical Perspective* (1972) Vol V, 429–38.

⁹² ILC 'Draft Articles on Most-Favoured-Nation Clauses' [1978] 2(2) YB ILC 16, arts 4 & 7.

⁹³ Oppenheim 1326.

⁹⁴ Oppenheim 932; accord Brownlie 612: 'certain forms of inequality are admissible'.

⁹⁵ Nolde, 27, citing the example of the Treaty between the King of Great Britain and the King of Portugal of 1642 art 4.

⁹⁶ General Agreement on Tariffs and Trade (GATT) (30 October 1947) 55 UNTS 87.

⁹⁷ Paparinskis, Pt I; Weiler chaps 3 & 4 (on full protection and security).

⁹⁸ Then Chairman of Deutsche Bank.

Shawcross⁹⁹ in 1959. Article I of that draft provided: 'Each Party shall at all times ensure fair and equitable treatment to the property of the nationals of the other Parties. Such property shall be accorded the most constant protection and security within the territories of the other Parties and the management, use, and enjoyment thereof shall not in any way be impaired by unreasonable or discriminatory measures.'¹⁰⁰

7.60 The draft may be seen as an attempt to take forward the provisions of the (still-born) Havana Charter for an International Trade Organisation 1948, which envisaged that the Organisation would make recommendations for bilateral or multilateral agreements, inter alia, 'to assure *just and equitable treatment* for the enterprise, skills, capital, arts and technology brought from one Member country to another ...'¹⁰¹ Abs and Shawcross supported their formulation by reference to recent US practice in the conclusion of treaties of friendship, commerce and navigation (FCN treaties), as well as to concepts 'inherent in any system of law' and to judgments on the content of general international law.¹⁰² In fact, the US FCN treaties had referred variously to treatment being either 'fair and equitable' or simply 'equitable', and they did so in a separate article to that which provided in more general terms for the protection and security of nationals of either Party, who were to receive 'the most constant protection and security, *in no case less than that required by international law*'.¹⁰³ The provision for 'full and perfect protection for their persons and property' may be traced to a much earlier period in US FCN treaty practice.¹⁰⁴ Indeed it was commonly included in many nineteenth century treaties of commerce and navigation concluded by other States as well.¹⁰⁵ The result, as Schwarzenberger observed, 'presents an imaginative attempt *to combine the minimum standard with the standard of equitable treatment*'.¹⁰⁶

7.61 The primary means by which the protection of the property and investments of aliens was achieved, until the advent after World War II of the modern BIT with its rights of direct recourse for investors in investor–State arbitration, was through inter-State claims of State responsibility made upon the exercise of diplomatic protection. In this, the origin of the rights claimed is found in general international law, namely in the 'general requirements of customary international law, such as those which impose on a state international

⁹⁹ Former Attorney-General of England.

¹⁰⁰ H Abs and H Shawcross, 'Draft Convention on Investments Abroad' (1960) 9 J Pub L 115, 116.

¹⁰¹ Havana Charter for an International Trade Organisation, United Nations Conference on Trade and Employment (March 24 1948) UN Doc E/Conf 2/78 (1948) art 11 [emphasis added].

¹⁰² Abs and Shawcross, 119–20.

¹⁰³ eg Treaty of Friendship, Commerce and Navigation (United States–Ireland) (signed 21 January 1950, entered into force 14 September 1950) 206 UNTS 269, 1 USTS 788, arts II and V [emphasis added]. See generally on the US practice: KJ Vandevlede, 'The Bilateral Investment Treaty Program of the United States' (1988) 21 Cornell ILJ 201; R Wilson, *The International Law Standard in Treaties of the United States* (1953) 92–105; and Weiler 159–64.

¹⁰⁴ eg Treaty of Friendship, Commerce and Navigation (United States–Paraguay) 1859 art IX in WM Malloy, *Treaties, Conventions, International Acts, Protocols and Agreements between the United States and other Powers 1776–1909* (1910) vol II 1364, 1367.

¹⁰⁵ eg Friendship, Commerce and Navigation Treaty (Italy–Venezuela) (signed 19 June 1861, entered into force 20 September 1862) 124 Cons TS 199, 214 art 4. Article 4 was the subject of *Sambiaggio* (1903) X RIAA 499, 518, and the 'Traité d'Amitié, de Commerce et de Navigation' (France–Mexico) (signed 1886) 168 Con TS 319, cited in *Asian Agricultural Products Ltd (AAPL) v Sri Lanka (Award)* ICSID Case No ARB/87/3, 4 ICSID Rep 245, IIC 18 (1990, El-Kosheri P, Goldman & Asante (dissenting)) paras 45–7.

¹⁰⁶ G Schwarzenberger, 'The Abs-Shawcross Draft Convention on Investments Abroad: A Critical Commentary' (1960) 9 J Pub L 147, 152, repeated in his *Foreign Investments and International Law* (1969) 114 [emphasis added].

responsibility for denial of justice to aliens, or which require it to observe in its treatment of aliens certain minimum international standards'.¹⁰⁷ Where may such requirements be found, and what continuing relevance do they have for the application of the treaty non-contingent standards?

Diplomatic protection of investors

The arbitral award that has frequently been cited as encapsulating the early twentieth century customary standard is that of the Mexico/United States Claims Commissioners in *Neer v Mexico*.¹⁰⁸ The Commission held that 'the treatment of an alien, in order to constitute an international delinquency, should amount to an outrage, to bad faith, to wilful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency'.¹⁰⁹ **7.62**

The case that the Commissioners had heard was one concerning whether the Mexican authorities had done enough to apprehend and punish those guilty of the murder of an American citizen. The issue for the Tribunal was whether the failures of those authorities were enough to give rise to 'an international delinquency' so as to engage the responsibility of Mexico on the level of international law towards the United States. *Neer* is not an isolated example. On the contrary, in the latter part of the nineteenth century and the first half of the twentieth century, a very extensive body of jurisprudence and doctrine built up concerning the treatment of aliens generally, and the standard of denial of justice in particular.¹¹⁰ **7.63**

The high water-mark of this analysis may be found in the Harvard Draft of 1929 on 'The Law of Responsibility of States for Damage done in their Territory to the Person or Property of Foreigners'.¹¹¹ This provides, inter alia, that: **7.64**

A state is responsible if an injury to an alien results from a denial of justice. Denial of justice exists when there is a denial, unwarranted delay or obstruction of access to courts, gross deficiency in the administration of judicial or remedial process, failure to provide those guaranties which are generally considered indispensable to the proper administration of justice, or a manifestly unjust judgment. An error of a national court which does not produce manifest injustice is not a denial of justice.

Nevertheless, it was already apparent by 1930 that multilateral agreement on the treatment of the property of aliens was likely to prove elusive. The Assembly of the League of Nations had determined in 1927 that the responsibility of States for damage done in their territory to the person or property of foreigners should be one of the three topics dealt with at the 1930 Hague codification conference.¹¹² But no agreement on the issue could be achieved amongst delegates and no treaty was therefore concluded. **7.65**

¹⁰⁷ Oppenheim 909.

¹⁰⁸ *Neer v Mexico* (1926) IV RIAA 60.

¹⁰⁹ *ibid* 61–2, para 4.

¹¹⁰ See Borchard; Freeman.

¹¹¹ E Borchard, 'The Law of Responsibility of States for Damage done in their Territory to the Person or Property of Foreigners' (1929) 23 AJIL (Special Supp) 133, 134. The leading post-war reformulation by American scholars was prepared in 1961 by Sohn and Baxter as part of a Harvard Draft Convention on the International Responsibility of States for Injuries to Aliens in L Sohn and R Baxter, 'Responsibilities of States for Economic Injuries to Aliens' (1961) 55 AJIL 545, reprinted in F García Amador, L Sohn and R Baxter, *Draft Articles on the Responsibility of the State for Injuries caused in its Territory to the Person or Property of Aliens* (1974) 179–99 arts 5–8.

¹¹² League of Nations, Official Journal, Special Supp No 53, 9.

- 7.66** The origins of the non-contingent standards of treatment in the law of State responsibility and diplomatic protection has at least five significant consequences for reference to this material in contemporary practice:
- 7.67 Person and property** The early twentieth century doctrine did not distinguish between the persons and the property of aliens. Yet (outside the field of expropriation) many, perhaps most, of the cases concern the mistreatment of individuals at the hands of the agencies of the State, such as by unlawful arrest, detention, and harsh treatment during imprisonment; refusal of access to a court; or unreasonable delay in administering justice. One should be cautious about an uncritical adoption of dicta pronounced in this context in the investment field. As the editors of *Oppenheim* observe, ‘the basic political system and economic and social structure of the state has implications for the treatment accorded the property rights of aliens ... a principle of absolute respect for the property of aliens may not be appropriate in all circumstances’.¹¹³
- 7.68 Exhaustion of local remedies** The evolution of the standard through the medium of the law of diplomatic protection had the consequence that it could only be successfully invoked by the home State if the affected person had himself first exhausted local remedies.¹¹⁴ In practice, save in cases of a refusal to investigate or prosecute, the cases on the international minimum standard and denial of justice were almost always concerned with alleged failures in the judicial system of the host State. Any failures in administrative decision-making would not give rise themselves to an international claim, since they would first have had to be tested by the investor in the local courts.
- 7.69 Contested status** Even at the time this standard was being developed and refined through the mixed claims commissions of the inter-war period, it was attracting increasing controversy, notably from Latin American States which opposed the imposition of a standard beyond that of national treatment,¹¹⁵ and which would have limited a denial of justice to the refusal of access to a court.¹¹⁶
- 7.70 Dissent over primary rules** Since World War II, it has proved even less possible to achieve consensus on the application of these principles as a matter of customary international law. In part this is as a result of the extent of the disagreement between States that arose in the specific context of investment law, which will be discussed further below. But it is also a reflection of the general difficulty of reaching a consensus on the primary rules of the delictual responsibility of States. This led to their exclusion from the work of the International Law Commission (ILC) on Draft Articles on State Responsibility, abandoning the earlier ‘enormously ambitious’¹¹⁷ draft code of Amador on the protection of aliens as unlikely to achieve a sufficient degree of agreement by States. Similarly,

¹¹³ Oppenheim 933.

¹¹⁴ As to which see ILC ‘Second Report on Diplomatic Protection’ (Dugard, Special Rapporteur) (28 February 2001) UN Doc A/CN.4/514; Amerasinghe.

¹¹⁵ eg Montevideo Convention on the Rights and Duties of States (signed 26 December 1933) 165 LNTS 19, USTS 881 (1935) art 9, and generally E Borchard, ‘The “Minimum Standard” of the Treatment of Aliens’ (1940) 38 Mich LR 445.

¹¹⁶ Guerrero Draft, cited in the Harvard Draft 174.

¹¹⁷ J Crawford, *The International Law Commission’s Articles on State Responsibility: Introduction, Text and Commentaries* (2002) 15.

the more recent work of the ILC on diplomatic protection has been expressly limited to secondary rules.¹¹⁸

Effect of development through bilateral treaties These limitations on the development of custom have always been expressed to be without prejudice to the right of States to accept binding standards by treaty. Thus, for example, the ILC's draft articles on both State responsibility¹¹⁹ and diplomatic protection are expressed to be without prejudice to the right of States to develop special rules of international law in particular areas. These include, in the case of diplomatic protection, treaty provisions for the protection of investments.¹²⁰ Despite, or perhaps rather because of, the huge rise in bilateral treaty provision for investment protection, the customary international law rules relating to the non-contingent standards of treatment have not developed in the post-war period to the same extent through the practice of diplomatic protection. The International Court of Justice (ICJ) has only been invited to address the rules of custom as applicable to foreign investments twice.¹²¹ In both cases, the property claim failed to meet the nationality requirement and the Court therefore did not consider the merits of that claim. Instead, the huge rise in the development of BITs has proceeded along a parallel path. The Court delivered its own sanguine verdict on the continuing relevance of diplomatic protection in the field of property rights in 2007, when it observed: '... in contemporary international law, the protection of the rights of companies and the rights of their shareholders, and the settlement of the associated disputes, are essentially governed by bilateral or multilateral agreements ... In that context, the role of diplomatic protection somewhat faded ...'¹²²

Before reaching the significance of the incorporation of the non-contingent standards into bilateral treaties, it is necessary to say a word about the impact of the international dissent about the standards of investment protection in the post-war period.

The failure of multilateral consensus

The third general point of significance for the interpretation of the content of investor treatment standards is the difficulty that has been encountered with any attempt to achieve multilateral agreement by treaty on the content of such standards.¹²³ As noted above, the best that could be achieved at Havana in 1948 was a draft agreement to make recommendations for subsequent multilateral or bilateral agreements for just and equitable treatment of investments. The Havana Charter itself never came into force. The General Agreement on Tariffs and Trade 1947 (the GATT), which then formed the cornerstone of world trade law, never

¹¹⁸ ILC 'Diplomatic Protection: Report of the Working Group' (26 May 1998) UN Doc A/CN.4/L.553 para 2.

¹¹⁹ ILC 'Draft Articles on the Responsibility of States for Internationally Wrongful Acts' (Crawford, Special Rapporteur) [2001] 2(2) YB ILC 26, art 55 'Draft Articles on State Responsibility'.

¹²⁰ ILC 'Draft Articles on Diplomatic Protection' [2006] 2(2) YB ILC 22, art 17.

¹²¹ *Barcelona Traction, Light and Power Co Ltd (Belgium v Spain)* (Second Phase) [1970] ICJ Rep 3; *Diallo (Guinea v Democratic Republic of the Congo)* (Preliminary Objections) [2007] ICJ Rep 582; (Merits) [2010] ICJ Rep 639. The decision of a Chamber of the Court in *ELSI* was based on an FCN treaty between Italy and the US.

¹²² *Diallo* (Preliminary Objections) 614, para 88.

¹²³ Detailed accounts of the failure of multilateral investment law are given in: P Muchlinski, *Multinational Enterprises and the Law* (1995); AF Lowenfeld, *International Economic Law* (2002), 391–415; M Sornarajah *The International Law on Foreign Investment* (3rd edn, 2010).

extended to investments, until the (very-limited) Agreement on Trade-Related Investment Measures (TRIMS) was concluded some fifty years later in 1994.¹²⁴

- 7.74** The formulation of fair and equitable treatment that had been proposed in the Abs–Shawcross draft of 1959 was substantially incorporated in art 1(a) of the OECD Draft Convention on the Protection of Foreign Property, which was prepared in 1963. The drafters of this Convention specified that: ‘The phrase “fair and equitable treatment”, customary in relevant bilateral agreements, indicates the standard set by international law for the treatment due by each State with regard to the property of foreign nationals ... *The standard required conforms in effect to the “minimum standard” which forms part of customary international law.*’¹²⁵
- 7.75** The OECD Draft was an important attempt to achieve multilateral consensus, significant in the present context for its affirmation that the fair and equitable treatment standard was intended by its framers to conform to the minimum standard in customary international law. But it offered no further elaboration on the content of the standard. The draft Convention itself was never opened for signature, and came to be seen as embodying the perspective of capital-exporting countries.
- 7.76** The Draft United Nations Code of Conduct on Transnational Corporations reached no consensus on the content of the non-contingent standards, providing in its unagreed version as of 1983:
- Transnational corporations should receive [fair and] equitable [and nondiscriminatory] treatment [under] [in accordance with] the laws, regulations and administrative practices of the countries in which they operate [as well as intergovernmental obligations to which the Governments of these countries have freely subscribed] [consistent with their international obligations] [consistent with international law].¹²⁶
- 7.77** The Multilateral Agreement on Investment (MAI), proposed by the OECD in 1995, would have provided a general protection of ‘fair and equitable treatment and full and constant security. In no case shall a Contracting Party accord treatment less favourable than that required by international law.’ The OECD had envisaged the MAI as largely a harmonisation exercise, and an attempt to address the fragmented nature of investment protection through BITs. However, it provoked intense opposition from NGOs on the grounds that it would weaken the regulatory capacity of host States in favour of investor protections.¹²⁷ Responding to domestic electoral pressure, a number of the States which had originally been proponents of the MAI, including the United States and France, withdrew their support in 1998, sounding the death-knell for its successful conclusion.
- 7.78** This picture of the failure to reach multilateral agreement on an acceptable content of investors’ rights is to some extent qualified by the emergence of significant plurilateral agreements,

¹²⁴ Agreement on Trade-Related Investment Measures (TRIMS) (signed 15 April 1994), Annex 1A to Marrakesh Agreement establishing the World Trade Organisation 1868 UNTS 186.

¹²⁵ OECD, *Draft Convention on the Protection of Foreign Property and Resolution of the Council of the OECD on the Draft Convention* (1967) 13–15 [emphasis added].

¹²⁶ Draft United Nations Code of Conduct on Transnational Corporations (1983 version), text in UNCTC, *The United Nations Code of Conduct on Transnational Corporations*, Current Studies, Series A (1986) UN Doc ST/CTC/SER. A/4, Annex 1, reprinted in UNCTAD, *International Investment Instruments: A Compendium* Vol I (1996) 161, 172–3.

¹²⁷ See J Salzman, ‘Decentralized Administrative Law in the Organization for Economic Cooperation and Development’ (2005) 68 Law & Cont Prob 189, 196–200.

involving both capital-exporting and capital-importing States, which do contain such protections. Prominent among these are NAFTA and the ECT. The Lomé IV Treaty of 1990, between African, Caribbean and Pacific (ACP) and European Union States,¹²⁸ the ASEAN Treaty of 1987 and its successor the ASEAN Comprehensive Investment Agreement,¹²⁹ the subsequent ASEAN–Australia–New Zealand Treaty of 2010,¹³⁰ and the TPPA¹³¹ (not yet in force) also contain mutual guarantees of fair and equitable treatment. The World Bank adopted such a standard in its Guidelines on the Treatment of Foreign Direct Investment of 1992.¹³²

Implications for contemporary treatment provisions

Against this background in general international law, what implications may be drawn for the content of the standard to which States have voluntarily agreed in so many BITs? Three overall points may be made. **7.79**

Wide acceptance of fair and equitable treatment Despite the failure to agree upon modern multilateral standards of investor treatment, and the fundamental disagreements in approach exposed by attempts to do so, there is an almost universal acceptance of a standard of fair and equitable treatment in BITs. As Mann put it: ‘The cold print of these treaties is a more reliable source of law than rhetorics in the United Nations.’¹³³ Further, its voluntary inclusion in the model or prototype BITs of many States, together with the ratchet effect of MFN clauses, has achieved a high degree of acceptance of the standard in capital-importing, as well as capital-exporting States. This means that the standard is not to be dismissed as an imposition by Western States.¹³⁴ The content of the standard must therefore be determined on a basis which is common to all such States, and not applying the specific perspective of any particular State or legal system. **7.80**

Impact of the abrogation of the local remedies rule The inclusion of such rights in modern BITs has fundamentally altered their character and scope of protection in at least one significant respect. Under customary international law, as has been shown, a failure to meet the international minimum standard of treatment could only constitute an international delict giving rise to an exercise of diplomatic protection if and to the extent that the individual investor had first exhausted local remedies. By contrast, tribunals determining investment arbitration claims have never considered that the local remedies rule operates so as to preclude a tribunal which otherwise has jurisdiction from entertaining a claim brought by the investor.¹³⁵ In turn, art 26 of the ICSID Convention requires a State to make express provision if it wishes to insist on the exhaustion of local remedies. Article 27 reinforces that approach by precluding any exercise of a State’s right of diplomatic protection for a claim **7.81**

¹²⁸ UNCTAD, *International Investment Instruments: A Compendium* Vol II (1996) 385, 419 art 258(b).

¹²⁹ ASEAN Agreement for the Promotion and Protection of Investments (signed 15 December 1987) (1988) 27 ILM 612, art IV; ASEAN Comprehensive Investment Agreement (signed 26 February 2009, entered into force 29 March 2012) (ACIA) art 11 (Appendix 3 below).

¹³⁰ ASEAN–Australia–New Zealand Free Trade Agreement (signed 27 February 2009, entered into force 1 January 2010) [2010] NZTS 1 (ASEAN Agreement) chap 11, art 6.

¹³¹ Trans-Pacific Partnership Agreement 2016 (signed 6 February 2016, not yet in force) (Appendix 11 below) art 9.6.

¹³² UNCTAD, *International Investment Instruments: A Compendium* Vol I (1996) 247, 249 (Appendix 13 below) art III(2).

¹³³ FA Mann, ‘British Treaties for the Promotion and Protection of Investments’ (1981) 52 BYIL 241, 250, reprinted in *Further Studies in International Law* (1990) 234, 246.

¹³⁴ Z Douglas, ‘The Hybrid Foundations of Investment Treaty Arbitration’, 159.

¹³⁵ See Chapter 4, Section 2 C above.

that has been submitted to the Centre. Of course, the failure to pursue local remedies may still, as will be seen later, have an effect on whether the host State's *substantive* liability has been engaged. But the absence of a *jurisdictional* requirement of exhaustion of local remedies has had the consequence that an investor may bring a claim for many types of administrative treatment which could not have been the subject of a claim for diplomatic protection by the home State, whether by custom or in the exercise of its own rights under treaty. In this respect, the hybrid nature of investment arbitration has wrought a fundamental change in the classes of case that might give rise to a breach of the non-contingent standards.

7.82 Custom in the content of treaty rights The evidence from the drafters of BITs is that the most politically sensitive provisions, including that of fair and equitable treatment, were designed not 'to go beyond what was thought to reflect international law'.¹³⁶ As has been seen in Section B, the language of the treaties themselves displays a spectrum of approaches to the link between the specific treaty standard, the minimum standard in customary international law and general international law. There is some evidence to suggest a retrenchment in current treaty practice, which aims to reinforce the link between the standards in treaty and custom. This is especially notable in the new model free trade agreements to which the United States is a party: NAFTA, CAFTA and the TPPA, with their categorical insistence that '[t]he concepts of 'fair and equitable treatment' and 'full protection and security' do not require treatment in addition to or beyond that which is required by that standard, and do not create additional substantive rights.'¹³⁷ Arbitral case law presents sharp disagreements in approach on this fundamental question. Yet, as was shown in Section A, this debate is to some extent misguided. If the *function* of the provision is to assess whether State conduct fails to meet an international standard of due process, the development of that standard has to be grounded on principles that the majority of States can accept as common to them. In this sense, the provision must inevitably be informed by general international law. Even if one treats the standard as autonomous as a matter of ordinary meaning, 'the actual content of the treaty standard of fair and equitable treatment is not materially different from the content of the minimum standard of treatment in customary international law.'¹³⁸

7.83 The real question, which was masked by the adoption of the standard, and which is not resolved *ipso facto* by an express reference to the minimum standard, is the unresolved question about the development of international standards over time. The failure to agree on the standard in multilateral fora, and the relative failure of a customary international law of investment protection to develop outside the context of BITs, has serious consequences for the determination of the *content* of the expected treatment. It means that care must be taken to ensure that guidance is not drawn from sources that have failed to receive the requisite degree of general acceptance. Similarly, the fact that these standards have been adopted through bilateral treaties, the scope of which has typically been limited to the investment field, has served to cut analysis of the content of the rights off from developments in other areas of international law.

¹³⁶ E Denza and S Brooks, 'Investment Protection Treaties: United Kingdom Experience' (1987) 36 ICLQ 908, 912.

¹³⁷ NAFTA Free Trade Commission (FTC), Interpretation of NAFTA Chap 11 (31 July 2001) 6 ICSID Rep 567.

¹³⁸ *Biwater Gauff Ltd v Tanzania* (Award) ICISD Case No ARB/05/22, IIC 330 (2008, Hanotiau P, Born & Landau) para 592 and the authorities there cited.

The process of determining the content of the treaty standards, including the extent and manner in which such content is informed by general international law, is shaped by the general rules of treaty interpretation codified in the Vienna Convention on the Law of Treaties, to which attention must now turn. **7.84**

D. The Process of Interpretation

The interpretation of treatment standards in investment treaties must begin, like any other process of treaty interpretation, with the approach indicated by arts 31–33 of the Vienna Convention on the Law of Treaties 1969 (VCLT).¹³⁹ These articles have been widely accepted as stating rules of customary international law on treaty interpretation.¹⁴⁰ They have also been repeatedly accepted by investment arbitration tribunals as constituting rules of interpretation that are binding on them in the interpretation of investment treaties, whether by virtue of being directly binding on the parties to the BIT as treaty rules, or as customary international law.¹⁴¹ **7.85**

Close attention to the specific requirements of arts 31–3 and to the sequence of reasoning that these articles require is needed, as empirical research suggests that investment tribunals are not always applying the VCLT rules rigorously.¹⁴² That said, the rules of the VCLT are no instant panacea, especially in relation to the core provisions on the treatment of investors. Rather they provide a reasoning structure within which tribunals can approach the task of interpretation in an orderly and coherent manner. **7.86**

The text of art 31 is set out at para 3.129 above. Art 32 then permits reference to the *travaux préparatoires*, but only to confirm a meaning established by the approach in art 31, or where the meaning thus established is ambiguous, obscure, or manifestly absurd or unreasonable. Article 33 adds rules for the interpretation of treaties authenticated in two or more languages (a common occurrence in investment treaties). It provides that, unless the parties have expressly accorded priority to one language, both texts are equally authoritative. The text is presumed to have the same meaning in both languages. Where there is a difference, the interpreter must choose the meaning that best reconciles the texts, having regard to the object and purpose of the treaty. A number of features of these provisions deserve to be highlighted in the context of investor treatment provisions: **7.87**

General rule of interpretation

Article 31(1) requires a treaty to be interpreted ‘in good faith in accordance with the ordinary meaning to be given to the terms of the treaty in their context and in the light of its object and **7.88**

¹³⁹ Vienna Convention on the Law of Treaties (signed 23 May 1969, entered into force 27 January 1980) 1155 UNTS 331, and see generally paras 3.128 *et seq* above; H Ascensio, ‘Article 31 of the Vienna Convention on the Law of Treaties and International Investment Law’ (2016) 32 ICSID Rev–FILJ 336.

¹⁴⁰ *eg Territorial Dispute (Libyan Arab Jamahiriya v Chad)* [1994] ICJ Rep 6; WTO, *United States—Standards for Reformulated and Conventional Gasoline* (29 April 1996) (1 WT/DS2/AB/R) 16.

¹⁴¹ *eg Saluka Investments BV v Czech Republic* (Partial Award) PCA Case No 2001–04, 15 ICSID Rep 274, IIC 210 (UNCITRAL, 2006, Watts C, Behrens & Fortier) para 296; *LG&E Energy Corp v Argentina* (Decision on Liability) ICSID Case No ARB/02/1, IIC 152 (2006, Maekelt P, Rezek & van den Berg) para 122; *Archer Daniels Midland Co v Mexico* (Award) ICSID Case No ARB(AF)/04/5, IIC 329 (NAFTA, 2007, Cremades P, Rovine & Siqueiros) para 195; *Wintershall Aktiengesellschaft v Argentina* (Award) ICSID Case No ARB/04/14, IIC 357 (2008, Nariman P, Bernardini & Torres Bernárdez) para 76; *Pausbok v Mongolia* (Award on Jurisdiction and Liability) IIC 490 (UNCITRAL, 2011, Lalonde P, Grigera Naón & Stern) para 250.

¹⁴² OK Fauchald, ‘The Legal Reasoning of ICSID Tribunals—An Empirical Analysis’ (2008) 19 EJIL 301–64; A Saldarriaga, ‘Investment Awards and the Rules of Interpretation of the Vienna Convention: Making Room for Improvement’ (2013) 28 ICSID Rev–FILJ 197; Weeramantry.

purpose.’ Although the starting point of such an analysis of the investor treatment provisions in an investment treaty must therefore be the ordinary meaning of the terms, it is unlikely that this part of the process will suffice. It may simply result in an exchange of synonyms. Thus, the Tribunal in *MTD* began by quoting the *Concise Oxford English Dictionary* and observed: ‘In their ordinary meaning, the terms “fair” and “equitable” ... mean “just”, “even-handed”, “unbiased”, “legitimate”.’¹⁴³

- 7.89** The reference to object and purpose takes the matter somewhat further. Investment treaties commonly contain preambular statements of purpose that are useful reference points in interpretation of the operative provisions. As the Tribunal pointed out in *Saluka*, the overall objective that is often found in such treaties of intensifying closer economic relations between the two States:

... is a more subtle and balanced statement of the Treaty’s aims than is sometimes appreciated. The protection of foreign investments is not the sole aim of the Treaty, but rather a necessary element alongside the overall aim of encouraging foreign investment and extending and intensifying the parties’ economic relations. That in turn calls for a balanced approach to the interpretation of the Treaty’s substantive provisions for the protection of investments, since an interpretation which exaggerates the protection to be accorded to foreign investments may serve to dissuade host States from admitting foreign investments and so undermine the overall aim of extending and intensifying the parties’ mutual economic relations.¹⁴⁴

- 7.90** The reference to object and purpose also invites more specific considerations in the context of the fair and equitable treatment standard, where it is possible to conclude that the purpose of the standard is to give effect to an international minimum standard.¹⁴⁵ This is not to say that the two standards are to be treated as identical. Such a proposition is inherently problematic, given the historical context of the minimum standard outlined above. Rather, reference to the customary standard assists in understanding what fair and equitable treatment is there to achieve: its object and purpose.

Collateral and subsequent agreements

- 7.91** Article 31(2) provides that the context for interpretation of a treaty includes contemporaneous collateral agreements or related instruments. Articles 31(3)(a) & (b) add the requirement to take into account any subsequent agreement between the parties and ‘any subsequent practice in the application of the treaty which establishes the agreement of the parties regarding its interpretation.’
- 7.92** Subsequent agreements between the parties may have a significant bearing on the interpretation of the treaty. This is especially so where, as in the case of NAFTA and other more recent free trade agreements, the parties have created a mechanism through which they may make binding interpretative decisions.¹⁴⁶ But the VCLT requires no such specific mechanism. It

¹⁴³ *MTD Equity Sdn Bhd v Chile* (Award) ICSID Case No ARB/01/7, 12 ICSID Rep 6, IIC 174 (2004, Rigo Sureda P, Lalonde & Oreamuno Blanco) para 113.

¹⁴⁴ *Saluka* para 300. See also the more detailed provisions as to object and purpose in NAFTA Preamble and chap 1, and the ECT Preamble and art 2.

¹⁴⁵ Paparinskis 160–6.

¹⁴⁶ See para 7.36 above for discussion of the NAFTA FTC interpretation of the non-contingent standards. Other inter-governmental commissions established to supervise free trade agreements are also empowered to issue interpretations of provisions of the agreements, see eg art 27(2)(f) TPPA; art X.9(3) CETA.

permits considerable flexibility in the way in which such agreement between the States may be arrived at and evidenced.¹⁴⁷

In the case of both contemporaneous and subsequent agreements on interpretation, the key requirement is that the evidence supports the agreement of all of the States parties to the agreement and not merely one of them. Tribunals have on occasion neglected to observe the obvious point that ‘the view of one state does not make international law’,¹⁴⁸ attaching decisive importance to interpretative statements made by one of the States alone.¹⁴⁹ **7.93**

States undoubtedly have considerable potential power to develop greater specificity and precision in the application of investment treaty standards through interpretative agreements.¹⁵⁰ But, aside from the much commented but isolated statement of the NAFTA Free Trade Commission, there are few reported instances of States’ use of this power. At least in the context of bilateral investment treaties, the triangular relationship between the States parties and the investor claimant reduces the likelihood of genuine inter-State practice and, if taken in the context of a current dispute, reduces its probative value.¹⁵¹ **7.94**

Relevant rules of international law

The requirement in art 31(3)(c) VCLT to take into account ‘any relevant rules of international law applicable in the relations between the parties’ is of particular significance in the case of investment treaties. This paragraph encapsulates a principle of systemic integration, the foundation of which is that treaties are themselves creatures of international law—predicated for their existence and operation on being part of the international legal system.¹⁵² As such the parties are to be taken ‘to refer to general principles of international law for all questions which [the treaty] does not itself resolve in express terms and in a different way’.¹⁵³ This aspect of the interpretative process is of special significance in the case of investment treaties in at least three respects. First, light may be shed on the meaning of the terms used by reference to customary international law. Of course one must be careful not to transpose rules from custom that the parties have deliberately eschewed by the terms of their treaty. Investment treaties frequently represent an attempt by the parties to remedy some of the perceived deficiencies in protection afforded by custom, especially in the field of diplomatic protection. These are not to be re-imported into the treaty by the back door. On the other hand, there is evidence that, at least in many cases, the parties intended the substantive obligations to follow those developed in custom. The use of open-textured expressions of general **7.95**

¹⁴⁷ ILC ‘First report on subsequent agreements and subsequent practice in relation to treaty interpretation’ (Nolte, Special Rapporteur) (19 March 2013) UN Doc A/CN.4/660, ‘Second report on subsequent agreements and subsequent practice in relation to treaty interpretation’ (Nolte, Special Rapporteur) (26 March 2014) UN Doc A/CN.4/671, reprinted in G Nolte (ed) *Treaties and Subsequent Practice* (2013); A Roberts, ‘Power and Persuasion in Investment Treaty Interpretation: The Dual Role of States’ (2010) 104 AJIL 179.

¹⁴⁸ *Sempra Energy International v Argentina* (Award) ICSID Case No ARB/02/16, IIC 221 (2007, Orrego Vicuña P, Lalonde & Morelli Rico) para 385.

¹⁴⁹ *Fraport AG Frankfurt Airport Services Worldwide v Philippines* (Decision on Annulment) ICSID Case No ARB/03/25, IIC 478 (2010, Tomka P, Hascher & McLachlan) paras 95–100.

¹⁵⁰ Roberts, ‘Power and Persuasion in Investment Treaty Interpretation’.

¹⁵¹ C McLachlan, ‘The Evolution of Treaty Obligations in International Law’ in G Nolte (ed) *Treaties and Subsequent Practice* (2013) 69, 78.

¹⁵² See generally paras 1.63 *et seq* above and C McLachlan, ‘The Principle of Systemic Integration and Article 31(3)(c) of the Vienna Convention’ (2005) 54 ICLQ 279; C McLachlan, ‘Investment Treaties and General International Law’ (2008) 57 ICLQ 361.

¹⁵³ *Georges Pinson (France) v Mexico* (1927) V RIAA 327, AD Case no 292, 426, 427, per Verzijl P, and see the express acknowledgement of this in NAFTA art 102(2).

currency in international law also gives rise to the inference that the parties intended their meaning to be capable of evolution over time.¹⁵⁴ This idea has received express endorsement in the context of investor treatment.¹⁵⁵

- 7.96** Secondly, there may be other conventional international law obligations applicable in the relations between the parties that bear upon the interpretation of the investment treaty. Sometimes the treaty acknowledges this expressly. Thus, for example, the current US model form¹⁵⁶ contains a recital in which the parties confirm their desire to achieve their mutual investment objectives ‘in a manner consistent with the protection of health, safety, and the environment, and the promotion of *internationally recognized* labor rights’. Even where there is no such express statement, the operation of art 31(3)(c) requires consideration of other relevant treaties.¹⁵⁷

Special meanings

- 7.97** Article 31(4) may also be relevant in this context. As Judge Higgins observed in *Oil Platforms*, ‘the key terms “fair and equitable treatment to nationals and companies” ... are legal terms of art well known in the field of overseas investment protection’.¹⁵⁸ This paragraph draws attention to a wider phenomenon in this field, which is that treaties are developed in an iterative process in which many normative elements are shared. The author has described this process of treaty making elsewhere as ‘akin to a continuous dialogue within an open-plan office’.¹⁵⁹ The meaning of key words in an investment treaty may well be informed by the prior practice of each of the parties in concluding such treaties, irrespective of whether the norms can truly be said to have been established in customary international law. The preparation of model forms may be especially useful in this regard.

Travaux préparatoires

- 7.98** By contrast, it will be less usual for a reference to *travaux préparatoires* under art 32 VCLT to assist greatly in this field. It is rare for bilateral negotiations to produce the kind of explanatory reports, or official records of plenary debates, which are characteristic of multilateral negotiation.¹⁶⁰ When the confidential working papers on the negotiation of NAFTA were produced in *Pope & Talbot*, they did little to illuminate the matters in dispute. The transmittal statements by which domestic approval for such treaties is sought by the signatory States may well help to clarify interpretation issues—although they will inevitably carry less weight, if they are simply unilateral statements, uncorroborated by the other party. The International Court has nevertheless referred to such material in interpreting a Treaty of Friendship, Commerce and Navigation.¹⁶¹ The Tribunal in *Mondev*, despite questioning

¹⁵⁴ McLachlan, ‘Investment Treaties and General International Law’ (2008). For general authority see *Gabčíkovo Nagymaros Project (Hungary v Slovakia)* [1997] ICJ Rep 7, 76–80.

¹⁵⁵ eg *Mondev International Ltd v United States of America* (Award) ICSID Case No ARB(AF)/99/2, 6 ICSID Rep 181, IIC 173 (NAFTA/ICSID(AF), 2002, Stephen P. Crawford & Schwebel) paras 123–5.

¹⁵⁶ 2012 US model BIT, Preamble (Appendix 6 below) [emphasis added]. See also NAFTA art 104.

¹⁵⁷ But in the case of NAFTA, the FTC Interpretation makes clear that the express reference to international law in art 1105 is to customary international law only. See *Mondev* para 120.

¹⁵⁸ *Oil Platforms (Iran v United States of America)* [1996] ICJ Rep 803, 858, para 39 (Separate Opinion, Higgins J).

¹⁵⁹ McLachlan, ‘The Principle of Systemic Integration and Article 31(3)(c) of the Vienna Convention’ 284.

¹⁶⁰ *Asian Agricultural Products Ltd (AAPL) v Sri Lanka* (Award) ICSID Case No ARB/87/3, 4 ICSID Rep 245, IIC 18 (1990, El-Kosheri P, Goldman & Asante (dissenting)). At para 51, the Tribunal referred to the difficulty of ascertaining what may have been within the parties’ contemplation in including particular terms in a BIT ‘in the absence of *travaux préparatoires* in the proper sense’.

¹⁶¹ *Oil Platforms* 814–5, paras 28–31.

whether such statements are properly to be regarded as *travaux préparatoires*, referred to both the Canadian transmittal statement for NAFTA and US transmittal statements for BITs as confirming that the parties had intended art 1105 of NAFTA to encapsulate a customary international law standard (and as providing evidence of *opinio juris* for such a standard, at least among the three State parties).¹⁶²

2. Modern Application in Investment Arbitral Awards

It is now possible to analyse the way in which these basic provisions have been applied in the practice of investment arbitration since the millennium. The systemic limitations inherent in the structure of investment arbitration have a particularly acute effect in the context of the treatment provisions, where (in contrast to expropriation) there had been very little accretion of case law in the second half of the twentieth century. Each case turns in part on the specific language of the treaty under which it is conducted. There may be important differences in the formulations adopted for investor protection. The claims are litigated in various fora, depending on the dispute resolution provisions of the treaty, and the election of the parties. In the case of ICSID arbitration, there is an internal system to review arbitral awards under the annulment procedure, the grounds for which are strictly limited.¹⁶³ Outside ICSID, the only method of recourse is to national courts by review at the seat.¹⁶⁴ There is no strict doctrine of precedent that binds tribunals to apply the law as stated in prior awards.¹⁶⁵

7.99

These systemic limitations have been counterbalanced by a number of aspects of the practice to date. The majority of investment arbitral awards have been published with the consent of the parties. Arbitral tribunals deciding investor protection cases have, with some notable exceptions, shown a high degree of willingness to draw upon prior awards. The ongoing conversation among arbitrators has resulted in progressively more nuanced formulations of investor treatment rights. The present second edition is written in the light of two generations of awards and developments in treaty language. As a result the jurisprudence has developed considerably more sophistication on a number of key issues. But the scale of development of the law should not be overstated. The fact patterns submitted to international arbitration continue to present new legal issues for decision. The first response of a particular tribunal can produce a line of concurring opinions that may or may not be fully consistent with the overall structure of investment protection in international law. It is important to analyse particular cases not simply for their dicta on the formulation of the contested rights, but also to put these dicta in context—both as to their functional response to the subject-matter of the claim, and as to their consistency with the overall development of the law in this area.

7.100

¹⁶² *Mondev* paras 109–114.

¹⁶³ Convention on the Settlement of Investment Disputes between States and Nationals of Other States (signed 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 (ICSID Convention) art 52(1).

¹⁶⁴ eg *Occidental Exploration and Production Co v Ecuador* [2005] EWCA Civ 1116, [2006] 2 WLR 70, [2005] 2 Lloyd's Rep 707. This also applies to NAFTA claims since, Canada (until 1 November 2013) and Mexico not being parties to the ICSID Convention, these are conducted under the ICSID Additional Facility (or UNCITRAL), which does not provide for the annulment procedure. For examples of review by the courts at the seat, see *Mexico v Metalclad Corp* 2001 BCSC 664; 5 ICSID Rep 236 (S Ct BC); *Mexico v Karpa* (2005) 248 DLR (4th) 443 (Ont CA).

¹⁶⁵ See the discussion at paras 3.157 *et seq* above.

- 7.101** This Section will review the case law on the four main rights which have been the subject of dispute: (a) fair and equitable treatment; (b) full protection and security; (c) national treatment; and (d) MFN.¹⁶⁶

A. Fair and Equitable Treatment

- 7.102** The cases on fair and equitable treatment may be conveniently divided into three broad categories that measure the compliance of each of the three major functions of government: judicial, legislative, and executive. International responsibility may be attributed to the State 'whether the organ exercises legislative, executive, judicial or any other functions'.¹⁶⁷ The general legal standard of fair and equitable treatment applicable to the conduct of the State is the same irrespective of the organ carrying out the conduct. The application of the standard is nevertheless affected by the nature of the action or omission. In this respect, it is material to consider separately the particular factors that come into play in the context of each of the organs of government.

The judicial function: denial of justice

- 7.103** Mistreatment of foreign nationals by municipal courts was historically a primary focus of the minimum standard of the protection of aliens, encapsulated in the concept of denial of justice.¹⁶⁸ The focus of customary international law on the judicial organs of the State is strongly reinforced by the requirement that the affected person exhaust local remedies before his home State may espouse the claim by way of diplomatic protection at international law. In such a system, judicial treatment becomes the focus of the international adjudication. If the local remedy has effectively redressed the wrong done to the individual, there will be no ground for an international claim. Conversely, a denial of justice in the national courts will, if not redressed within the national judicial system, itself constitute the breach of a primary rule of international law, which will be the gravamen of the international claim.
- 7.104** A core structural change wrought to this system by the advent of investment arbitration is the general abrogation of the requirement of exhaustion of local remedies as a requirement for the admissibility of the international claim (save where the State expressly requires its continuation).¹⁶⁹ As a consequence, the investor may pursue a claim for breach of the treaty standards that is based directly upon allegations of administrative misconduct, irrespective of whether he has sought redress before the local courts. The claim cannot be impugned, either as a matter of jurisdiction or substance, solely on the ground of a failure to resort to national judicial remedies.¹⁷⁰ As a result, many claims for breach of the fair and equitable treatment standard do not involve consideration of the judiciary.

¹⁶⁶ The interpretation of the 'umbrella clause', providing treaty protection for contractual claims, is analysed at paras 4.127 *et seq* above.

¹⁶⁷ ILC 'Draft Articles on State Responsibility' [2001] 2(2) YB ILC 26, art 4.

¹⁶⁸ The classic study is Freeman (1938). For important contemporary analyses see: Paulsson (2005); Paparinskis (2013) chap 8; Z Douglas, 'International Responsibility for Domestic Adjudication: Denial of Justice Deconstructed' (2014) 63 ICLQ 867.

¹⁶⁹ ICSID Convention art 26; ILC 'Preliminary Report on Diplomatic Protection' (Bennouna, Special Rapporteur) (4 February 1998) UN Doc A/CN.4/484, 12; Douglas (2009) paras 56–9.

¹⁷⁰ *Helnan International Hotels AS v Egypt* (Decision on Annulment) ICSID Case No ARB/05/19, IIC 440 (2010, Schwebel P, Ajibola & McLachlan) para 45.

Nevertheless, allegations that the State has breached its obligation of fair and equitable treatment through the conduct of the judiciary have proved to be a continuing source of arbitral claims under investment treaties. The link between fair and equitable treatment and judicial conduct is made express in the US model BIT (and the free trade agreements concluded under its influence). This provides that fair and equitable treatment ‘includes the obligation not to deny justice in criminal, civil, or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world.’¹⁷¹ Irrespective of an express provision of this kind, ‘the fair and equitable treatment standard encompasses the notion of denial of justice.’¹⁷²

7.105

The previous 1994 US model BIT had dealt with the matter differently, providing a separate protection standard requiring each State party to ‘provide effective means of asserting claims and enforcing rights with respect to covered investments’.¹⁷³ This separate provision was omitted from the 2004 and 2012 revisions on the ground that it did not add anything to the treaty’s more general standards, in view of the inclusion of denial of justice within the fair and equitable treatment standard.¹⁷⁴ The provision continues to be found in a number of concluded bilateral investment treaties and has been the focus of two recent significant awards on the conduct of the judiciary.¹⁷⁵ A provision in almost identical terms was also included in the Energy Charter Treaty.¹⁷⁶

7.106

The contemporary cases applying a non-contingent standard to the judicial function may conveniently be considered under four heads. These are also the categories within which the customary international law concept of denial of justice had developed:

7.107

- (1) Denial of access to court
- (2) Delay
- (3) Due process, and
- (4) Content of the judgment.¹⁷⁷

Once these different types of judicial treatment have been considered, it will be necessary to return to two overarching issues arising under this head:

- (5) whether there is a requirement of finality; and
- (6) the relationship with other causes of action.

¹⁷¹ cf art 7(k) Final Harvard Draft Convention on the International Responsibility of States for Injuries to Aliens in L Sohn & R Baxter ‘Responsibilities of States for Economic Injuries to Aliens’ (1961) 55 AJIL 545, 551, which refers to procedural rights ‘recognized by the principal legal systems of the world.’

¹⁷² *Jan de Nul NV v Egypt* (Award) ICSID Case No ARB/04/13, 15 ICSID Rep 437, IIC 356 (2008, Kaufmann-Kohler P, Mayer & Stern) para 188.

¹⁷³ 1994 US model BIT (Appendix 5 below), art II(4); cf the provision in art XV of the Anglo-Greek Treaty of 1886 providing for ‘free access to the Courts of Justice for the prosecution and defence of their rights’ at issue in *Ambatielos (Greece v United Kingdom)* (1956) XII RIAA 83.

¹⁷⁴ KJ Vandeveld, *US International Investment Agreements* (2009) 415.

¹⁷⁵ *Chevron Corp v Ecuador* (Partial Award) PCA Case No 34877, IIC 421 (UNCITRAL/PCA, 2010, Böckstiegel C, Brower & van den Berg); *White Industries Australia Ltd v India* (Award) IIC 529 (2011, Rowley P, Brower & Lau).

¹⁷⁶ ECT art 10(12).

¹⁷⁷ *Azinian v Mexico* (Award) ICSID Case No ARB(AF)/97/2, 5 ICSID Rep 269, IIC 22 (NAFTA, 1999, Paulsson P, Civiletti & von Wobeser) paras 99–103.

7.108 Although these categories are convenient for the purpose of exposition and analysis, it must be emphasised that they each constitute elements of a general concept. The Tribunal in *ADC v Hungary* usefully described the concept of ‘due process of law’ as requiring:

... an actual and substantive legal procedure for a foreign investor to raise its claims against the depriving actions already taken or about to be taken against it. Some basic legal mechanisms, such as reasonable advance notice, a fair hearing and an unbiased and impartial adjudicator to assess the actions in dispute, are expected to be readily available and accessible to the investor to make such legal procedure meaningful. In general, the legal procedure must be of such a nature to grant an affected investor a reasonable chance within a reasonable time to claim its legitimate rights and have its claims heard.¹⁷⁸

7.109 The concept of denial of justice is above all a procedural standard. As Paulsson observes robustly opening his monograph study of the subject: ‘In international law, denial of justice is about due process, nothing else—and that is plenty’.¹⁷⁹ The reason for this has been illuminatingly explained as international law’s recognition of the special deference due to an adjudicatory process as the determination of claims through reasoned argument and decision.¹⁸⁰ The result is that international law is not concerned to adjudicate the correctness of the judgment per se. It protects the institution of adjudication and only intervenes when the process itself fails to afford the basic qualities that justify its existence. In this way, the protection from denial of justice is linked to the underlying concept of the rule of law, which it was submitted at the outset best explains the overall rationale for the fair and equitable treatment standard.

7.110 The concept of denial of justice has also found more concrete expression in international human rights law. Article 8 of the Universal Declaration of Human Rights 1948 provides: ‘Everyone has the right to an effective remedy by the competent national tribunals for acts violating the fundamental rights granted him by the constitution or by law.’¹⁸¹ Article 10 adds: ‘Everyone is entitled in full equality to a fair and public hearing by an independent and impartial tribunal, in the determination of his rights and obligations.’ Article 14(1) of the International Covenant on Civil and Political Rights (ICCPR) provides: ‘All persons shall be equal before the courts and tribunals. In the determination . . . of his rights and obligations in a suit at law, everyone shall be entitled to a fair and public hearing by a competent, independent and impartial tribunal established by law.’¹⁸²

7.111 The elaboration of such standards of universal acceptance provides a valuable tool to which, pursuant to art 31(3)(c) of the Vienna Convention, investment tribunals may refer in the interpretation of the treaty standard. The human rights standards provide a concrete manifestation of general principles of law accepted by the principal legal systems of the world. Jurisprudence under the human rights treaties may (with careful regard for differences in context) also illuminate by analogy.¹⁸³ So, for example, in *Toto v*

¹⁷⁸ *ADC Affiliate Ltd v Hungary* (Award) ICSID Case No ARB/03/16, 15 ICSID Rep 534, IIC 1 (2006), Kaplan P, Brower & van den Berg) para 435.

¹⁷⁹ Paulsson 7.

¹⁸⁰ Z Douglas, ‘International Responsibility for Domestic Adjudication: Denial of Justice Deconstructed’ 877–8, citing L Fuller and K Winston ‘The Forms and Limits of Adjudication’ (1978) 92 Harv LR 353, 367.

¹⁸¹ Universal Declaration of Human Rights (10 December 1948) GA Res UN Doc A/811.

¹⁸² International Covenant on Civil and Political Rights (ICCPR) (signed 16 December 1966, entered into force 23 March 1976) 999 UNTS 171.

¹⁸³ *Mondev* paras 138–44; and see generally P M Dupuy, E U Petersmann and F Francioni, *Human Rights in International Investment Law and Arbitration* (2009).

Lebanon,¹⁸⁴ the Tribunal, interpreting an investment treaty standard of fair and equitable treatment, referred to decisions of the ICCPR Commission on the circumstances in which court delays may amount to a breach of the right to a fair hearing.

Access The first and most elementary protection that denial of justice affords is that of *access* to a court. This is a consistently accepted part of the customary international law standard.¹⁸⁵ It is the threshold requirement in the human right to a fair trial and in the specific treaty standard of ‘effective means of asserting claims and enforcing rights.’ **7.112**

In *Ambatielos*, an international tribunal, considering a treaty that specifically protected ‘free access to the Courts’, described this in the following terms: **7.113**

[T]he essence of ‘free access’ is adherence to and effectiveness of the principle of nondiscrimination against foreigners who are in need of seeking justice before the courts of the land for the protection and defence of their rights. Thus, when ‘free access to the Courts’ is covenanted by a State in favour of the subjects or citizens of another State, the covenant is that the foreigner shall enjoy full freedom to appear before the courts for the protection or defence of his rights, whether as plaintiff or defendant; to bring any action provided or authorised by law; to deliver any pleading by way of defence, set off or counterclaim; to engage Counsel; to adduce evidence, whether documentary or oral or of any other kind; to apply for bail; to lodge appeals and, in short, to use the Courts fully and to avail himself of any procedural remedies or guarantees provided by the law of the land in order that justice may be administered on a footing of equality with nationals of the country.¹⁸⁶

A straightforward case illustrating the continuing importance of the requirement of access within a treaty standard of fair and equitable treatment is provided by *Dan Cake v Hungary*.¹⁸⁷ The claimant had invested in a Hungarian company Danesita that subsequently faced financial difficulties, leading to an application from its creditors for liquidation. Danesita applied to the Bankruptcy Court for a composition hearing with its creditors. It was entitled to such a hearing under Hungarian law, but the Court refused to grant one—a decision from which there was no effective appeal. Instead the Court ordered the liquidator to proceed directly to a sale of the company’s assets. The Tribunal held this to be a violation of the fair and equitable treaty standard as a denial of justice. **7.114**

Access in this context is not satisfied simply by a judicial consideration of, and decision on, the claimant’s request for relief. *Dan Cake* received such a decision. But the consequence was to deny it an effective determination on the merits of the relief that it sought (and which Hungarian law provided). The Tribunal’s determination of the treaty claim required an appraisal of the Court’s substantive decision. The purpose of the appraisal was to determine whether access had been unjustly denied. **7.115**

¹⁸⁴ *Toto Costruzioni Generali SpA v Lebanon* (Decision on Jurisdiction) ICSID Case No ARB/07/12, IIC 391 (2009, van Houtte P, Feliciani & Moghaizel) paras 158–60.

¹⁸⁵ Harvard Draft on the Responsibility of States for Damage done in their Territory to the Person or Property of Foreigners (1929) 23 AJIL Special Supp 173, art 9: ‘Denial of justice exists when there is a denial, unwarranted delay or obstruction of access to courts’; Paparinskis 210–11.

¹⁸⁶ *Ambatielos (Greece v United Kingdom)* (1956) XII RIAA 83, 111.

¹⁸⁷ *Dan Cake (Portugal) SA v Hungary* (Decision on Jurisdiction and Liability) ICSID Case No ARB/12/9 (2015, Mayer P, Landau & Paulsson).

- 7.116** A similar point, arising on more difficult facts, may be made about the important decision in *Mondev*, which has proved to be a foundational authority in this area.¹⁸⁸ In that case, Canadian investors claimed under NAFTA art 1105 that they had been treated unfairly by the United States as a result of decisions of the State courts of Massachusetts.¹⁸⁹ They complained inter alia that their claim had been definitively barred as the Massachusetts Supreme Court had upheld a local planning authority's statutory immunity from suit for intentional torts. In the first edition of this work, this case was framed and analysed as a decision on the scope of merits review for denial of justice—a matter on which the Tribunal makes important findings. Since, however, one of the rules of law in question was a rule of immunity, that key part of the case can equally be seen as one concerning access to the court.¹⁹⁰
- 7.117** The Tribunal considered the rationale for the particular immunity. It found that there was no uniformity of practice among the major legal systems as to the existence of immunities from suit for public authorities.¹⁹¹ It held that a blanket immunity from suit, even for tortious claims against public authorities, may well breach art 1105. But the narrow immunity from suit for tortious interference with contract served a rational purpose, which was reasonably commensurate with the authority's regulatory purpose, and did not breach the provision.
- 7.118** **Delay** The second well-recognised way in which justice may be denied is through unreasonable delay in the judicial process.¹⁹² That delay constitutes a separate basis on which the standard may be breached and is underlined in customary international law by the fact that undue delay in the remedial process attributable to the responsible State provides an exception to the requirement to exhaust local remedies.¹⁹³ The same point has been made in the context of treaty claims. Where the gravamen of the claimant's claim is delay, an insistence on exhaustion of local remedies 'might constitute a denial of justice in and of itself'.¹⁹⁴
- 7.119** What constitutes an unreasonable delay sufficient to rise to the level of an international delict is a matter of appreciation in light of all the circumstances, including the complexity of the matter, the need for celerity and the diligence of the claimant in prosecuting its claim.¹⁹⁵ The Tribunal may also take into account the circumstances affecting the court docket in the particular country.¹⁹⁶

¹⁸⁸ *Mondev* cited with approval inter alia in *Ab-Bahloul v Tajikistan* (Partial Award on Jurisdiction and Liability) IIC 474 (SCC, 2009, Hertzfeld C, Happ & Zykin) para 221; *Rumeli Telekom AS v Kazakhstan* (Award) ICSID Case No ARB/05/16, IIC 344 (2008, Hanotiau P, LaLonde & Boyd) para 653; *Jan de Nul NV v Egypt* (Award) paras 192–3.

¹⁸⁹ *Mondev* (Award).

¹⁹⁰ 1st edition (2007) para 7.82; cf Paparinskis, 210–11 and *Al-Adsani v United Kingdom* (App No 35763/97, 21 November 2001) 34 EHRR 11, 123 ILR 24 (ECtHR GC), where the Court considered the rule of state immunity in the context of a claim that its application barred access to a court in breach of art 6 European Convention on Human Rights.

¹⁹¹ *Mondev* paras 149–50.

¹⁹² *Fabiani (France v Venezuela)* (1905) X RIAA 83; *El Oro Mining (Great Britain) v Mexico* (1931) V RIAA 191; Freeman chap X; Harvard Draft on the Responsibility of States for Damage done in their Territory to the Person or Property of Foreigners, art 9; Paparinskis 211–22.

¹⁹³ ILC 'Draft Articles on Diplomatic Protection' [2006] 2(2) YB ILC 22, art 15(b).

¹⁹⁴ *Jan de Nul NV v Egypt* (Award) para 256.

¹⁹⁵ *Toto Costruzioni Generali SpA v Lebanon* (Decision on Jurisdiction) para 163.

¹⁹⁶ *ibid* para 165.

The question whether a different and lesser standard applies in the context of an obligation to provide ‘effective means’ than in a denial of justice claim has been considered in two major awards: *Chevron v Ecuador* and *White Industries v India*.¹⁹⁷ **7.120**

In *Chevron*, the claimants’ complaint concerned delays in the Ecuadorian judicial system in the determination of claims that they had brought against the State. These claims had been pending for at least thirteen years at the time of the notice of arbitration. No judgment had been entered in any of the pending cases. Following the institution of the arbitration, some, but not all, of the cases resulted in final judgments. **7.121**

The Tribunal approached the question as one of failure to provide effective means of enforcing rights under a specific provision of the investment treaty to that effect.¹⁹⁸ It accepted that the effective means provision ‘seeks to implement and form part of the more general guarantee against denial of justice’,¹⁹⁹ and that therefore ‘the interpretation and application of [the effective means standard] is informed by the law on denial of justice.’²⁰⁰ It nevertheless insisted that the treaty standard ‘constitutes a *lex specialis* and not a mere restatement of the law on denial of justice.’²⁰¹ From this premise, the Tribunal held that the standard is not as exacting as denial of justice under customary international law. It insisted that the effective means provision requires a ‘measure of deference’ to the domestic justice system, since the Tribunal ‘is not empowered to act as a court of appeal reviewing every alleged failure of the local judicial system *de novo*’.²⁰² The factors that it discussed as relevant to a determination of whether delay amounts to a breach of the treaty standard are also those relevant to denial of justice.²⁰³ By the same token, the Tribunal rejected the application of the customary standard of finality or exhaustion, yet applied substantially the same considerations in deciding that the Ecuadorian legal system had in fact placed effective means of redress at claimants’ disposal.²⁰⁴ **7.122**

The evidence showed that, in all but one of the cases, the Ecuadorian courts had had over nine years since the completion of the evidentiary phase to render a first instance judgment and had not done so. In the remaining case, no date had even been set for a judicial inspection. In these circumstances, the Tribunal’s finding of breach of the standard on the facts is unsurprising. But its finding of law decoupling effective means from denial of justice in customary international law requires further reflection in view of its implications for subsequent cases—implications that were to be realised in *White Industries v India*, decided the following year.²⁰⁵ **7.123**

¹⁹⁷ *Chevron Corp v Ecuador* (Partial Award); *White Industries Australia Ltd v India* (Award) IIC 529 (2011, Rowley P, Brower & Lau); as to which see: M Sattorova, ‘Denial of Justice Disguised? Investment Arbitration and the Protection of Foreign Investors from Judicial Misconduct’ (2012) ICLQ 223; A Karrema and K Dharmananda, ‘Time to Reassess Remedies for Delays Breaching “Effective Means”’ (2015) 30 ICSID Rev-FILJ 118; J Wirth, ‘“Effective Means” Means?: The Legacy of *Chevron v Ecuador*’ (2013) 52 Colum J Transnat’l L 325; Z Douglas, ‘International Responsibility for Domestic Adjudication: Denial of Justice Deconstructed’ (2014).

¹⁹⁸ *Chevron* paras 241–75.

¹⁹⁹ *ibid* para 242, citing *Duke Energy Electroquil Partners v Ecuador* (Award) ICSID Case No ARB/04/19, IIC 333 (2008, Kaufmann-Kohler P, Gómez-Pinzón & van den Berg) para 391.

²⁰⁰ *ibid* para 244.

²⁰¹ *ibid* para 242.

²⁰² *ibid* para 247.

²⁰³ *ibid* para 250.

²⁰⁴ *ibid* paras 321–9.

²⁰⁵ One may also question the Tribunal’s decision (for which no authority other than an expert opinion in the case is cited) to disregard any subsequent judgments of the Ecuadorian courts on the claims in its

- 7.124** *White Industries*²⁰⁶ presented a fact pattern that differed from *Chevron* in a number of material respects. The claim pursued in the Indian courts in that case was not directly against the Republic of India. It was a claim for the enforcement of an ICC commercial arbitration award, rendered in 2002, against a state-owned corporation, Coal India. The Indian courts were not inactive. On the contrary, the record disclosed numerous applications and appeals, including a pending appeal to the Supreme Court. But the process had not resulted in a decision on the enforcement of the award by the time the investment arbitration case was filed in 2010.
- 7.125** The Tribunal considered White's claims under both the customary standard of denial of justice (which it treated as an implied element in the treaty standard of fair and equitable treatment) and under an effective means standard.²⁰⁷ It held the first standard to be stringent. Taking account of the conduct of the parties, and assessing the conduct of the courts themselves in light of the overall position of the judiciary in India, a developing country with huge population, it found that there had been no denial of justice.²⁰⁸ However, applying the *Chevron* test of effective means, the Tribunal held that a delay of over five years in the pending jurisdictional appeal to the Supreme Court did amount to a breach of the effective means standard.²⁰⁹
- 7.126** In this way, the separation drawn in *Chevron* between denial of justice and effective means became the dispositive issue in *White Industries*. The Tribunals' approach requires critical examination. The conclusion in *Chevron* that the treaty language is different to the customary standard and that the Parties must therefore have intended to provide a *lex specialis* was a deduction that it need not have made. The *Chevron* Tribunal references United States concerns, but these appear to have been to provide certainty of content to denial of justice, not to create a separate and different substantive standard. Despite the possible ambiguity, there is no reference to supplementary means of interpretation that could establish a meaning common to both Contracting States. The factors applied to a determination of whether there had been a failure to provide effective means were drawn from the law on denial of justice. If there were a concern to avoid the customary standard on the ground of its excessive rigidity, this appears misplaced. In either case, the tribunal must still ensure a measure of deference to the domestic courts, lest it set itself up as a court of appeal from the domestic process. The requirement of exhaustion of local remedies cannot, by definition, apply to a case of delay, since otherwise the very insistence on exhaustion could itself produce a denial of justice.
- 7.127** It is particularly difficult to understand the division of standards applied in *White Industries*. Denial of justice was not relied upon in that case as a cause of action in customary international law. Rather it was invoked as a specific application of fair and equitable treatment. Since fair and equitable treatment is itself concerned with the application of the rule of law to judicial and administrative decision-making generally, the requirement to provide effective

determination of whether the Claimants held valuable rights that had been lost by the delay or on the quantum of recovery: *ibid* 272, 377; see Z Douglas, 'International Responsibility for Domestic Adjudication: Denial of Justice Deconstructed'; A Karrema and K Dharmananda, 'Time to Reassess Remedies for Delays Breaching "Effective Means"'.

²⁰⁶ *White Industries Australia Ltd v India* (Award) IIC 529 (2011, Rowley P, Brower & Lau).

²⁰⁷ It held the latter to have been incorporated into the BIT from another Indian BIT by means of the MFN clause: *ibid* paras 11.2.1–11.2.9.

²⁰⁸ *ibid* paras 10.4.10–10.4.24.

²⁰⁹ *ibid* paras 11.4.16–11.4.20.

means to vindicate rights is just one application of the more general treaty standard. It does not follow that separate express provision must necessarily imply a different standard, when the allegation is one of breach in a particular case. The *positive* duty on the host State to put in place effective means may well have wider systemic implications for the provision of remedies through legislation, rules of court and judicial structures. In circumstances such as those in both *Chevron* and *White Industries* where it was undisputed that such remedies did exist and what was in issue was the operation of the system in a particular case, there would not appear to be a good ground for a difference in standard. The result is to create a significant level of uncertainty as to exactly what the standard of effective means does require in particular cases, an uncertainty that has not yet been resolved.²¹⁰

Due process The third category of claims of denial of justice is that of a fundamental failure in due process in the litigation procedure itself. The assurance of due process lies at the heart of the fair and equitable treatment standard as a whole. It has long also been a central concern of denial of justice. The Tribunal in *Loewen* put it this way: **7.128**

‘[W]e take it to be the responsibility of the State under international law ... to provide a fair trial of a case to which a foreign investor is a party. It is the responsibility of the courts of a State to ensure that litigation is free from discrimination against a foreign litigant and that the foreign litigant should not become the victim of sectional or local prejudice’.²¹¹

The burden is on the claimant to make good such a claim. Bad faith or malicious intention is not required. Rather what must be shown is: ‘Manifest injustice *in the sense of a lack of due process* leading to an outcome which offends a sense of judicial propriety is enough ...’²¹² **7.129**

The claim in *Loewen* was concerned with a very serious breakdown in a judicial system. Raymond Loewen, and his company Loewen Group Inc (together ‘Loewen’) were Canadian nationals, who had become involved in a dispute with an American competitor in the funeral home business, one O’Keefe. A jury trial was held in the Mississippi State Court in which Loewen alleged that the trial judge allowed O’Keefe’s lawyers to make ‘extensive, irrelevant and highly prejudicial’ discriminatory references to Loewen’s nationality, class, and race. The jury awarded O’Keefe US\$500 million in damages (of which US\$400 million were punitive damages). Loewen complained that he was unable to appeal, because local procedural rules required him to post a bond of 125 per cent of the amount of the judgment in order to secure a stay of execution pending appeal, and an application to relax that requirement was refused by the Court. **7.130**

Loewen’s NAFTA claim made complaint about the trial court procedure, the excessive verdict and the arbitrary application of the bond requirement. The Tribunal found on the facts that: ‘By any standard of measurement, the trial involving O’Keefe and Loewen was a disgrace ... By any standard of evaluation, the trial judge failed to afford Loewen the process that was due.’²¹³ **7.131**

²¹⁰ Ecuador instituted inter-State arbitration under the BIT against the United States seeking a determination of the meaning of ‘effective means’, but the claim was dismissed on jurisdictional grounds: *Ecuador v United States of America* PCA Case No 2012-5 <<http://www.italaw.com/cases/1494>> (last accessed 27 July 2016).

²¹¹ *Loewen Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/98/3, 7 ICSID Rep 421, IIC 254 (NAFTA/ICSID (AF), 2003, Mason P, Mikva & Mustill) para 123.

²¹² *ibid* para 132 [emphasis added].

²¹³ *ibid* para 119.

7.132 A judicial decision which was both a violation of municipal law and discriminatory to foreigners would amount to a manifest injustice in breach of the standard. The Tribunal found that, at the trial stage, this standard was clearly breached.²¹⁴

7.133 Nevertheless, in a widely criticised decision, the Tribunal denied relief to Loewen on two grounds:

- (1) Loewen had changed its nationality after institution of proceedings. This, thought the Tribunal, was in breach of a requirement of continuous nationality. The error in that part of the ruling is discussed in Chapter 5.²¹⁵
- (2) Loewen had failed to exhaust local remedies, a requirement that the Tribunal thought applied substantively to the question whether there had been finality in the failure in due process. This question will be addressed below.²¹⁶

7.134 Content of the judgment May the content of the judgment itself give rise to a claim of denial of justice? This was the area of the greatest controversy in the twentieth century debates about the requirements of the denial of justice standard.²¹⁷ In modern international law, the content of the judgment itself does not provide a ground of review, even if its application of national law is clearly erroneous.²¹⁸

7.135 Nevertheless, the international tribunal may evaluate the merits of the judgment for the purpose of enquiring whether it affords evidence of bias, fraud, dishonesty, or lack of impartiality.²¹⁹ In other words, the judgment itself may indicate a lack of due process. The international tribunal may not substitute its view of the correct application of national law for that of the national court.²²⁰ This distinction—between review for fundamental failure in due process and merits review—is one that must commonly be made in the enforcement of foreign judgments and awards,²²¹ and in domestic systems of judicial review.

7.136 The balance to be struck was well stated in *Mondev* as follows:

The test is not whether a particular result is surprising, but whether the shock or surprise occasioned to an impartial tribunal leads, on reflection, to justified concerns as to the judicial propriety of the outcome, bearing in mind on the one hand that international tribunals are not courts of appeal, and on the other hand that Chapter 11 of NAFTA (like other treaties for the protection of investments) is intended to provide a real measure of protection. In the end the question is whether, at an international level and having regard to generally accepted standards of the administration of justice, a tribunal can conclude in the light of all the available facts

²¹⁴ cf *Arif v Moldova* (Award) ICSID Case No ARB/11/23, IIC 585 (2013, Cremades P, Hanotiau & Knieper) noted Paparinskis, (2016) 31 ICSID Review–FILJ 122–8, where the Tribunal held, on a review of the court procedures, that there had been no failure to accord due process by the Moldovan courts.

²¹⁵ paras 5.171–5.179 above.

²¹⁶ paras 7.142–7.143 below.

²¹⁷ cf Freeman 309 ('practice, as well as the overwhelming preponderance of legal authority, recognizes that not only flagrant procedural irregularities and deficiencies may justify diplomatic complaint, but also gross defects in the substance of the judgment itself') with the Guerrero Draft 1926 ('a judicial decision, whatever it may be, and even if vitiated by error or injustice, does not involve the international responsibility of the State.'), reprinted in Freeman App 1.

²¹⁸ Paulsson 81–4.

²¹⁹ G Fitzmaurice, 'The Meaning of the Term "Denial of Justice"' (1932) 13 BYIL 93, 112–13.

²²⁰ *Arif v Moldova* para 441.

²²¹ See Dicey, rules 48 and 52.

that the impugned decision was clearly improper and discreditable, with the result that the investment has been subjected to unfair and inequitable treatment.²²²

Finality Once it is accepted that judicial acts or omissions may themselves give rise to a breach of the non-contingent standards of investment treaties, on grounds that are broadly similar to those established under the customary international law approach to denial of justice, it is necessary to confront the question of the extent to which the investor must seek a final adjudication of his rights within the national court system before his complaint can rise to the level of an international delict giving rise to a treaty breach. **7.137**

It is a hallmark of the investment arbitration system that it dispenses with the requirement of exhaustion of local remedies. Such a rule operates to determine the conditions for the admissibility of the State's claim at international law. It serves no similar function where the investor is permitted by treaty to pursue a direct claim. As Bennouna observed in his preliminary report to the International Law Commission on Diplomatic Protection: **7.138**

In consenting to arbitration, the parties to a dispute waive all other remedies. In this way, both the demand of the host State that local remedies be exhausted and the exercise of diplomatic protection by the State of nationality are put aside.²²³

But the question that remains is: when the investor engages the host State's judicial system, to what extent must he achieve finality on the substance of his claim? As a general proposition, 'an aberrant decision by an official lower in the hierarchy, which is capable of being reconsidered, does not of itself amount to an unlawful act'.²²⁴ This consideration applies with particular force in the context of a system of adjudication. When a plaintiff brings suit in the vindication of his rights, he engages the judicial system as a whole, including its provision for appeals. Where such rights of appeal exist, 'the Respondent State must be put in a position to redress the wrongdoings of its judiciary.'²²⁵ **7.139**

There is now a consistent line of investment treaty jurisprudence, considering denial of justice within the context of fair and equitable treatment, to the effect that: **7.140**

As long as such decisions are not final and binding and can be corrected by the internal mechanisms of appeal, they do not deny justice. In other words, as long as the judicial system is not tested as a whole, the fair and equitable treatment standard is not violated via a denial of justice. The State does not mistreat a foreign investor unfairly and inequitably by a denial of justice through an appealable decision of a first instance court, but only through the final product of its administration of justice which the investor cannot escape. The State is not responsible for the wrongdoings of an individual judge as long as it provides readily accessible mechanisms which are capable of neutralizing such judge.²²⁶

In the light of this case law, the requirement of finality must now be accepted as a specific requirement where the claimant's case is predicated on a failure on the part of the judicial system to accord fair and equitable treatment. **7.141**

²²² *Mondev* para 127, citing *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15; Art 8(b) Final Harvard Draft Convention on the International Responsibility of States for Injuries to Aliens in L Sohn & R Baxter 'Responsibilities of States for Economic Injuries to Aliens' (1961) 55 AJIL 545, 551. This test was approved and applied in *Jan de Nul NV v Egypt* (Award) para 193.

²²³ ILC 'Preliminary Report on Diplomatic Protection' UN Doc A/CN 4/484, 12.

²²⁴ ILC 'Second Report on State Responsibility' UN Doc A/CN 4/498, 34.

²²⁵ *Jan de Nul v Egypt* para 258.

²²⁶ *Arif v Moldova* para 443. Other awards adopting this approach include: *Loewen* (Award); *Duke Energy Electroquil Partners v Ecuador* (Award) ICSID Case No ARB/04/19, IIC 333 (2008, Kaufmann-Kohler P,

- 7.142** However real injustice can be wreaked by an unduly strict interpretation of the substantive requirement to find a systemic failure in the judicial system as commensurate with an obligation on the claimant to exhaust local remedies. An example of such injustice is provided by the decision in *Loewen* itself. Having found that the trial process itself in that case constituted a clear breach of due process, the case turned on what steps Loewen had taken to pursue his rights to appeal. As has been seen, local procedural rules required Loewen to post a bond of 125 per cent of the \$500 million judgment against it in order to obtain a stay of execution pending appeal. His attempt to persuade the Mississippi Supreme Court to relax the bond requirement was unsuccessful. That, on the analysis of the Tribunal, left Loewen with the option of either proceeding with his substantive appeal unprotected by a stay (with the consequent risk of immediate execution), filing for Chapter 11 bankruptcy, or filing a petition for *certiorari* with the US Supreme Court. Instead, Loewen chose to enter into a settlement agreement. The Tribunal found that, in the absence of an explanation by Loewen as to why he had settled rather than pursuing other options, such as the Supreme Court option, he had failed to discharge his burden of demonstrating that he had pursued domestic remedies.²²⁷
- 7.143** Even if one applies the customary international test of exhaustion of local remedies, such a requirement does not apply where '[t]here are no reasonably available local remedies to provide effective redress, or the local remedies provide no reasonable possibility of such redress.'²²⁸ The International Law Commission considered that a further exception should apply where '[t]he injured person is manifestly precluded from pursuing local remedies.'²²⁹ It gave as an example of such manifest preclusion 'circumstances in which such costs are prohibitively high and "manifestly preclude" compliance with the exhaustion of local remedies rule.'²³⁰ The Tribunal in *Loewen* was faced with just such an exceptional set of circumstances and yet failed to recognise the implications of that for the duty of the United States to afford due process to a foreign litigant.
- 7.144** The result of the application of a substantive finality requirement to cases of judicial treatment is to increase the importance of the decision whether to pursue local remedies in the first place. The investor is not required to do so. But where he does and fails to achieve redress at first instance, he will be held to the requirement to pursue appeals or other reasonably available local remedies for effective redress.
- 7.145** Another result of an unduly rigid application of the finality requirement for denial of justice has been that it has led to subsequent attempts to circumvent such a requirement through resort to other treaty standards.²³¹ So, in *Chevron* and in *White Industries*, tribunals held that there was no strict requirement of exhaustion of remedies where the claimant's cause of action could be founded upon a treaty standard requiring the State to provide 'effective

Gómez-Pinzón & van den Berg) paras 399–401; *Jan de Nul v Egypt*; *Pantechniki SA Contractors and Engineers v Albania* (Award) ICSID Case No ARB/07/21, IIC 383 (2009, Paulsson (sole)) para 102; *Toto Costruzioni Generali SpA v Lebanon* (Decision on Jurisdiction) para 168.

²²⁷ *Loewen* paras 207–17.

²²⁸ ILC 'Diplomatic Protection: Draft Articles with Commentaries' [2006] 2(2) YB ILC 22, art 15(a) commentary paras 5 and 6.

²²⁹ *ibid* art 15(d).

²³⁰ *ibid* art 15(d) commentary para 11, citing *Loewen*.

²³¹ M Sattorova, 'Denial of Justice Disguised? Investment Arbitration and the Protection of Foreign Investors from Judicial Misconduct' (2012) ICLQ 223.

means'.²³² In *Chevron*, the Tribunal thought that 'a qualified requirement of exhaustion of local remedies applies under the "effective means" standard',²³³ whilst nevertheless stating that 'a claimant is required to make use of all remedies that are available and might have rectified the wrong complained of'.²³⁴

Such an apparent distinction leaves the law unclear. The point has a particular practical consequence for claimants as well as respondent States, since the parties must be able to know in advance the extent to which a claimant is required to test the domestic legal system before resorting to international arbitration. The distinction is particularly difficult to justify where the finality requirement is applied to a denial of justice under the treaty standard of fair and equitable treatment and a lesser standard of finality is said to apply to another treaty standard, also concerned with the conduct of the judicial system, namely effective means. If the tribunal's task is to assess whether in a particular case the claimant was accorded due process, the same approach to determining whether the process as a whole was just should apply. 7.146

Relation with other causes of action Where the investor has exhausted local remedies, and his claim has been held invalid as a matter of domestic law, he must establish that he was subject to a denial of justice in the judicial system in order to prevail in his claim. 7.147

This important point was established in one of the earliest claims under this head under NAFTA: *Azinian v Mexico*.²³⁵ The investors' claim under art 1105 of NAFTA was brought as an adjunct to their primary claim for expropriation in the termination of their contract for waste disposal in Mexico. The contract itself was expressly governed by Mexican law and subject to the jurisdiction of the Mexican courts. It had been held invalid by three levels of Mexican courts.²³⁶ The Tribunal accepted that in principle the host State could be liable for the decisions of its courts. The Tribunal then drew expressly upon the defined limits of the responsibility of States for the acts of judicial organs in customary international law.²³⁷ It observed: 7.148

A governmental authority surely cannot be faulted for acting in a manner validated by its courts *unless the courts themselves are disavowed at the international level ...*

What must be shown is that the court decision itself constitutes a violation of the treaty. Even if the Claimants were to convince this Arbitral Tribunal that the Mexican courts were wrong with respect to the invalidity of the Concession Contract, this would not per se be conclusive as to a violation of NAFTA. More is required; the Claimants must show either a denial of justice, or a pretence of form to achieve an internationally unlawful end [original emphasis].²³⁸

Since the claimants made no complaint about their treatment by the Mexican courts, their claims had to fail. This applied as much to the expropriation claim as to breach of art 1105: 'For if there is no complaint against a determination by a competent court that a contract governed by Mexican law was invalid under Mexican law, there is by definition no contract to be expropriated'.²³⁹ 7.149

²³² *Chevron Corp v Ecuador* paras 321–6; *White Industries Australia Ltd v India* para 11.3.2(g).

²³³ *Chevron* para 321.

²³⁴ *ibid* para 326.

²³⁵ *Azinian v Mexico* (Award) ICSID Case No ARB(AF)/97/2, 5 ICSID Rep 269, IIC 22 (NAFTA, 1998, Paulsson P, Civiletti & von Wobeser).

²³⁶ *ibid* para 96.

²³⁷ *ibid* para 98. The Tribunal cited a formulation by E Jiménez de Aréchaga, 'International Law in the Past Third of a Century' (1978) 159 *Recueil des Cours* 1.

²³⁸ *ibid* para 99.

²³⁹ *ibid* para 100.

- 7.150** The Tribunal in *Arif v Moldova*²⁴⁰ did not give sufficient regard to this important principle when, despite finding that there had been no denial of justice by the court system which had properly annulled the Claimant's lease, the Respondent was nevertheless liable because Claimant's legitimate expectations had been frustrated in view of contrary assurances of state administrative officials. The fact that the judiciary operated to check administrative decisions is a hallmark of the rule of law, not a subversion of it.²⁴¹
- 7.151** Nor is the position different where the national court is applying international law. True it is that the international tribunal is not bound by a national court's decision on the content of international law. But the question in the present context is rather different. It is whether the investor has suffered a denial of justice at the hands of the host State through the operation of its judicial system. To admit a claim that the national courts incorrectly applied international law would amount to a review on the substance.
- 7.152** So, in *Frontier v Czech Republic*,²⁴² the Tribunal was concerned with a claim that the Czech courts had refused to enforce an international arbitral award in the context of bankruptcy proceedings in the Czech Republic against the award debtor. The courts had invoked the public policy exception to enforcement under the New York Convention. The Tribunal denied the claim, holding that the Czech courts' application of public policy was consistent with comparative jurisprudence on the effect on the enforcement of arbitral awards of the rule of equal treatment of creditors.²⁴³ The outcome is unimpeachable. In the course of its reasoning on the application of the standards of fair and equitable treatment and full protection and security, the Tribunal stated that it was entitled to determine whether the national court decisions were 'reasonably tenable'.²⁴⁴ If this were intended to admit a form of merits review on a national court's application of the law it would go too far. But the Tribunal made clear that its purpose in so doing was to see whether the tribunal had acted in an arbitrary or discriminatory manner or in bad faith²⁴⁵—all fundamental aspects of a procedural guarantee of due process.

The legislative function: the scope of regulatory stability

- 7.153** A second category consists of cases in which the gravamen of the investor's complaint is that its investment has been unfairly treated by the exercise of the host State's legislative power.
- 7.154** The international tribunal's power to review the actions of the national legislature is undoubted. The host State's voluntary commitment to an international standard by treaty is an exercise of its sovereignty. It necessarily entails the consequence that '[t]he characterization of an act of a State as internationally wrongful is governed by international law. Such characterization is not affected by the characterization of the same act as lawful by internal law.'²⁴⁶

²⁴⁰ *Arif v Moldova* para 547.

²⁴¹ Paparinskis, (2016) 31 ICSID Review-FILJ 122–8.

²⁴² *Frontier Petroleum Services Ltd v Czech Republic* (Final Award) IIC 465 (UNCITRAL, 2010, Williams P, Álvarez & Schreuer).

²⁴³ *ibid* paras 527–30.

²⁴⁴ *ibid* paras 273, 527.

²⁴⁵ *ibid* paras 525, 529.

²⁴⁶ ILC 'Draft Articles on State Responsibility' [2001] 2(2) YB ILC 26, art 3.

Nevertheless the exercise of the legislative function, by its nature, produces effects of a general character on persons under the jurisdiction of the host State. In this respect, it is to be contrasted with a judicial or administrative decision, whose effects are typically limited to a particular claimant. The international tribunal must take into account the wider public purposes of the legislation as well as its effects on a particular claimant. The long-term character of much foreign direct investment requires consideration of the balance to be struck over time between the investor's interest in the stability of the regulatory regime and the State's need for flexibility in order to reflect changed circumstances. As it was put in *Total v Argentina*: 7.155

[A]n evaluation of the fairness of the conduct of the host country towards an investor cannot be made in isolation, considering only their bilateral relations. The context of the evolution of the host economy, the reasonableness of the normative changes challenged and their appropriateness in the light of a criterion of proportionality also have to be taken into account.²⁴⁷

The scope of the power of review of legislative action for unfair and inequitable treatment is circumscribed by two general principles of investment law that have a particular application to the legislative function: (a) the principle that the investor must take host State law as he finds it; and (b) considerations of reasonable regulatory flexibility. 7.156

In the recent jurisprudence under the fair and equitable treatment standard, tribunals have discussed these factors within a broader concept of legitimate expectations.²⁴⁸ This concept, derived from domestic public law, is capable of providing a useful framework for analysis. Though described as the 'dominant element' of the standard,²⁴⁹ reference to legitimate expectations does not supply an independent treaty standard. Rather it gives effect to one basis upon which an investor may claim to have been treated unfairly by the host State.²⁵⁰ In many such cases, the conduct that is principally at issue falls within the executive function. The tribunal is called upon to assess the treatment accorded to an investor by reference to any specific assurances from the administration that the investor received at the time of investment in reliance upon which he decided to invest. This type of State conduct will be assessed in the next section of this chapter.²⁵¹ The present section isolates the particular factors that come into play where the impugned measures are legislative. 7.157

Host State law at the time of investment It is for the host State to decide for itself the legal framework that it will apply to foreign investments upon its territory. This principle has a more general application in investment law.²⁵² It carries with it the consequence that, in the absence of some specific representation to the contrary, the investor is bound by host State law at the date of the investment, and cannot bring a complaint of unfair treatment for a subsequent faithful application of it. Thus, in *MTD v Chile*, the Tribunal held, considering 7.158

²⁴⁷ *Total SA v Argentina* (Decision on Liability) ICSID Case ARB/04/1, IIC 484 (2010), Sacerdoti P, Álvarez & Herrera Marciano) para 123.

²⁴⁸ M Potesta, 'Legitimate Expectations in Investment Treaty Law: Understanding the Roots and Limits of a Controversial Concept' (2013) 28 ICSID Rev-FILJ 88.

²⁴⁹ *Saluka* para 302.

²⁵⁰ *MTD Equity Sdn Bhd v Chile* (Decision on Annulment) ICSID Case No ARB/01/7, 13 ICSID Rep 500, IIC 177 (2007), Guillaume P, Crawford & Noriega) paras 67–8.

²⁵¹ Paras 7.174 *et seq* below.

²⁵² See Z Douglas, 'The Hybrid Foundations of Investment Treaty Arbitration' (2003) 74 BYIL 151, 197–211.

a specific provision of a BIT relating to the granting of permits, that 'said provision does not entitle an investor to a change of the normative framework of the country where it invests. All that an investor may expect is that the law be applied'.²⁵³

7.159 In *GAMI v Mexico*, the Tribunal put the matter more generally:

International law does not appraise the content of a regulatory programme extant before an investor decides to commit. The inquiry is whether the state abided by or implemented that programme. It is in this sense that a government's failure to implement or abide by its own law in a manner adversely affecting a foreign investor may but will not necessarily lead to a violation of Article 1105.²⁵⁴

7.160 This may be seen as an illustration of a more general point recognized by the Permanent Court of International Justice in *Oscar Chinn*,²⁵⁵ which is that the investor must take the conditions of the host State as he finds them. He cannot make a subsequent complaint if his investment fails merely because of laws, policies or practices which were in place at the time of investment, and which were, or ought to have been, well known to him before making the investment. The tribunal must establish the content of host State law at the time of the investment by reference to how the host State courts would actually apply it, rather than merely how it appears from the books.²⁵⁶

7.161 The standard 'brings foreign investors into the normative sphere of rational policy in the general interest'.²⁵⁷ This includes recognition of the State's capacity to change its laws over time to reflect changing economic and social needs—a point developed in the next section. In applying the standard, the tribunal should take into account the particular circumstances of the relevant State. This is a broader consideration than the content of its legal rules. It also requires consideration of the State's political and economic evolution. This will in turn affect what degree of change an investor might reasonably anticipate at the time of investment.²⁵⁸ As one tribunal commented in a case involving Albania: 'it would have been irrational to insist that Albania maintained the stability of its legal framework, proceedings and general conditions as a *status quo* because this would have condemned the perpetuation of an inadequate system'.²⁵⁹

7.162 Subsequent change in host State law The standard of fair and equitable treatment does not operate, without more, as an undertaking on the part of the host State that the content of host State law at the time of the investment will not change subsequently throughout the life of the investment:

It is each State's undeniable right and privilege to exercise its sovereign legislative power. A State has the right to enact, modify or cancel a law at its own discretion. Save for the existence of an agreement, in the form of a stabilisation clause or otherwise, there is nothing objectionable about the amendment brought to the regulatory framework existing at the time an investor made its investment. As a matter of fact, any businessman or investor knows that laws

²⁵³ *MTD v Chile* para 205.

²⁵⁴ *GAMI Investments Inc v Mexico* (Award) 13 ICSID Rep 147, IIC 109 (NAFTA/UNCITRAL, 2004, Paulsson C, Muró & Reisman) para 91.

²⁵⁵ *Oscar Chinn* (1934) PCIJ Series A/B No 63.

²⁵⁶ *Brazilian Loans* (1929) PCIJ Series A No 21, 124.

²⁵⁷ *Mamidoil Jetoil Greek Petroleum Products Soc SA v Albania* (Award) ICSID Case No ARB/11/24, IIC 682 (2015, Kneiper P, Banifatemi & Hammond (dissenting)) para 614.

²⁵⁸ *Parkerings-Compagniet AS v Lithuania* (Award) ICSID Case No ARB/05/8, IIC 302 (2007, Lévy P, Lalonde & Lew) para 335.

²⁵⁹ *Mamidoil* para 629.

will evolve over time. What is prohibited however is for a State to act unfairly, unreasonably or inequitably in the exercise of its legislative power.²⁶⁰

The Tribunal in *EDF (Services) Ltd v Romania* developed this point further, holding: **7.163**

The idea that legitimate expectations, and therefore FET, imply the stability of the legal and business framework, may not be correct if stated in an overly-broad and unqualified formulation. The FET might then mean the virtual freezing of the legal regulation of economic activities, in contrast with the State's normal regulatory power and the evolutionary character of economic life. Except where specific promises or representations are made by the State to the investor, the latter may not rely on a bilateral investment treaty as a kind of insurance policy against the risk of any changes in the host State's legal and economic framework. Such expectation would be neither legitimate nor reasonable.²⁶¹

Nor does the international standard immunise an investor from changes in taxation imposed by the State. As it was put in *Paushok v Mongolia*: **7.164**

An investor, without an agreement which limits or prohibits the possibility of tax increases, should not be surprised to be hit with tax increases in subsequent years and such an event could not be considered as 'unpredictable'.²⁶²

In striking the balance between stability and flexibility in the regulatory regime, tribunals have typically required the presence of one of the following three elements in finding a breach of the treaty standard: **7.165**

- (a) A specific assurance or promise of a competent organ attributable to the State upon which the investor reasonably relied in deciding to invest;
- (b) Regulations that are substantively arbitrary or discriminatory in their application to foreign investors; or
- (c) A total alteration of the entire regulatory framework for foreign investments in the particular field that has the effect of virtually eliminating the benefits that the investor reasonably anticipated upon making the investment.

A claim based upon a specific assurance from the host State generally arises from the creation of a bilateral relationship between the host State administration and the investor: whether by contract, licence or a relationship of specific representation coupled with reasonable reliance.²⁶³ The specific elements of such a claim will be considered in more detail below in the section on administrative action.²⁶⁴ **7.166**

The standard may also be breached substantively by the introduction of regulations that operate in a discriminatory or arbitrary fashion against the foreign investor. In *Merrill & Ring Forestry LP v Canada*, the Tribunal observed: **7.167**

[A]ny investor will have an expectation that its business may be conducted in a normal framework free of interference from government regulations which are not underpinned by

²⁶⁰ *Parkerings v Lithuania* para 332.

²⁶¹ *EDF (Services) Ltd v Romania* (Award) ICSID Case No ARB/05/13, IIC 392 (2009, Bernadini P, Derains & Rovine) para 217. The same point is made in *AES Summit Generation Ltd v Hungary* (Award) ICSID Case ARB/07/22, IIC 455 (2010, Wobeser P, Rowley & Stern) paras 9.3.29–9.3.31.

²⁶² *Paushok v Mongolia* (Award) IIC 490 (UNCITRAL, 2011, Lalonde B, Grigera Naón & Stern) para 250.

²⁶³ *Micula v Romania* (Award) ICSID Case No ARB/05/20, IIC 621 (2013, Lévy P, Abi-Saab & Alexandrov) paras 668–9.

²⁶⁴ Paras 7.191 *et seq* below.

appropriate public policy objectives. Emergency measures or regulations addressed to social well-being are evidently within the normal functions of a government and it is not legitimate for an investor to expect to be exempt from them. Yet, regulations which end-up creating benefits for a certain industry, to the detriment of an investor, might be incompatible with what that investor might reasonably expect from a government.²⁶⁵

- 7.168** In a third class of cases, tribunals have found a breach of the standard on the ground that the cumulative effect of the State's regulatory changes has been to alter completely the regulatory framework in a manner that virtually eliminates the investor's reasonably expected benefits. In *El Paso v Argentina*, the Tribunal held:

There can be no legitimate expectation for anyone that the legal framework will remain unchanged in the face of an extremely severe economic crisis. No reasonable investor can have such an expectation unless very specific commitments have been made towards it *or unless the alteration of the legal framework is total*.²⁶⁶

It went on to find that, although when assessed individually none of the State's actions constituted a delict,

[T]he cumulative effect of the measures was a total alteration of the entire legal setup for foreign investments, and that all the different elements and guarantees just mentioned can be analysed as a special commitment of Argentina that such a total alteration would not take place.²⁶⁷

- 7.169** So, too, in *Micula v Romania*, the Tribunal considered a claim based upon the withdrawal of investment incentives granted by the State. It found a breach of the standard in the combination of three factors, namely that: (a) the investment would not have been obtained but for the State's assurance of support; (b) a *quid pro quo* was required from the investor; and (c) 'the incentives were *virtually eliminated rather than simply modified or amended*.'²⁶⁸
- 7.170** By contrast, the State may permissibly modify its regulatory framework in a manner that is financially detrimental to investors without attracting international liability where such modification has no such drastic effect.²⁶⁹
- 7.171** This distinction is well illustrated by *Perenco v Ecuador*.²⁷⁰ The Tribunal found that a law and an executive decision that in substance increased the State's take in an oil concession to 50 per cent did not breach the standard. The State's response to the oil industry's windfall profits was not unreasonable and the contract in any event prescribed a tax modification process that the investor had not shown to be futile.²⁷¹ By contrast, a subsequent increase in the tax rate to 99 per cent above the reference price fundamentally altered the basis of the concession

²⁶⁵ *Merrill & Ring Forestry LP v Canada* (Award) IIC 427 (UNCITRAL/NAFTA, 2010, Orrego Vicuña C, Dam & Rowley) para 233.

²⁶⁶ *El Paso Energy International Co v Argentina* (Award) ICSID Case No ARB/03/15, IIC 519 (2011, Caflisch P, Bernardini & Stern) para 374 [emphasis added].

²⁶⁷ *ibid* para 517.

²⁶⁸ *Micula v Romania* para 682 [emphasis added].

²⁶⁹ *AES Summit, Charanne BV v Spain* (Award) SCC Case No 062/2012 (2016, Mourre C, Santiago Tawil & von Wobeser) para 539.

²⁷⁰ *Perenco Ecuador Ltd v Ecuador* (Award) ICSID Case No ARB/08/6, IIC 657 (2014, Tomka P, Kaplan & Thomas).

²⁷¹ *ibid* paras 591–3.

and heralded a series of other measures that were opaque, arbitrary and coercive, designed to force the investors to relinquish their concession.²⁷²

The protection of legitimate expectations is qualified by the need to maintain a reasonable degree of regulatory flexibility on the part of the host State to respond to changing circumstances in the public interest. As the Tribunal in *Saluka* observed: ‘No investor may reasonably expect that the circumstances prevailing at the time the investment is made remain totally unchanged. In order to determine whether frustration of the foreign investor’s expectations was justified and reasonable, the host State’s legitimate right subsequently to regulate domestic matters in the public interest must be taken into consideration as well.’²⁷³ **7.172**

This is a specific application of the more general notion of balance between the interests of the investor and the countervailing factor of the State acting in the public interest inherent in the concept of ‘equitable treatment’. It has the consequence that the protection afforded under the rubric of fair and equitable treatment, even when applied to expectations derived from the state of host State law or specific representations made at the time of investment, is not to be equated with a vested property right. **7.173**

The executive function: review of administrative action

When the fair and equitable treatment standard is applied to the executive function, international law concerns itself with the State’s administrative decision-making. This was not a traditional focus of the minimum standard in customary international law, since the exigencies of diplomatic protection require the foreign national first to exhaust his remedies for administrative misconduct before municipal courts. In that context, it is only if the judiciary fails to cure the injury that the claim may be pursued internationally. By contrast the treaty standard may be invoked by the investor in place of diplomatic protection as a mode of redress against administrative wrongs. In this context, the international standard performs a function that is also familiar to national systems for the judicial review of administrative action, but with the important distinction that the applicable standard against which the administrative conduct is measured is one of international law not national law. **7.174**

In view of the fact that the standard has to respond to a wide variety of different State measures, a general formulation cannot expect to cover all situations. Nevertheless, the dictum of the Tribunal in *Waste Management II* has achieved wide acceptance by subsequent tribunals as a useful statement of the standard in its contemporary application, irrespective of the position that they have taken on the connection between the treaty standard and general or customary international law.²⁷⁴ This formulation expresses the standard as breached by conduct that is: **7.175**

... arbitrary, grossly unfair, unjust or idiosyncratic, is discriminatory and exposes the claimant to sectional or racial prejudice, or involves a lack of due process leading to an outcome which offends judicial propriety—as might be the case with a manifest failure of natural justice in judicial proceedings or a complete lack of transparency and candour in an administrative process. In applying this standard it is relevant that the treatment is in breach of representations made by the host State which were reasonably relied on by the claimant.²⁷⁵

²⁷² *ibid* para 606.

²⁷³ *Saluka* para 305.

²⁷⁴ Paparinskis 238.

²⁷⁵ *Waste Management Inc v Mexico* (Award) ICSID Case No ARB(AF)/00/3, 11 ICSID Rep 361, IIC 270 (NAFTA/ICSID (AF), 2004, Crawford P, Civiletti & Magallón Gómez) (*‘Waste Management II’*) para 98.

7.176 This general statement of the standard contains three elements:²⁷⁶

- (1) *Legitimate expectations*. In the first place, the treatment may be ‘in breach of representations made by the host State which were reasonably relied on by the claimant.’²⁷⁷ The protection of legitimate expectations, which has already been introduced in the context of legislative measures, has a particular purchase in the context of the conduct of the administration.
- (2) *Due Process*. The second set of situations that have arisen under this head is concerned with whether the administrative decision was reached through a fair process. The standard may be breached by ‘a complete lack of transparency and candour in an administrative process’ or otherwise by a ‘manifest failure of natural justice’.²⁷⁸
- (3) *Substantive unfairness*. The third category of breach is where the impugned measures are substantively ‘arbitrary, grossly unfair, unjust or idiosyncratic ... discriminatory [or] exposes the claimant to sectional or racial prejudice’.²⁷⁹

7.177 These categories should not be treated as a code. They are a useful means of giving more specific content to the circumstances in which an administrative failure by the host State may rise to the level of an international delict. As such they serve to distinguish a merely unfavourable or disappointing outcome of an administrative process from one that fails to meet a baseline of internationally acceptable State conduct.

7.178 In making such an evaluation, the tribunal must consider both the private interests of the investor and the public interest factors that may justify the State action. An objective basis for the State’s decision will likely support compliance with the standard, unless the decision had a disproportionate impact on the particular investor. In other cases, tribunals have declined to find a breach, because the alleged right for which the investor contended had no basis in international law.

7.179 **Legitimate expectations** The doctrine of legitimate expectations is concerned with due process in administrative decision-making: ensuring the consistent application of the law and enforcing representations by the host State where these were made specifically enough to the particular investor to justify reliance.²⁸⁰ It is a relevant factor in the application of the investment treaty’s guarantee of fair and equitable treatment and does not supply an independent treaty standard of its own.²⁸¹ Seen in this way, legitimate expectations supports the application of host State law and the liberty of the host State to determine the content of that law.²⁸² It does not substitute for it.

7.180 In the first phase of investment treaty arbitral case law, a number of tribunals referred to the formulation of legitimate expectations given in *Tecmed v Mexico*:

²⁷⁶ *Micula v Romania* para 520. Similar (though not identical) categories are found in Paparinskis 238–51; Kläger chap 7; UNCTAD *Fair and Equitable Treatment: A Sequel* (UNCTAD Series on Issues in International Investment Agreements II, 2012) 78–82.

²⁷⁷ *Waste Management II* para 98.

²⁷⁸ *ibid.*

²⁷⁹ *ibid.*

²⁸⁰ *International Thunderbird Gaming Corp v Mexico* (Award) IIC 136 (NAFTA/UNCITRAL, 2006, van den Berg C, Ariosa & Wälde) para 147.

²⁸¹ *MTD v Chile* (Decision on Annulment) paras 67–8.

²⁸² *GAMI v Mexico* (Award) para 91.

The foreign investor expects the host State to act in a consistent manner, free from ambiguity and totally transparently in its relations with the foreign investor, so that it may know beforehand any and all rules and regulations that will govern its investments, as well as the goals of the relevant policies and administrative practices or directives, to be able to plan its investment and comply with such regulations. Any and all State actions conforming to such criteria should relate not only to the guidelines, directives or requirements issued, or the resolutions approved thereunder, but also to the goals underlying such regulations. The foreign investor also expects the host State to act consistently, i.e. without arbitrarily revoking any preexisting decisions or permits issued by the State that were relied upon by the investor to assume its commitments as well as to plan and launch its commercial and business activities.²⁸³

This formulation cannot be taken at face value. As Douglas put it:

7.181

The Tecmed 'standard' is actually not a standard at all; it is rather a description of perfect public regulation in a perfect world, to which all states should aspire but very few (if any) will ever attain. But in the aftermath of the tribunal's correct finding of liability in Tecmed, the quoted obiter dictum in that award, unsupported by any authority, is now frequently cited by tribunals as the only and therefore definitive authority for the requirements of fair and equitable treatment.²⁸⁴

Aspects of the *Tecmed* formulation have also attracted criticism from later arbitral tribunals and annulment committees. The Annulment Committee in *MTD v Chile* considered *Tecmed*'s reliance on the foreign investor's expectations as the source of the host State's obligations to be questionable. The Committee pointed out that the obligations in fact derive from the terms of the applicable investment treaty.²⁸⁵ Although the Committee did not ultimately decide that the Tribunal had manifestly exceeded its powers on this point,²⁸⁶ the critique of the broad definition in *Tecmed* did not go unnoticed by other tribunals.²⁸⁷

7.182

The interpretation of the treaty standard is guided by the general principle of good faith and the requirement to take account of other relevant rules of international law applicable in the relations between the parties. This includes all of the relevant sources of international law, including general principles of law. The protection of legitimate expectations within carefully defined limits is a general principle of law, anchored in the world's major legal systems and linked to the general principle of good faith in public international law.²⁸⁸ As such, tribunals have endorsed comparative reference to the scope and limits of the principle in relation to the exercise of State power in public law as a benchmark.²⁸⁹ In this context, the

7.183

²⁸³ *Técnicas Medioambientales Tecmed SA v Mexico* (Award) ICSID Case No ARB(AF)/00/2, 10 ICSID Rep 134, IIC 247 (2003, Grigera Naón P, Bernal Vereá & Fernández Rozas) para 154; formulation adopted eg in *MTD v Chile* (Award); *Occidental Exploration and Production Co v Ecuador* (Award) LCIA Case No UN3467, 12 ICSID Rep 59, IIC 202 (UNCITRAL, 2004, Orrego Vicuña C, Brower & Sweeney) para 185; *CMS Gas Transmission Co v Argentina* (Award) ICSID Case No ARB/01/8, 14 ICSID Rep 158, IIC 65 (2005, Orrego Vicuña P, Lalonde & Rezek) para 279.

²⁸⁴ Z Douglas, 'Nothing if not Critical for Investment Treaty Arbitration: *Occidental, Eureko and Methanex*' (2006) 22 Arb Int'l 27, 28, cited with approval in *White Industries Australia Ltd v India* paras 10.3.5–10.3.6.

²⁸⁵ *MTD v Chile* (Decision on Annulment) paras 67–8.

²⁸⁶ *ibid* paras 68–71.

²⁸⁷ eg *Biwater Gauff Ltd v Tanzania* (Award) ICSID Case No ARB/05/22, IIC 330 (2008, Hanotiau P, Born & Landau) para 600; *El Paso v Argentina* (Award) para 343.

²⁸⁸ *Opel Austria GmbH v Council of the European Union* Case T-115/94 [1997] ECR II-00039.

²⁸⁹ *Total SA v Argentina* (Decision on Liability) paras 128–30; *Toto Costruzioni Generali SPA v Lebanon* (Award) para 166; *Gold Reserve Inc v Venezuela* (Award) ICSID Case No ARB(AF)/09/1, IIC 660 (2014, Bernadini P, Dupuy & Williams) para 576.

doctrine is concerned with protection from the abuse of administrative powers when the private party has received precise and specific representations from the public authority.²⁹⁰ Only exceptionally has the doctrine been the basis of redress when the State's legislative action was at stake, given the importance of the States' freedom of action to legislate in the public interest.²⁹¹

7.184 In order to find the existence of a legitimate expectation, tribunals have generally required the presence of three (interlocking) elements:

- (a) The existence of a promise or assurance attributable to a competent organ or representative of the State, which may be explicit or implicit;
- (b) Reliance by the claimants as a matter of fact; and
- (c) Reasonableness of the reliance—this cannot be separated from (a) in particular where the promise is not contained in a contract or otherwise stated explicitly.²⁹²

7.185 The making of specific representations has been the decisive factor in the cases in which this ground of decision has been successfully invoked. Thus, in *Metalclad*²⁹³ the Tribunal emphasised the importance of representations by federal officials that the local municipality had no legal basis for denying the claimant a permit. In *MTD v Chile*,²⁹⁴ a new town development investment was approved by the Chilean Foreign Investment Commission (FIC), despite the fact that it was against the urban policy of Chile. Subsequently, the claimants, having expended considerable sums in acquiring the land and developing the proposal, failed to secure the necessary permit to begin construction. The Tribunal found that 'approval of an investment by the FIC for a project that is against the urban policy of the Government is a breach of the obligation to treat an investor fairly and equitably'.²⁹⁵

7.186 In a number of privatisation cases, Tribunals emphasised the importance of the bidding rules issued on behalf of the State on the basis of which the investors were induced to invest as establishing a legitimate expectation.²⁹⁶ In *Gold Reserve v Venezuela*,²⁹⁷ the tribunal found that the investor's expectation that it would obtain the required authorisation to exploit its concessions was legitimate, in the light of a consistent course of conduct by the State over a twenty year period in issuing licences, permits and certificates of compliance.²⁹⁸

7.187 Conversely, the absence of specific representations is a material factor in leading to a finding that the standard has not been breached. Thus where the investment is made in the market after an earlier privatisation, the State does not give specific commitments to the particular

²⁹⁰ *Total v Argentina* para 129; *Gold Reserve* para 576.

²⁹¹ *Total v Argentina* para 129.

²⁹² *Micula v Romania* para 668.

²⁹³ *Metalclad Corp v Mexico* (Award) ICSID Case No ARB(AF)/97/1, 5 ICSID Rep 209, IIC 161 (NAFTA/ICSID (AF), 2000, Lauterpacht P, Civiletti & Siqueiros) para 87.

²⁹⁴ *MTD v Chile* (Award).

²⁹⁵ *ibid* para 166.

²⁹⁶ *Enron Corp v Argentina* (Award) ICSID Case No ARB/01/3, IIC 292 (2007, Orrego Vicuña P, van den Berg, Yves-Tschanz) para 47; *BG Group plc v Argentina* (Award) IIC 321 (UNCITRAL, 2007, Álvarez P, Miguel Garro & van den Berg) para 24; *National Grid plc v Argentina* (Award) IIC 361 (UNCITRAL, 2008, Rigo Sureda C, Kessler & Miguel Garro) para 56.

²⁹⁷ *Gold Reserve Inc v Venezuela* (Award) ICSID Case No ARB(AF)/09/1, IIC 660 (2014, Bernadini P, Dupuy & Williams).

²⁹⁸ *ibid* paras 578–82.

investor upon which it is legitimate for him to rely.²⁹⁹ So, too, in *International Thunderbird Gaming Corp v Mexico*,³⁰⁰ the Tribunal held that the official statement that the claimant had received from the relevant Mexican State agency had not generated such an expectation. The claimant had itself provided incomplete and inaccurate information to the State agency as to the nature of the proposed investment in gaming machines. The official statement gave no assurance that gaming machines would be approved. On the contrary, the claimant knew that gaming was an illegal activity in Mexico.³⁰¹

In assessing whether the State's conduct might give rise to a legitimate expectation, frustration of which could breach the treaty standard, tribunals have contrasted specific formal undertakings to a particular investor with general statements, whether political or legislative: 'General legislative statements engender reduced expectations. Their enactment is by nature subject to subsequent modification, and possibly to withdrawal and cancellation, within the limits of respect of fundamental human rights and *jus cogens*.'³⁰² 7.188

Thus, cases in which tribunals have found the host State in breach of the fair and equitable treatment standard on the ground of legitimate expectations have generally been where the State has made specific commitments either to the particular investor, or in the context of particular industry.³⁰³ By contrast, where there have been no specific commitments given by the host State, such a plea has generally failed.³⁰⁴ The relevance of this consideration was well explained in *Parkerings*, where the Tribunal held: 7.189

[T]he Republic of Lithuania gave no specific assurance or guarantee to *Parkerings* that no modification of law, with possible incidence on the investment, would occur. The legitimate expectations of the Claimant that the legal regime would remain unchanged are not based on or reinforced by a particular behaviour of the Respondent. In other words, the Republic of Lithuania did not give any explicit or implicit promise that the legal framework of the Agreement would remain unchanged.³⁰⁵

The investor's reliance must also be reasonable. The requirement of reasonableness of reliance carries the consequence that breach of the standard is determined objectively and not by reference to the investor's subjective expectations.³⁰⁶ This approach, articulated in *Waste Management II* and *International Thunderbird*, has since been cited with approval and followed in other awards.³⁰⁷ 7.190

Due process in administrative decision-making The second category of cases concerns due process in the treatment of the investor in the State's administrative decision-making process. This protection is expressly reflected in the terms of a number of investment treaties. The 2012 US model BIT states that fair and equitable treatment 'includes the obligation 7.191

²⁹⁹ *Total v Argentina* para 178.

³⁰⁰ *International Thunderbird Gaming Corp* (Award). Wälde delivered a Separate Opinion, surveying the authorities, but dissenting in their application to the facts on this point.

³⁰¹ *ibid* paras 149–64.

³⁰² *Continental Casualty Corp v Argentina* (Award) ICSID Case No ARB/03/9, IIC 336 (2008, Sacerdoti P, Nader & Veeder) para 261.

³⁰³ *eg National Grid plc v Argentina*; *BG Group*.

³⁰⁴ *eg Parkerings-Compagniet v Lithuania*; *Metalpar SA and Buen Aire SA v Argentina* (Award) ICSID Case No ARB/03/5, IIC 326 (2008, Oreamuno Blanco P, Cameron & Chabaneix); *Merrill & Ring* para 242

³⁰⁵ *ibid* para 334.

³⁰⁶ *Saluka* para 304, followed in *National Grid plc v Argentina* at para 175.

³⁰⁷ *eg Parkerings v Lithuania* para 331; *Glamis Gold* para 621; *BG Group*; *Biwater Gauff* para 602.

not to deny justice in ... administrative adjudicatory proceedings *in accordance with the principle of due process* embodied in the principal legal systems of the world'.³⁰⁸ This formulation is now also found in a number of important free trade agreements.³⁰⁹ CETA includes in its definition of such treatment '[f]undamental breach of due process ... in judicial and administrative proceedings'.³¹⁰

- 7.192** Due process concerns also figure in the working out of the general standard in cases where there is no express treaty language. Without limiting the breadth of that notion, a number of interlocking concerns may be seen at play in the contemporary awards: failure to accord natural justice, transparency, use of powers for improper purposes, and inconsistency. These considerations coincide with many of the classic hallmarks of the Rule of Law as a principle of formal legality.³¹¹
- 7.193** The processes of administrative decision-making cannot be judged by the standards expected of judicial proceedings. The *International Thunderbird* Tribunal rejected the proposition that the standard necessarily requires a formal adversarial procedure, finding that the administrative proceedings at issue in that case 'should be tested against the standards of due process and procedural fairness applicable to administrative officials. The administrative due process requirement is lower than that of a judicial process'.³¹²
- 7.194** The application of the standard will depend upon the context of the particular type of administrative proceeding or decision at issue. In *Apotex*, the Tribunal specifically rejected an argument that the standard of due process that might be expected of a fair adjudicatory process³¹³ are necessarily applicable to regulatory decision-making.³¹⁴ At issue in that case was the regulation of imported drug products. The Tribunal, having surveyed State practice, found that there was no evidence of an international law rule requiring the foreign drug manufacturer to be afforded prior notice and a hearing before a ban on the import of a particular drug was imposed. The regulator had an important public function in the protection of public health that required it to balance conflicting discretionary factors. This is 'inherently a complex and specialised process involving professional judgments as to public health for which there are no mechanical rules'.³¹⁵
- 7.195** A finding that the State has committed an international delict by failing to afford fair and equitable treatment in its regulatory processes requires misconduct of a particularly serious kind. In *Genin v Estonia*,³¹⁶ the claimant complained of the revocation of a banking licence by the Bank of Estonia. The Tribunal considered that a number of aspects of the Bank's decision-making process were contrary to generally accepted banking and

³⁰⁸ 2012 US model BIT, art 5(2)(a) (Appendix 6 below) [emphasis added].

³⁰⁹ See eg TPPA above para 7.39.

³¹⁰ CETA, art X.9(2)(b), above 7.41.

³¹¹ eg J Raz, 'The Rule of Law and its Virtue' (1977) 93 LQR 195 (also in J Raz, *The Authority of Law* (1983) chap 11).

³¹² *International Thunderbird* para 200.

³¹³ Based upon American Law Institute (ed), *Restatement of the Law, Second, Foreign Relations Law of the United States* (1955), s 181.

³¹⁴ *Apotex Holdings Inc v United States of America* (Award) ICSID Case No ARB(AF)/12/1, IIC 661 (2014, Veeder P, Crook & Rowley) para 9.22.

³¹⁵ *ibid* para 9.48.

³¹⁶ *Genin, Eastern Credit Ltd Inc v Estonia* (Award) ICSID Case No ARB/99/2, 6 ICSID Rep 236, IIC 10 (2001, Fortier P, Heth & van den Berg).

regulatory practice.³¹⁷ These included the failure to give formal notice that the licence would be revoked if the Bank's demands were not met, no opportunity to be heard at the meeting of the Bank's council that decided to revoke the licence, and the fact that the revocation took effect immediately. However, the Tribunal did not consider that these failings amounted to a denial of due process rising to the level of a violation of the BIT or the international law principles enshrined therein.

The *Waste Management II* Tribunal suggested that the failure of due process should lead to 'an outcome which offends judicial propriety', giving the example, in the case of administrative proceedings of 'a complete lack of transparency and candour'.³¹⁸ In *AES*, the Tribunal, pointing out that the standard 'is not one of perfection' and stated that '[i]t is only when a state's acts or procedural omissions are ... manifestly unfair or unreasonable (such as would shock, or at least surprise a sense of judicial propriety) ... that the standard can be said to have been infringed'.³¹⁹ **7.196**

The Tribunal in *Al Tamimi* added (in the context of a treaty standard expressly linked to the minimum standard of treatment in customary international law) that the claimant must show that the host State: **7.197**

... has acted with a gross or flagrant disregard for the basic principles of fairness, consistency, even-handedness, due process or natural justice expected by and of all States under customary international law. Such a standard requires more than that the Claimant point to some inconsistency or inadequacy in [the host State's] regulation of its internal affairs: a breach of the minimum standard requires a failure, wilful or otherwise egregious, to protect a foreign investor's basic rights and expectations.³²⁰

The standard will not be breached simply because the host State's administrative procedures did not comply with its internal law. In the same way that legality under national law does not determine legality under international law, so too illegality under national law does not *ipso facto* lead to a breach of international law.³²¹ This is the principal difficulty with the controversial award in *Bilcon*.³²² The Tribunal had to assess the decision of a Joint Review Panel constituted to conduct an environmental assessment of Claimants' application to open a quarry in Nova Scotia. It accepted that 'international responsibility and dispute resolution, in the investor context, is not supposed to be the continuation of domestic politics and litigation by other means'.³²³ Despite this, as McRae found in his dissenting opinion, the Tribunal's finding of breach of the treaty standard is essentially premised on the sufficiency for that purpose of a breach of internal law.³²⁴ The NAFTA Contracting States have also pointed to this fallacy in the Tribunal's approach. The United States, for example, has stated in its capacity as a non-disputing party in a subsequent proceeding that: 'International tribunals ... do not sit as appellate courts with authority to review the legality of domestic **7.198**

³¹⁷ *ibid* 299.

³¹⁸ *Waste Management II* (Award) para 98.

³¹⁹ *AES Summit Generation Ltd v Hungary* (Award) para 9.3.40.

³²⁰ *Al Tamimi v Oman* (Award) ICSID Case No ARB/11/33, IIC 745 (2015, Williams P, Brower & Thomas) para 390.

³²¹ *ibid*.

³²² *Clayton and Bilcon of Delaware Inc v Canada* (Award) PCA Case No 2009-04, IIC 688 (NAFTA/UNCITRAL, 2015, Simma P, Schwartz & McRae (dissenting)).

³²³ *ibid* para 437.

³²⁴ *ibid* (Dissenting Opinion, McRae) para 34, citing (Award) para 594.

measures under a Party's own domestic law. A failure to satisfy requirements of national law, moreover, does not necessarily violate international law.³²⁵

- 7.199** The tribunal should assess the fairness of the administrative process in its totality, since instances of serious administrative negligence, abuse or excess of power, inconsistency and constant amendments of the regulatory requirements may in the aggregate amount to an actionable breach of the standard.³²⁶
- 7.200** *Use of powers for improper purposes.* A particular factor that has weighed with tribunals in the application of this standard has been whether the powers exercised by the host State administrative body have been misused for improper purposes. Thus, in *Metalclad* the municipality had denied a construction permit for the operation of the landfill on the grounds of an environmental impact assessment that it was for the federal authorities to conduct under Mexican law. The Tribunal regarded this as improper, and as contributing to the breach of treaty.³²⁷ *Tecmed* was also concerned with the licensing of a hazardous waste landfill in Mexico, but the impugned conduct in that case was that of the Mexican environmental agency. The Tribunal held that the investor had a fair expectation that the powers of the agency would be used for the proper purposes of the laws.³²⁸ Instead, the agency had used its powers in order to deal with political problems arising from public opposition to the landfill.
- 7.201** *Inconsistency.* Another relevant factor in assessing the fairness of a State's administrative treatment of an investor is inconsistency of conduct vis-à-vis the investor between State agencies. This was critical to the Tribunal's decision in *MTD v Chile*:³²⁹ encouragement and approval of the investment by the Foreign Investment Commission on the one hand, and denial of the necessary zoning permits on the other. This factor, which is closely linked to the idea of transparency, was also treated as important in *Occidental v Ecuador*.³³⁰ The Tribunal there found that the State tax agency had materially changed the framework in which Occidental's investment had been made on the basis of an incorrect interpretation of the investment contract. The subsequent clarifications sought by the investor 'received a wholly unsatisfactory and thoroughly vague answer. The tax law was changed without providing any clarity about its meaning and extent and the practice and regulations were also inconsistent with such changes.'³³¹
- 7.202** *Transparency.* The idea that a failure on the part of the administrative agencies to act in a transparent and candid manner could amount to a breach of the fair and equitable treatment standard has figured in the arbitral jurisprudence from the outset of the modern period. It was the dominant factor in the Separate Opinion of Schwartz in *Myers*.³³² *Tecmed* suggests

³²⁵ *Mesa Power Group LLC v Canada* (USA, Second Submission) PCA Case No 2012-17 (UNICTRAL, 2015, Kaufmann-Kohler P, Brower & Landau) paras 21–2, citing inter alia *ADF Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/00/1, 6 ICSID Rep 449, IIC 2 (2003, Feliciano P, de Mestral & Lamm) para 190.

³²⁶ *PSEG Global Inc v Turkey* (Award) ICSID Case No ARB/02/5, IIC 198 (2007, Orrego Vicuña P, Fortier & Kaufmann-Kohler) paras 245–53.

³²⁷ *Metalclad* para 87.

³²⁸ *Tecmed* 174.

³²⁹ *MTD Equity Sdn Bhd v Chile* (Award) ICSID Case No ARB/01/7, 12 ICSID Rep 6, IIC 174 (2004, Rigo Sureda P, Lalonde & Oreamuno Blanco).

³³⁰ *Occidental Exploration and Production Co v Ecuador* (Award) LCIA Case No UN3467, 12 ICSID Rep 59, IIC 202 (UNCITRAL, 2004, Orrego Vicuña C, Brower & Sweeney).

³³¹ *ibid* para 184.

³³² *SD Myers Inc v Canada* (Separate Opinion Schwartz) 8 ICSID Rep 3 para 243.

that there is a requirement on the part of the host State to act ‘totally transparently in its relations with the foreign investor.’³³³ A failure in transparency was also a principal element in the *ratio* of the decision in *Metalclad*.³³⁴ The US investor had been denied a municipal construction permit to operate a hazardous waste transfer station and landfill in Mexico. The Tribunal relied in particular upon the reference to transparency in NAFTA’s introductory statement of principles.³³⁵ It opined that: ‘The Tribunal understands this to include the idea that all relevant legal requirements for the purpose of initiating, completing and successfully operating investments made, or intended to be made, under the Agreement should be capable of being readily known to all affected investors of another Party.’³³⁶ A ‘complete lack of transparency and candour in an administrative process’ is also singled out as part of the general formulation of the standard in *Waste Management II*.³³⁷

On occasion, transparency is also mentioned as an express element in the treaty standard. The ECT creates an obligation on Contracting States to ‘create stable, equitable, favourable *and transparent* conditions.’³³⁸ CETA includes in its definition ‘a fundamental breach of transparency.’³³⁹ **7.203**

Yet transparency has held an uncertain place in the canon of the non-contingent standard. The Supreme Court of British Columbia treated the *Metalclad* Tribunal’s reliance on the concept as an annulable error on the ground that its reliance on NAFTA’s general statement of principles was outside the jurisdiction of a Chapter 11 Tribunal.³⁴⁰ *Cargill*, a subsequent NAFTA case, excluded transparency from its consideration of the customary international law minimum standard on the ground that the claimant had not established that an independent duty of transparency is included in the customary standard.³⁴¹ **7.204**

Transparency is a value that is widely invoked in investment arbitration, yet rarely defined.³⁴² It is as well to be clear about the meaning and scope of such a doctrine as a substantive element in the non-contingent standard.³⁴³ Two types of transparency requirements may be distilled from the awards as being at work here: **7.205**

- (a) The obligation of *publicity*: that the host State make readily available in an accessible and comprehensible form the legal and administrative requirements applicable to the investor. This is linked to a fundamental criterion of the Rule of Law: that the law must be accessible and so far as possible intelligible, clear and predictable.³⁴⁴ The requirement is

³³³ *Tecmed* para 154.

³³⁴ *Metalclad Corp v Mexico* (Award) ICSID Case No ARB(AF)/97/1, 5 ICSID Rep 212, IIC 161 (NAFTA, 2000, Lauterpacht P, Civiletti & Siqueiros).

³³⁵ *ibid* para 76, referring to NAFTA art 102(1).

³³⁶ *ibid*.

³³⁷ para 98.

³³⁸ ECT, art 10(1) (Appendix 2 below).

³³⁹ CETA, art X.9(2)(b) above para 7.41.

³⁴⁰ *Mexico v Metalclad Corp* 2001 BCSC 664, 5 ICSID Rep 236, para I(2)(a), *sed quaere*: The Tribunal’s reference to the statement of general principles in Art 102 is justified by both the general requirement of VCLT Art 31(2) to refer to the whole of a treaty text, including its preamble, in interpreting a provision, and the specific terms of NAFTA Art 1131 directing a Chapter tribunal to decide the dispute ‘in accordance with this Agreement and applicable rules of international law’.

³⁴¹ *Cargill Inc v Mexico* (Award) ICSID Case No ARB(AF)/05/2, IIC 479 (NAFTA, 2009, Pryles P, Caron & McRae) para 294.

³⁴² cf in the procedural context UNCITRAL Rules on Transparency in Treaty-based Investor-State Arbitration, annexed to GA Res 68/109 (14 December 2013).

³⁴³ See generally A Kotera, ‘Regulatory Transparency’ in Muchlinski chap 16; Kläger 227–35.

³⁴⁴ Bingham chap 3.

not limited to the formal elements of the law. In the modern regulatory State it is equally important to be able to access accurate information as to the administrative procedures that govern the regulation of investments.

- (b) The obligation of *candour*: that the State, when taking a decision that affects an investor in the exercise of its public administration, must act in good faith. Where reasons are given, they must be stated clearly and consistently and not deceptively.

7.206 Although these obligations are here stated in terms applicable to investment law, in fact they express aspects of a general principle of legality applicable to the relations between the State and the individual more generally.

7.207 A second question is the legal test to be applied to a determination that the State's failure to accord transparency amounts to a breach of the international standard. A positive requirement of total transparency, as proposed in *Tecmed* and *Metalclad*, may go too far if taken literally. It envisages a standard of public administration that no State could reasonably be expected to meet all of the time. Rather, in order to amount to an international delict, the tribunal is concerned to determine whether the State's failure to provide transparency is fundamental, in the sense that it is indicative of either a larger failure in the fair operation of the regulatory system or a lack of good faith or arbitrary decision-making directed against the particular investor.

7.208 Substantive unfairness A third category of cases concerns administrative acts or decisions that are substantively unfair: because they are arbitrary or unreasonable, discriminate unfairly against the foreign investor, involve coercion or harassment by state officials or are made in bad faith.

7.209 In a number of investment treaties, a protection against 'unreasonable or discriminatory measures' is expressly included as a distinct element in the non-contingent standard.³⁴⁵ CETA goes further and specifies '[m]anifest arbitrariness', '[t]argeted discrimination on manifestly wrongful grounds, such as gender, race or religious belief' and '[a]busive treatment of investors, such as coercion, duress and harassment' as part of its list of acts that breach the fair and equitable treatment standard.³⁴⁶

7.210 Where the contracting States have included a separate protection against arbitrary treatment or discriminatory measures in the treaty, tribunals have generally treated such protections as distinct causes of action.³⁴⁷ In the case of ICSID proceedings in particular, such a disjunctive approach is encouraged by the requirement in art 48(3) of the Convention to 'deal with every question submitted to the Tribunal.' This additional specific treaty standard has a more limited scope than the general fair and equitable treatment standard.³⁴⁸ As has already been seen, the general standard can be breached in other ways. Nevertheless, the fair and equitable treatment standard itself embraces a protection

³⁴⁵ Above paras 7.29 *et seq.*

³⁴⁶ CETA art X.9(2) (not yet in force).

³⁴⁷ eg *LG&E Energy Corp v Argentina* (Decision on Liability) ICSID Case No ARB/02/1, IIC 152 (2006, Mackelt P, Rezek & van den Berg); *AES Summit Generation Ltd v Hungary* (Award) ICSID Case ARB/07/22 IIC 455 (2010, Wobeser P, Rowley & Stern).

³⁴⁸ *LG&E* para 162.

against arbitrary or discriminatory conduct.³⁴⁹ As such, a tribunal may consider properly the content of these protections together.³⁵⁰

Arbitrariness. A concern to protect the investor from arbitrary State conduct lies at the heart of the protection envisaged by the non-contingent standard. Arbitrariness was characterised by a Chamber of the International Court of Justice in *ELSI* as ‘a wilful disregard of due process of law, an act which shocks, or at least surprises, a sense of juridical propriety.’³⁵¹ Factors indicating that a measure is to be treated as arbitrary in relation to the treatment of an investor include: damage to the investment in the absence of a legitimate purpose; that the measure was not based on legal standards but on the exercise of discretion, prejudice or personal preference; a measure taken for reasons other than those indicated by the decision-maker; or a wilful disregard of due process.³⁵² ‘[T]he underlying notion of arbitrariness is that prejudice, preference or bias is substituted for the rule of law.’³⁵³ **7.211**

The protection from arbitrariness however recognises that States may make controversial policy choices and even make mistakes in the implementation of those choices without engaging liability.³⁵⁴ As the *Cargill* Tribunal concluded: **7.212**

Therefore an actionable finding of arbitrariness must not be based simply on a tribunal’s determination that a domestic agency or legislature incorrectly weighed the various factors, made legitimate compromises between disputing constituencies, or applied social or economic reasoning in a manner that the tribunal criticizes.

... [A]rbitrariness may lead to a violation of a State’s duties ... but only when the State’s actions move beyond a merely inconsistent or questionable application of administrative or legal policy or procedure to the point where the action constitutes an unexpected and shocking repudiation of a policy’s very purpose and goals, or otherwise grossly subverts a domestic law or policy for an ulterior motive.³⁵⁵

On the facts in *Cargill*, the Tribunal found that the measures were arbitrary since their sole purpose was to damage the claimant’s investment in order to seek to influence the trade policy of the claimant’s home State, all but annihilating the investments while the measures were in place.³⁵⁶ **7.213**

Discrimination. The proposition that the fair and equitable treatment standard includes protection from discrimination enjoys a substantial measure of agreement. As the widely cited dictum of the *Waste Management II* Tribunal puts it, the standard includes protection from concept that is ‘discriminatory and exposes the claimant to sectional or racial prejudice’.³⁵⁷ So, too, States often add an express protection from ‘discriminatory measures’ into investment treaties. **7.214**

³⁴⁹ *Waste Management II* (Award) para 98; *Cargill* para 288.

³⁵⁰ *Saluka* para 460; *Quiborax SA v Bolivia* (Award) ICSID Case No ARB/06/2, IIC 739 (2015, Kaufmann-Kohler P, Lalonde & Stern) para 257.

³⁵¹ *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15, 76.

³⁵² A categorisation of Schreuer adopted in *EDF (Services) Ltd v Romania* (Award) ICSID Case No ARB/05/13, IIC 392 (2009, Bernardini P, Derains & Rovine) para 303 and in *Lemire v Ukraine* (Decision on Jurisdiction and Liability) ICSID Case No ARB/06/18, IIC 424 (2010, Fernández-Armesto P, Paulsson & Voss) para 262.

³⁵³ *Lemire v Ukraine* para 263.

³⁵⁴ *SD Myers Inc v Canada* (First Partial Award) 8 ICSID Rep 3, IIC 249 (NAFTA/UNCITRAL, 2000, Hunter C, Chiasson & Schwartz (partial dissent)) para 261.

³⁵⁵ *Cargill* paras 292–3.

³⁵⁶ *ibid* paras 297–300.

³⁵⁷ *Waste Management II* para 98.

- 7.215** This general proposition nevertheless requires further interrogation, since neither the treaties (in cases where the concept of discrimination is used expressly) nor the general formulation cited above sufficiently define what is meant by the concept of discrimination in the context of investor protection. While cases have not yet fully explored all aspects of this question, three issues in particular have arisen for consideration:
- (a) What types of discrimination are caught by the general standard?
 - (b) In particular, to what extent does the general standard require equal treatment in all respects between nationals of the host State and nationals of the foreign contracting State?
 - (c) Is intent to discriminate required or does differential treatment in fact suffice?
- 7.216** General international law enshrines a protection for all persons from discrimination on grounds of race, sex and religious belief.³⁵⁸ Protection from discrimination in the enjoyment of fundamental human rights is a general principle of law.³⁵⁹ Thus, art 2, para 1, of the International Covenant on Civil and Political Rights obligates each State party to respect and ensure to all persons within its territory and subject to its jurisdiction the rights recognised in the Covenant without distinction of any kind, such as race, colour, sex, language, religion, political or other opinion, national or social origin, property, birth or other status. If the state conduct in question discriminates against the claimant in the exercise of his or her fundamental human rights in this way, as for example in the right to a fair trial, it would also constitute a breach of the fair and equitable treatment standard.³⁶⁰
- 7.217** Nevertheless, the concept of non-discrimination does not prohibit all distinctions between persons. In the human rights context it is well accepted that ‘not every differentiation of treatment will constitute discrimination, if the criteria for such differentiation are reasonable and objective and if the aim is to achieve a purpose which is legitimate under the Covenant.’³⁶¹
- 7.218** In the context of investor protection, the specific issue is the extent to which a protection from discrimination precludes all distinctions between nationals and foreigners. This is the objective of the national treatment standard, discussed in Section C below. It has been generally thought that the achievement of national treatment in all respects requires a specific treaty provision, since customary international law does not prohibit all distinctions between nationals and foreigners.³⁶² To what extent, then, does the general fair and equitable treatment standard preclude a State from distinguishing between nationals and foreigners in the application of its laws and in its administrative decisions?
- 7.219** In *SD Myers Inc v Canada*,³⁶³ the claim concerned the promulgation of an export ban on the trans-boundary movement of hazardous waste. The claimant, a US company, alleged that this had been carried out in a discriminatory and unfair manner. It was particularly

³⁵⁸ *Barcelona Traction (Belgium v Spain)* [1970] ICJ Rep 3, 32.

³⁵⁹ UN Human Rights Committee General Comment No 18 (37th Sess, 10 November 1989) UN Doc HRI/GEN/1/Rev 1.

³⁶⁰ *Loewen Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/98/3, 7 ICSID Rep 421, IIC 254 (NAFTA/ICSID (AF), 2003, Mason P, Mikva & Mustill), discussed above at para 7.128 *et seq.*

³⁶¹ UN Human Rights Committee General Comment No 18, para 13.

³⁶² Above para 7.55.

³⁶³ *SD Myers Inc v Canada* (First Partial Award).

affected, as an important part of its business was concerned in the processing of such waste from Canada in its plant in the United States, and this was precluded while the ban was in force. The Tribunal agreed, finding that the failure to accord national treatment to Myers also amounted to a failure to accord fair and equitable treatment. The export ban was arbitrary and discriminatory against non-nationals.

By contrast, the *Methanex* Tribunal preferred a more restrictive construction of the NAFTA treaty standard, holding that the minimum standard of treatment does not ‘preclude governmental differentiations as between nationals and aliens.’³⁶⁴ **7.220**

It is submitted that the *Methanex* approach is unduly narrow. The fact that NAFTA makes express provision for the application of a non-discrimination principle elsewhere is without prejudice to the scope of art 1105(1). At the same time, the importation into the general non-contingent standard of a prohibition of all distinctions between nationals and foreigners would go too far.³⁶⁵ It would extinguish a separate *effet utile* for the national treatment standard and impose too strict a requirement in place of the baseline protection contemplated by the non-contingent standard of fair and equitable treatment. Considering the overall purpose of both the prohibition of discrimination and the requirement of fair and equitable treatment, the standard does not proscribe all distinctions between nationals and foreigners. Rather it requires that, where such distinctions are made, they are applied without arbitrariness and based upon a rational foundation.³⁶⁶ **7.221**

This *via media* is well exemplified by the award in *Saluka*.³⁶⁷ The Tribunal stated that: **7.222**

[A]ny differential treatment of a foreign investor must not be based on unreasonable distinctions and demands, and must be justified by showing that it bears a reasonable relationship to rational policies not motivated by a preference for other investments over the foreign-owned investment.³⁶⁸

It found that the Czech Government had not treated the foreign banking institution in an even-handed way vis-à-vis the local State-owned bank. It had refused to deal in a constructive manner with the foreign investor, and had instead accorded preferential treatment to the local bank. Bias of this kind against the foreign investor was held to be a breach of the standard.³⁶⁹

It making such an assessment, it is not essential to establish intent to discriminate. Discrimination judges the effect on the claimant.³⁷⁰ Nevertheless, since the tribunal is adjudicating the question whether the State’s conduct in drawing a distinction was arbitrary or irrational it will have to reach a conclusion as to the basis for the State’s particular decision or measure in order to evaluate its reasonableness. **7.223**

Coercion and harassment by State authorities. A serious failure of investor treatment can occur when State officials subject the claimant to coercion and harassment. This was the nub of the arbitrators’ finding on the facts in the otherwise controversial case of *Pope &* **7.224**

³⁶⁴ *Methanex Corp v United States of America* (Award) IIC 167 (NAFTA/UNCITRAL, 2005, Veeder C, Reisman & Rowley); followed *Grand River Enterprises Six Nations Ltd v United States of America* (Award) ICSID Case No ARB/10/5, IIC 481 (NAFTA/ICSID, 2011, Nariman P, Anaya & Crook) paras 208–9.

³⁶⁵ *Contra* Paparinskis 245–7.

³⁶⁶ *Lemire v Ukraine* para 261; Kläger 187–97.

³⁶⁷ *Saluka* paras 408–16.

³⁶⁸ *ibid* para 307.

³⁶⁹ See also *Lemire v Ukraine* paras 383–5, where the Tribunal found discrimination against the foreign claimant in the award of a tender in disregard the tender rules.

³⁷⁰ *El Paso v Argentina* para 305.

Talbot.³⁷¹ The case concerned the imposition by Canada of an export quota on softwood lumber and the conduct of a subsequent verification review of the investor's claim that it had received a lower quota than that to which it was entitled. The Tribunal found no unfairness in the imposition of the quota system itself. It was a reasonable response to the issues as they arose and did not single out the claimant. However, the verification review was found to breach the standard:

... the Tribunal found that, when the Investor instituted the claim in these proceedings, Canada's Softwood Lumber Division ('SLD') changed its previous relationship with the Investor and the Investment from one of cooperation in running the Softwood Lumber Regime to one of threats and misrepresentation. Figuring in this new attitude were assertions of non-existent policy reasons for forcing them to comply with very burdensome demands for documents, refusals to provide them with promised information, threats of reductions and even termination of the Investment's export quotas, serious misrepresentations of fact in memoranda to the Minister concerning the Investor's and the Investment's actions and even suggestions of criminal investigation of the Investment's conduct.³⁷²

7.225 In arriving at a finding that the claimant has been subjected to coercion or harassment, the tribunal must distinguish between ordinary commercial pressure, such as may arise in any commercial relationship, and 'the kind of compulsion that can be created by a superior force in a hostile environment, where the scales of justice have been manifestly compromised'.³⁷³ So, in *Desert Line*, the Tribunal found that the claimant had been coerced into signing a settlement agreement pursuant to which it relinquished half of the sums that had been awarded to it against the host State by a Yemeni commercial arbitral tribunal. There was evidence of personal intervention by the Head of State to secure this result along with attacks on the physical integrity of the investment and threats to the safety of the staff.³⁷⁴ This constituted a breach of the treaty's standard of fair and equitable treatment that was also malicious and thus warranted an additional award of moral damages.³⁷⁵

7.226 *Bad faith*. It is not necessary to establish bad faith on the part of the host State for a claim of failure to accord fair and equitable treatment to succeed.³⁷⁶ However, if the State does act in bad faith, that will be likely to satisfy the standard. Thus, in *Waste Management II*³⁷⁷ the Tribunal observed that: 'a conscious combination of various agencies of government without justification to defeat the purposes of an investment agreement—would constitute a breach of Article 1105(1). A basic obligation of the State under Article 1105(1) is to act in good faith and form, and not deliberately to set out to destroy or frustrate the investment by improper means'. In *Cargill*, the Tribunal found that the host State's introduction of import permits in a deliberate effort to change the trade policy of the investor's home State amounted to bad faith on the part of the host State breaching the standard.³⁷⁸

³⁷¹ *Pope & Talbot Inc v Canada* (Award on Damages) 7 ICSID Rep 148, IIC 195 (NAFTA/UNCITRAL, 2002, Dervaird P, Belman & Greenberg).

³⁷² *ibid* para 68; and see further (Award) IIC 193 paras 156–181.

³⁷³ *Desert Line Projects LLC v Yemen* (Award) ICSID Case No ARB/05/17, IIC 319 (2008, Tercier P, Paulsson & El-Kosheri) para 155.

³⁷⁴ *ibid* paras 171 and 185.

³⁷⁵ On the availability of moral damages see paras 9.147 *et seq* below.

³⁷⁶ *LG&E* para 129; *Siemens AG v Argentina* (Award) ICSID Case No ARB/02/8, 14 ICSID Rep 513, IIC 227 (2007, Rigo Sureda P, Bello Janeiro & Brower) para 299; *El Paso v Argentina* para 357.

³⁷⁷ *Waste Management II* para 138.

³⁷⁸ *Cargill* para 301.

Conversely, a good faith effort on the part of the State agencies to fulfil the requirements of host State law will be a powerful indication that the standard has been met.³⁷⁹ **7.227**

Countervailing factors

In determining whether the standard has been breached, it is also necessary to evaluate countervailing factors.³⁸⁰ An overarching consideration has already been mentioned—the need to preserve a legitimate scope for regulatory action in ensuring that the treatment accorded to an investor is equitable in the light of the public interest in the host State. In weighing the State's regulatory interest, tribunals have considered in particular whether there is an objective basis for the administrative decision in question; whether the impact on the foreign investor is disproportionate; and whether the alleged right asserted by the investor has a firm basis in host State or international law. **7.228**

Tribunals are also concerned to ensure that the conduct is such that it properly forms the subject of an international claim. Thus mere illegality under host State law will not itself give rise to a breach of the treaty standard.³⁸¹ Nor will the failure of a State agency to pay a debt, provided 'it does not amount to an outright and unjustified repudiation of the transaction and provided that some remedy is open to the creditor to address the problem'.³⁸² **7.229**

A further countervailing factor is the need to assess the conduct of the investor itself: did it make an adequate investigation as to host State law and the actual position in the host State prior to investment; and how did it conduct itself in the host country? **7.230**

Objective basis for decision In *Genin*, the Tribunal decided that the failure of the Bank of Estonia to meet international best practice in its decision to revoke the claimant's banking licence did not breach the standard. The Tribunal was particularly influenced by its assessment that the Bank had had good cause to revoke the licence. It said that the decision must be seen in its proper context: **7.231**

... a context comprised of serious and entirely reasonable misgivings regarding EIB's management, its operations, its investments and, ultimately, its soundness as a financial institution ...

... the Tribunal accepts Respondent's explanation that it took the decision to annul EIB's licence in the course of exercising its statutory obligations to regulate the Estonian banking sector. The Tribunal further accepts Respondent's explanation that the circumstances of political and economic transition prevailing in Estonia at the time justified heightened scrutiny of the banking sector. *Such regulation by a state reflects a clear and legitimate public purpose.*

... the Tribunal ... regards the decision by the Bank of Estonia to withdraw the licence as justified. In light of this conclusion, in order to amount to a violation of the BIT, *any procedural irregularity that may have been present would have to amount to bad faith, a wilful disregard of due process of law or an extreme insufficiency of action.* None of these are present in the case at hand.³⁸³

The Tribunal took a similar view of the matter in *Lauder v Czech Republic*.³⁸⁴ It decided that the Republic through its Media Council had committed no breach of treaty. The arbitrators **7.232**

³⁷⁹ *GAMI v Mexico* para 97.

³⁸⁰ *Biwater Gauff Ltd v Tanzania* (Award) ICSID Case No ARB/05/22, IIC 330 (2008, Hanotiau P, Born & Landau) para 601; *Lemire v Ukraine* para 285.

³⁸¹ *ADF Group Inc v United States of America* (Award) para 190.

³⁸² *Waste Management II* para 115.

³⁸³ *Genin v Estonia* paras 361, 370–1 [emphasis added].

³⁸⁴ *Lauder v Czech Republic* (Award) 9 ICSID Rep 62, IIC 205 (UNCITRAL, 2001, Briner C, Cutler & Klein).

emphasized that the Media Council's conduct in bringing proceedings against Lauder's company for unauthorized broadcasting was not inconsistent, since the Council had objective reasons for believing that the Media Law was being violated: 'There can not be any inconsistent conduct in a regulatory body taking the necessary actions to enforce the law, absent any specific undertaking that it will refrain from doing so.'³⁸⁵

- 7.233 No disproportionate impact on foreign investor** The second factor which militates against a finding that the treatment breaches the standard is if it does not have a disproportionate impact on the foreign investor, but rather falls equally on everyone in the host State. Thus, for example, in *Pope & Talbot*³⁸⁶ a principal reason why the Tribunal declined to find any aspect of the introduction of a quota regime for the export of softwood from Canada to be a breach of the standard was that it was a large-scale scheme affecting many producers, and it could not be shown that it had been implemented in a way which singled out the foreign investor. So, too, in *GAMI Investments Inc v Mexico*,³⁸⁷ the Tribunal declined to find a breach of the standard simply because the Mexican authorities had failed to implement and administer the Mexican sugar programme in the way that the law intended.
- 7.234 Absence of legal right** The converse of the principle that (in the absence of some specific breach of international law) the investor must take host State law as he finds it is that, if the right contended for is not recognised and protected in either host State law or international law, the failure to protect it cannot by definition constitute a breach of the standard.
- 7.235** This principle is well illustrated by the dismissal of the claim for breach of art 1105 of NAFTA at the jurisdictional stage in *UPS v Canada*.³⁸⁸ The gravamen of UPS's complaint was that Canada had failed to ensure fair competition in the market for non-monopoly postal services. It was said in particular that Canada ought to have adopted measures to address the findings of an independent Commission appointed by it. The Commission had found that Canada Post was an unregulated government monopoly engaged in unrestrained competition with the private sector in the non-monopoly postal market. The arbitrators allowed the claim of breach of national treatment to go to a merits hearing,³⁸⁹ and the alleged breach of art 1105 was struck out. The Tribunal found that art 1105 encapsulates a general international law standard.³⁹⁰ Thus, it was necessary to investigate whether a prohibition on anti-competitive behaviour could be found in customary international law—comprising both State practice and *opinio juris*.³⁹¹ However, a review of State practice indicated that there was no uniform prohibition on anti-competitive practices, and, where States had intervened to impose such a prohibition, there was no evidence that they had done so out of any sense of obligation under international law.³⁹² Further, no specific provision on competition could be found in a review of international law instruments.³⁹³ Thus, the Tribunal concluded, it

³⁸⁵ *Lauder* para 297.

³⁸⁶ *Pope & Talbot* paras 119–55.

³⁸⁷ *GAMI Investments Inc v Mexico* (Award) 13 ICSID Rep 147, IIC 109 (NAFTA/UNCITRAL, 2004, Paulsson P, Muró & Reisman).

³⁸⁸ *United Parcel Service of America Inc v Canada* (Award on Jurisdiction) 7 ICSID Rep 285 (NAFTA/UNCITRAL, 2002, Keith P, Cass & Fortier) ('*UPS v Canada*').

³⁸⁹ *ibid* paras 99 *et seq.*

³⁹⁰ *ibid* para 77.

³⁹¹ *ibid* paras 83–4.

³⁹² *ibid* paras 85–6.

³⁹³ *ibid* paras 87–92.

could not be said that a requirement to regulate anti-competitive practices formed part of customary international law, or, in turn, NAFTA.

A similar approach was taken to a claim of breach of the standard of fair and equitable treatment in the payment of State aid in *Saluka*. The Tribunal held that: ‘The “fair and equitable treatment” standard cannot easily be assumed to include a general prohibition of State aid. Financial assistance is a tool used by States to implement their commercial policies. Even though it tends to distort competition and to undermine the level playing field for competitors, States cannot be said to be generally bound by international law to refrain from using this tool.’³⁹⁴ **7.236**

The Tribunal considered that the provision of such aid would only be likely to infringe the standard if it were provided in such a way as to breach one of the other factors considered above, in particular by being contrary to the investor’s legitimate expectations or discriminatory. **7.237**

The Tribunal in *ADF* also reached this view with regard to domestic content and performance requirements in government procurement. Finding that such requirements were to be found in the internal legal systems or in the administrative practice of many States, the Tribunal reasoned: ‘Thus, the US measures cannot be characterized as idiosyncratic or aberrant and arbitrary.’³⁹⁵ **7.238**

Investor conduct and duty to investigate A final category of cases where tribunals have held the standard not breached, or have at least significantly moderated the consequences of any breach, is where the investor’s own conduct has to some extent contributed to his loss. Muchlinski has given this class of cases the suggestive title ‘*caveat investor*’.³⁹⁶ In *MTD v Chile*, the Tribunal found that half of the responsibility for the investor’s losses lay with the investor’s own failure to investigate properly the Chilean planning laws applicable to the proposed investment, and reduced the damages accordingly.³⁹⁷ Similarly, in *Maffezini v Spain*³⁹⁸ the Tribunal rejected one head of claim on the ground that the investor must take responsibility himself for mistaken advice received. In *International Thunderbird* the investor had provided incomplete and misleading information to the State regulator, and knew that there was a risk that its planned investment might breach host State law.³⁹⁹ The Tribunal in *Maffezini* stated: ‘Bilateral Investment Treaties are not insurance policies against bad business judgments.’⁴⁰⁰ It further insisted that the investor take responsibility for meeting in full the requirements of local law, ignorance of the law being no defence.⁴⁰¹ **7.239**

³⁹⁴ *Saluka* para 445.

³⁹⁵ *ADF Group Inc v United States of America* (Award) para 188.

³⁹⁶ P Muchlinski, ‘Caveat investor? The Relevance of the Conduct of the Investor under the Fair and Equitable Treatment Standard’ (2006) 55 ICLQ 527.

³⁹⁷ *MTD Equity Sdn Bhd v Chile* (Award) ICSID Case No ARB/01/7, 12 ICSID Rep 6, IIC 174 (2004, Rigo Sureda P, Lalonde & Oreamuno Blanco).

³⁹⁸ *Maffezini v Spain* (Award) ICSID Case No ARB/97/7, 5 ICSID 387, IIC 86 (2000, Orrego Vicuña P, Buergenthal & Wolf), confirmed in *Waste Management II*.

³⁹⁹ *International Thunderbird Gaming Corp v Mexico* (Award) IIC 136 (NAFTA, 2006, van den Berg P, Ariosa & Wälde (partial dissent)).

⁴⁰⁰ *Maffezini* para 64.

⁴⁰¹ *ibid* para 70.

B. Full Protection and Security

- 7.240** The second principal non-contingent standard commonly found in investment treaties is the requirement that investments of nationals of either contracting party shall enjoy ‘full protection and security’ in the territory of the other contracting party. This provision found early expression in bilateral treaties of friendship, commerce and navigation (‘FCN treaties’).⁴⁰² It was not combined with the concept of fair and equitable treatment until the modern era. It, too, had an extensive life in the customary international law rules relating to the protection of the property of aliens through claims of State responsibility and the invocation of diplomatic protection.
- 7.241** The Abs-Shawcross draft treaty of 1959 requires each Party to afford to the property of nationals of the other Party ‘the most constant protection and security’.⁴⁰³ A general protection of this kind is very commonly found without further elaboration in the model bilateral investment treaties of many States, whether they are typically capital-exporting or capital-importing States and in the major plurilateral treaties.⁴⁰⁴
- 7.242** In contrast to fair and equitable treatment, however, full protection and security is typically concerned not with the process of decision-making by the organs of the State. Rather, it is concerned with failures by the State to protect the investor’s property from actual damage caused by either miscreant State officials, or by the actions of others, where the State has failed to exercise due diligence. It is thus principally concerned with the exercise of police power.⁴⁰⁵
- 7.243** The possibility of State responsibility being invoked for the omission of a State to provide protection to aliens is well known to international law. Such responsibility was found by the ICJ to apply to the protection of persons under an FCN Treaty in the *Tehran Hostages Case*.⁴⁰⁶ Such an allegation was considered but ultimately rejected by a Chamber of the Court under another FCN Treaty in *ELSI*.⁴⁰⁷
- 7.244** While invoked as a cause of action in a number of investment treaty arbitrations in which it has received occasional attention, the standard has received sustained consideration in four awards: *AAPL v Sri Lanka*,⁴⁰⁸ *AMT v Zaire*,⁴⁰⁹ *Wena Hotels Ltd v Egypt*,⁴¹⁰ and *Suez v Argentina*.⁴¹¹ The first three of these cases concerned destruction to persons and property during internal armed conflict, riots and acts of violence.⁴¹² In *Suez* the Tribunal considered

⁴⁰² Above paras 7.60 *et seq*; Weiler chaps 3 & 4.

⁴⁰³ art I, above para 7.60.

⁴⁰⁴ Above paras 7.29 *et seq*.

⁴⁰⁵ 2012 US model BIT, art 5(2)(b) (Appendix 6 below) states that the standard ‘requires each Party to provide the level of *police protection* required under customary international law’ (emphasis added).

⁴⁰⁶ *Diplomatic and Consular Staff in Tehran (United States of America v Iran)* (Merits) [1980] ICJ Rep 3.

⁴⁰⁷ *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15, 52–6, paras 102–12.

⁴⁰⁸ *Asian Agricultural Products Ltd (AAPL) v Sri Lanka* (Award) ICSID Case No ARB/87/3, 4 ICSID Rep 245, IIC 18 (1990, El-Koshery P, Goldman & Asante (dissenting)) (*AAPL v Sri Lanka*).

⁴⁰⁹ *American Manufacturing and Trading Inc v Zaire* (Award) ICSID Case No ARB/93/1, 5 ICSID Rep 11, IIC 14 (1997, Sucharitkul P, Golsong & Mbaye) (*AMT v Zaire*).

⁴¹⁰ *Wena Hotels Ltd v Egypt* (Award) ICSID Case No ARB/98/4, 6 ICSID Rep 67, IIC 273 (2000, Leigh P, Fadlallah & Wallace), upheld in (Decision on Annulment) 6 ICSID Rep 129, IIC 274 (2002, Kerameus P, Bucher & Orrego Vicuña).

⁴¹¹ *Suez Sociedad General de Aguas de Barcelona SA v Argentina* (Decision on Liability) ICSID Case No ARB/03/19, IIC 443 (2010, Salacuse P, Kaufmann-Kohler & Nikken) paras 160–79.

⁴¹² A matter that may also be provided for in BITs in specific provisions discussed 2.22–2.26 above.

but ultimately rejected an allegation that the host State could breach the standard by failing to provide a stable legal environment.

Three specific issues have arisen in the construction of the standard:

7.245

- (a) Standard of care: strict liability or due diligence?
- (b) Scope *ratione personae*: State and/or non-State actors? and,
- (c) Scope *ratione materiae*: is the standard limited to damage to physical property or does it also afford a secure legal environment?

Standard of care

The language of the general standard, referring to ‘most constant’ or ‘full’ protection and security suggests an exacting standard of care. Nevertheless, there is a *jurisprudence constante* to the effect that the duty imposed upon the host State by this standard is not one of strict liability. Rather the State is obliged to exert due diligence in order to protect the claimant’s investment—a standard which must be assessed according to the particular circumstances in which the damages occurs.⁴¹³

7.246

A Chamber of the International Court in *ELSI*, interpreting just such treaty terms, held that it ‘cannot be construed as the giving of a warranty that property shall never in any circumstances be occupied or disturbed.’⁴¹⁴ Although the investor’s factory had been occupied by the workers for some time, the Chamber observed that ‘[t]he dismissal of 800 workers could not reasonably be expected to pass without some protest’.⁴¹⁵ It concluded that the conduct of the Italian authorities, in protecting the plant and even continuing some production, did not fall below the standard.

7.247

In *AAPL v Sri Lanka*, the Tribunal had to confront this issue squarely in the first modern investment treaty arbitration. The claimants, a Hong Kong company, had entered into a joint venture with a number of Sri Lankan government agencies and private individuals to establish a Sri Lankan company, whose object was to operate a shrimp farm in Sri Lanka providing shrimp for export to the Japanese market. The farm was located in a part of the country that fell under the control of the Tamil Tigers. It was subsequently destroyed during the course of a counter-insurgency operation by Sri Lankan government security forces. The claimant’s primary submission was that the Treaty established a strict liability standard, which rendered the Sri Lankan Government liable for any destruction of the investment even if caused by acts not attributable to the Government and under circumstances beyond the State’s control.

7.248

The Tribunal construed the UK–Sri Lanka BIT in accordance with the provisions of art 31 VCLT, including the requirement in art 31(3)(c) to have regard to other relevant rules of international law applicable in the relations of the parties. The Tribunal found that this was of crucial importance in order to decide whether the BIT ‘intended, merely, to consolidate the pre-existing rules of international law, or, on the contrary, it tended to innovate by

7.249

⁴¹³ The earlier authorities on the engagement of State responsibility in respect of the acts of private persons, including those engaged in revolutions or civil wars, are also consistent on this point: ILC, ‘Digest of the Decisions of International Tribunals relating to State Responsibility’ [1964] 2 YB ILC 132, 152–4.

⁴¹⁴ *ELSI* 54, para 108.

⁴¹⁵ *ibid*

imposing on the host State a higher standard of international responsibility'.⁴¹⁶ The Tribunal found that the standard was not one of strict liability and was in accord with the standard in customary international law.⁴¹⁷

- 7.250** If the standard were one of strict liability, then the more specific protections found in the Treaty governing destruction of property by State forces 'not caused in combat action or ... required by the necessity of the situation'⁴¹⁸ would have no scope of operation. This Article contemplated a higher standard of liability and compensation for damages caused by government forces, which was 'linked with the assumption of unjustified destruction committed out of combat'.⁴¹⁹ The Tribunal found this Article inapplicable because it had not been sufficiently established that the damage to the farm had been caused by government forces;⁴²⁰ the guerilla warfare between the Tamil Tigers and the Sri Lankan Government was 'combat action';⁴²¹ and the evidence did not enable the Tribunal to determine whether the destruction had been occasioned by the necessity of the situation.⁴²²
- 7.251** However, this did not preclude the application of the general requirements to provide compensation for losses suffered by foreign investors owing to armed conflicts⁴²³ or to provide full protection and security. Sri Lanka accepted that these clauses could be invoked if it had failed to exercise the customary international law standard of due diligence, which it owed to protect the person or property of any alien on its territory.⁴²⁴ The Tribunal relied on both jurisprudence⁴²⁵ and doctrine⁴²⁶ as supporting this standard. It faced great evidential difficulty in applying it to the facts. However, it finally found that Sri Lanka had breached the standard by failing to take precautionary measures, including the removal of employees from the farm, before launching the offensive.⁴²⁷
- 7.252** Subsequent awards have agreed that the standard is not one of strict liability, but rather one of due diligence.⁴²⁸ In *Pantechniki*, Sole Arbitrator Paulsson further suggested that the adequacy of the State's response should be assessed in the light of the scale of the disorder and the extent of its resources:

A failure of protection and security is to the contrary likely to arise in an unpredictable instance of civil disorder which could have been readily controlled by a powerful state but

⁴¹⁶ *AAPL v Sri Lanka* para 42.

⁴¹⁷ *ibid* para 53, citing *Sambiaggio* (1903) X RIAA 499, 512; *ELSI* 55, para 111.

⁴¹⁸ Agreement for the Promotion and Protection of Investments (UK–Sri Lanka) (signed 13 February 1980, entered into force 18 December 1980) 1227 UNTS 392 art 4(2)(b).

⁴¹⁹ *AAPL v Sri Lanka* para 57.

⁴²⁰ *ibid* para 59.

⁴²¹ *ibid* paras 61–2.

⁴²² *ibid* paras 63–4.

⁴²³ UK–Sri Lanka BIT art 4(1).

⁴²⁴ *AAPL v Sri Lanka* para 68.

⁴²⁵ Among others, *Spanish Zone of Morocco (Great Britain v Spain)* (1923–4) 2 AD 157 (Note), II RIAA 615, 645 (Original French text) (Huber); *Sambiaggio*; and the decisions of the Mexico/US Claims Commission cited in *AAPL v Sri Lanka* para 75.

⁴²⁶ Especially I Brownlie, *System of the Law of Nations, State Responsibility—Part I* (1983) 162; AV Freeman, *Responsibility of States for Unlawful Acts of their Armed Forces* (1957); CF Amerasinghe, *State Responsibility for Injuries to Aliens* (1967).

⁴²⁷ *AAPL v Sri Lanka* para 85.

⁴²⁸ eg *Técnicas Medioambientales Tecmed SA v Mexico* (Award) ICSID Case No ARB(AF)/00/2, 10 ICSID Rep, IIC 247 (ICSID(AF), 2003, Grigera Naón P, Bernal Vera & Fernández Rozas) para 177; *Saluka* para 484.

which overwhelms the limited capacities of one which is poor and fragile. There is no issue of incentives or disincentives with regard to unforeseen breakdowns of public order; it seems difficult to maintain that a government incurs international responsibility for failure to plan for unprecedented trouble of unprecedented magnitude in unprecedented places. The case for an element of proportionality in applying the international standard is stronger than with respect to claims of denial of justice.⁴²⁹

Against whose acts does the protection apply?

A second issue that has arisen is: in respect of whose acts does the standard afford protection? **7.253**
The duty imposed by the international standard is one that rests upon the State. However, since it concerns an obligation of diligence, the operation of the standard does not depend upon whether the acts that give rise to the damage to the claimant's investment are committed by agents of the State (which are thus directly attributable to the State) or by third parties. Rather the focus is on the acts or omissions of the State in addressing the unrest that gives rise to the damage.⁴³⁰

The point has important practical implications in the context of the situations of civil strife **7.254**
in which the standard has most commonly been applied. It will often be very difficult, as was the case in *AAPL v Sri Lanka*, to determine whether the particular damage was caused by third parties or by State agents. The State may well owe more specific and exacting duties under an investment treaty and in customary international law for damage actually caused by its own agents, where such causation can be established. It will owe in any event a duty to employ due diligence in the provision of protection and security, irrespective of whether the actions of the persons that actually caused the damage may be attributed to the State.

In *AMT v Zaire*, the claimant incurred losses as a result of looting and destruction of its **7.255**
property caused by Zairian soldiers during riots and acts of violence in Kinshasa. The Tribunal found that Zaire had taken no action whatsoever to protect the claimant's property. Accordingly, it was of little or no consequence whether the acts complained of were committed by a member of the Zairian armed forces or a common burglar, Zaire had an 'obligation of vigilance'⁴³¹ and accordingly its responsibility was invoked for a failure to provide full protection and security and for losses owing to riots or acts of violence.⁴³²

So, too, in *Wena Hotels Ltd v Egypt*, the claimant, a British company, had entered into **7.256**
agreements with the Egyptian Hotels Company (EHC), an Egyptian State-owned company, to manage two hotels in Egypt: the Luxor and the El Nile. On 1 April 1991, large crowds attacked the hotels and the staff and guests were forcibly evicted. EHC, whose staff participated in the attacks, subsequently took control of the hotels, which were not returned to Wena for almost a year. The Tribunal found that Wena had not satisfied its burden of establishing that Egypt had actually participated in the seizures.⁴³³ However, Egypt was nevertheless liable for failure to provide full protection and security. The State was aware of the seizures, but did nothing to prevent them; to protect the investment; to

⁴²⁹ *Pantechniki SA Contractors and Engineers v Albania* (Award) ICSID Case No ARB/07/21, IIC 383 (2009, Paulsson (sole)) para 77.

⁴³⁰ *Genocide Convention (Bosnia and Herzegovina v Serbia and Montenegro)* [2007] ICJ Rep 43, 182, para 430.

⁴³¹ *AMT v Zaire* paras 6.07 and 6.13.

⁴³² *AMT v Zaire* paras 6.13–6.14.

⁴³³ *Wena v Egypt* para 85 fn 198.

prevent damage to Wena's property; to sanction EHC for its role; or to compensate Wena for its losses.⁴³⁴

What interests does the standard protect?

- 7.257** The third issue of interpretation of the standard is its subject matter scope. Is the requirement of protection and security limited to the use of force causing damage to the tangible property of the investor or may it also include a requirement of legal security capable of application to intangible property?
- 7.258** The treaty texts themselves do not give explicit guidance on this issue. Only CETA provides expressly that the standard 'refers to the party's obligations relating to the physical security of investors and covered investments.'⁴³⁵ Other model treaties, such the US 2012 revised model BIT, define protection and security in terms of 'police protection', a reference to a function of the State that is most naturally limited to protection of physical assets.
- 7.259** Each of the three leading cases discussed in the preceding section, in which the standard was first considered and given practical effect, involved direct attacks on the investor's tangible property in the host State. The *Saluka* Tribunal concluded that the standard 'is not meant to cover just any kind of impairment of an investor's investment, but to protect more specifically the physical integrity of an investment against interference by use of force.'⁴³⁶
- 7.260** Some tribunals have concluded from the absence of limiting words in the treaty and the frequent coupling of the standard with that of fair and equitable treatment and/or protection against arbitrary or discriminatory conduct that the standard should be interpreted to reach any measure that deprives an investment of protection and security and is not limited to physical security.⁴³⁷ In consequence of this view, the State's failure to provide a stable investment environment may be treated as a failure to provide both fair and equitable treatment and full protection and security.⁴³⁸ Tribunals have maintained that this consideration is reinforced where the treaty refers expressly to 'legal security' and where protected investments include intangible as well as tangible property.⁴³⁹ Some scholars have also argued that the standard of full protection and security has long formed a part of the customary international law minimum standard as well as of FCN treaty practice. Since, it is said, the minimum standard in customary international law protects more than tangible property there is no reason to limit the treaty standard in this way.⁴⁴⁰
- 7.261** In evaluating this issue, it is important to consider the specific function of this standard of protection within a contemporary investment treaty. A failure in full protection and security

⁴³⁴ *ibid.*

⁴³⁵ CETA, art X.9(5).

⁴³⁶ *Saluka* para 484.

⁴³⁷ *CME Czech Republic BV v Czech Republic* (Partial Award) 9 ICSID Rep 121, IIC 61 (UNCITRAL, 2001, Kühn C, Schwebel & Händl (dissenting)) (*CME I*) para 613; *Azurix Corp v Argentina* (Award) ICSID Case No ARB/01/12, 14 ICSID Rep 374, IIC 24 (2006, Rigo Sureda P, Lalonde & Martens) para 406; *Compañía de Aguas del Aconquija SA and Vivendi Universal v Argentina* (Award) ICSID Case No ARB/97/13, IIC 307 (2007, Rowley P, Bernal Vereja & Kaufmann-Kohler) (*Vivendi II*) para 7.4.15.

⁴³⁸ *Biwater v Tanzania* para 729.

⁴³⁹ *Siemens AG v Argentina* (Award) para 303.

⁴⁴⁰ Weiler 104–5.

is only one of the grounds upon which the minimum standard of treatment may be invoked at customary international law. For this reason, both NAFTA and the US model BIT (in a formulation now also widely exported into other free trade agreements) state that the minimum standard of treatment at customary international law *includes* both fair and equitable treatment and full protection and security. The incorporation of both of these standards into an investment treaty requires an interpretation in accordance with the principle of effectiveness or *effet utile* that accords a distinct meaning to each.⁴⁴¹ If the terms were synonymous, the inclusion of both would be otiose.

As has been seen, the principle of fair and equitable treatment includes within its rubric a well elaborated mechanism for the assessment of measures undertaken by the three organs of government that adversely affect an investor. To this must be added the protection from expropriation, which is concerned with State measures that deprive the investor of its property. An interpretation of full protection and security that also included these same elements would serve no useful purpose. It would reduce the standard to mere surplusage.

7.262

The situations encountered in *AAPL*, *AMT*, and *Wena* demonstrate the need for an independent standard in order to ensure that the host State exerts its powers with due diligence to protect and secure the investment from the use of force. This has long been recognised as a distinct category of protection within the broader customary minimum standard.⁴⁴² It involves the affirmative deployment of the powers of the State to protect and secure. It may be contrasted with the consideration of the consequences of State legislative measures or judicial or administrative decisions that is the focus of fair and equitable treatment.

7.263

Such a construction is consistent with a reference to 'legal security'. The exercise of the police power forms part of the State's use of the legal system in order to protect and secure investments. Such protection also includes the use of the police and prosecutorial function in order to ensure that the investor may exercise quiet enjoyment of its investment. In *ELSI*, the standard was found to have been satisfied. The level of protection provided by the police and the civil authorities at the claimant's factory following its occupation by the workers, together with the relief afforded in the local courts, did not fall below the international standard.⁴⁴³ By contrast, in *Siag v Egypt*,⁴⁴⁴ the failure on the part of the host State to return the claimants' investments despite repeated rulings to that effect by the local courts, did breach the standard.

7.264

This conclusion is supported by the full analysis of the Tribunal in *Suez v Argentina*.⁴⁴⁵ The Tribunal held that the stability of the legal environment is a matter that must be considered under the fair and equitable treatment standard. By contrast: 'the full protection and security standard primarily seeks to protect investment from physical harm. This said, this latter standard may also include an obligation to provide adequate mechanisms and legal remedies for prosecuting the State organs or private parties responsible for the injury caused to the investor.'⁴⁴⁶

7.265

⁴⁴¹ *AAPL v Sri Lanka* para 40; Weeramantry paras 5.74–5.85.

⁴⁴² ILC 'Digest of the Decisions of International Tribunals relating to State Responsibility' [1964] 2 YB ILC 132, 152–4.

⁴⁴³ *ELSI*, 54 para 108.

⁴⁴⁴ *Siag v Egypt* (Award) ICSID Case No ARB/05/15, IIC 374 (2009, Williams P, Pryles & Orrego Vicuña (partially dissenting)).

⁴⁴⁵ *Suez v Argentina* (Decision on Liability) ICSID Case No ARB/03/17, IIC 443 (2010, Salacuse P, Kaufmann-Kohler & Nikken) paras 160–79.

⁴⁴⁶ *ibid* para 173.

- 7.266** The focus on forcible damage to the claimant's physical property does not exclude the possibility of compensation for consequential damage to other forms of investment as a result of the effect of the use of force on the claimant's tangible property.⁴⁴⁷

C. National Treatment

General considerations

- 7.267** In contrast to the standards discussed so far in this chapter, this section and the next deal with standards that are contingent in their operation. Each of national treatment and most-favoured-nation treatment are concerned to ensure that the treatment accorded to a foreign investor of another contracting State is no less favourable than that accorded to a national of the host State or of a third State (as the case may be).
- 7.268** The fact that such standards are contingent, being concerned with the relativity of treatment meted out to a foreign investor vis-à-vis comparable investors, is not to understate their significance in comparison with the non-contingent standards already considered. The achievement of a level playing field between foreign and local investors⁴⁴⁸ has long been a major objective of investment treaty law.⁴⁴⁹ The non-contingent standards set a base threshold of general application to the assessment of the international legality of state measures affecting investors. The contingent standards on the other hand require a close enquiry into the relative effect of the actual treatment accorded by the host State to foreign and national investors.
- 7.269** This does not require a showing of discriminatory intent or protectionist motive on the part of the host State. Such intent or motive is a relevant but not an indispensable factor. Rather the application of the standard is determined by reference to the practical effect on the investment.⁴⁵⁰ By contrast, the fair and equitable treatment standard, while affording protection against discriminatory conduct, does not proscribe all differential treatment between nationals and foreigners.⁴⁵¹
- 7.270** The typical national treatment provision in an investment treaty prohibits 'treatment less favourable than that which it accords to investments or returns of its own nationals'.⁴⁵² Article 1102(1) of NAFTA casts the obligation in positive terms:

Each Party shall accord to investors of another Party treatment no less favourable than that it accords, in like circumstances, to its own investors with respect to the establishment, acquisition, expansion, management, conduct, operation, and sale or other disposition of investments.⁴⁵³

⁴⁴⁷ In *AAPL v Sri Lanka* para 106 the Tribunal considered damage to the value of the goodwill in claimant's business as a going concern as potentially compensable under the standard in addition to losses to the physical assets but rejected it on the evidence.

⁴⁴⁸ *Bayindir Insaat Turizm Ticaret Ve Sanayi AŞ v Pakistan* (Award) ICSID Case No ARB/03/29, IIC 387 (2009), Kaufmann-Kohler P, Berman & Böckstiegel) para 387.

⁴⁴⁹ Weiler chaps 8 & 9.

⁴⁵⁰ *SD Myers Inc v Canada* (First Partial Award on the Merits) 8 ICSID Rep 3, IIC 249 (NAFTA/UNCITRAL, 2000, Hunter P, Chiasson & Schwartz) para 252, finding undisturbed on application for judicial review to the Canadian Federal Court: *Attorney-General of Canada v SD Myers Inc and Mexico (Intervener)* 8 ICSID Rep 194 paras 72–74; *Bayindir* para 390.

⁴⁵¹ Above paras 7.102 *et seq.*

⁴⁵² UK model BIT, art 3 (Appendix 4 below).

⁴⁵³ Appendix 1.

Article 1102(2) extends the same protection to *investments* as well as investors. NAFTA art 1102 as a whole is of particular practical significance. It has served as a model for a number of more recent free trade agreement provisions on national treatment. It has given rise to the most arbitral jurisprudence on the concept of and requirements for the national treatment standard. It states a test of treatment ‘in like circumstances’. Other treaties refer to ‘similar situations’⁴⁵⁴ or contain no such express qualifying language. Since the national treatment standard requires the making of a comparison, determining the comparator—the comparable circumstances or situation—is inherent in the nature of the exercise. NAFTA arbitral awards are therefore of more general application. **7.271**

In one important respect, however, the NAFTA formulation adopts a distinct line not shared by all investment treaties. That is its extension to the establishment and acquisition of investments. Many other investment treaties that include a national treatment standard apply it only to the post-establishment phase, leaving the host State to decide which investments to admit.⁴⁵⁵ Where, following the American NAFTA model, the national treatment clause applies to the admission stage, it will have a much broader scope of practical application, since many regulatory decisions that draw a distinction between nationals and foreigners are taken at the point of entry. A larger issue of both policy and principle lies behind this distinction. States that apply national treatment only post-admission retain for themselves the sovereign right to determine which investments to admit and, if so, on what terms. They then agree to provide a level playing field to those investments duly admitted. States that agree to apply national treatment to the admission stage itself adhere to a principle of free movement of capital without restrictions as to nationality as between Contracting States. Under this model, the State’s ability to adopt policies protecting the local market at the point of entry can no longer be based on grounds of nationality. Any distinction must be founded upon other bases that pursue rational government policies. **7.272**

The claimant must establish three elements in order to make good a claim for breach of national treatment: **7.273**

- (1) *Treatment* accorded by the host State to the Claimant with respect to the investment;
- (2) The foreign investor or investment must be *in like circumstances* with local investors or investments; and
- (3) The host State must treat the foreign investor or investment *less favourably* than it treats the local investors or investments.⁴⁵⁶

Treatment that presumptively violates the standard may be justified if it has ‘a reasonable nexus to rational government policies that (1) do not distinguish, on their face or de facto, between foreign-owned and domestic companies, and (2) do not otherwise unduly undermine the investment liberalizing objectives of [the treaty].’⁴⁵⁷ **7.274**

⁴⁵⁴ eg Turkey–Pakistan BIT, art II(2) (signed 16 March 1995), discussed in *Bayindir*.

⁴⁵⁵ Above paras 7.47 *et seq.*

⁴⁵⁶ *United Parcel Service of America Inc v Canada* (Award) IIC 306 (NAFTA/UNCITRAL, 2007, Keith P. Fortier & Cass (dissenting)) para 83; cited with approval: *Corn Products International Inc v Mexico* (Decision on Responsibility) ICSID Case No ARB(AF)/04/1, 146 ILR 581, IIC 373 (NAFTA, 2008, Greenwood P. Lowenfeld & Serrano de la Vega) para 117.

⁴⁵⁷ *Pope & Talbot Inc v Canada* (Award on the Merits of Phase 2) 7 ICSID Rep 102, IIC 193 (NAFTA/UNCITRAL, 2001, Dervaid C, Belman & Greenberg) para 78.

7.275 The legal burden to establish the affirmative requirements of the national treatment standard rests always on the claimant.⁴⁵⁸ This does not affect the more general procedural rule that a party that chooses to allege a particular fact (whether claimant or respondent) bears an evidentiary burden to establish that fact.⁴⁵⁹

7.276 It is now necessary to analyse in more depth each of the above elements of the legal test. The element that has in practice caused the most difficulty is the establishment of the relevant comparator.

Treatment

7.277 In the first place, the investor or investment must be subject to ‘treatment’ by the host State. This is a broad concept, comprising the aggregate of measures undertaken by the State that bear upon the investor’s business activity.⁴⁶⁰ It includes both *de jure* and *de facto* treatment.⁴⁶¹

7.278 This point has important implications. It means that the host State’s responsibility may be engaged for a failure to accord national treatment on the basis that either (a) the letter of its regulatory measures fail to accord equal treatment to a foreign investor; or (b) the legislative regime itself draws no such distinction, but the manner in which the State operates in practice does.

7.279 So, for example, in *Bayindir v Pakistan*,⁴⁶² the claimant alleged inter alia that a local contractor had been treated more favourably in relation to the contractual terms granted by Pakistan in a construction contract. The Tribunal held that national treatment is not limited to regulatory treatment. It also includes the manner in which a State concludes or applies an investment contract, since “[t]he mere fact that Bayindir has always been subject to exactly the same legal and regulatory framework as everybody else in Pakistan does not necessarily mean that it was actually treated in the same way as local (or third country) investors.”⁴⁶³ The standard is not infringed because the State, in the exercise of its ordinary freedom to negotiate and conclude contracts, in fact strikes a bargain that is different to that offered to the claimant.⁴⁶⁴ It is only where the contractual terms differ on a basis that is explicable by reference to the nationality of the contracting party.

Like circumstances—the comparator

7.280 In many comparative exercises at the interface between law and economics, identifying the correct, or at least the most appropriate, comparator is the most challenging aspect. This is so in competition law and in trade law. It also arises in a number of ways in international investment law—for example the valuation of a business as a going concern in the assessment of damages.⁴⁶⁵ National treatment in investment treaty law is no exception.

⁴⁵⁸ *UPS v Canada* para 84 (Cass dissenting).

⁴⁵⁹ *Pulp Mills on the River Uruguay (Argentina v Uruguay)* [2010] ICJ Rep 14, 71 para 162, applied *Apotex Holdings Inc v United States of America* (Award) ICSID Case No ARB(AF)/12/1, IIC 661 (2014, Veeder P, Crook & Rowley) para 8.8.

⁴⁶⁰ *ADF Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/00/1, 6 ICSID Rep 49, IIC 2 (2003, Feliciano P, de Mestral & Lamm) paras 152–3.

⁴⁶¹ *Corn Products* para 115.

⁴⁶² *Bayindir v Pakistan* para 388.

⁴⁶³ *ibid.*

⁴⁶⁴ UNCTAD, *Most-Favoured-Nation Treatment* UNCTAD/DIAE/IA/2010/1, 29.

⁴⁶⁵ Below 9.31.

The determination of a suitable comparator is of its nature a fact-specific enquiry. The cases have identified the following elements as potentially relevant factors: **7.281**

- (a) Identity of the economic or business sector;
- (b) Extent of competition between the investor and the comparators in the sale of its products or services; and,
- (c) Identity of legal and regulatory regime.⁴⁶⁶

Business sector. Business enterprise does not take place in hermetically sealed compartments. So establishing the business sector of the market for the purpose of identifying other investors in like circumstances may pose a number of difficulties. The level of abstraction at which that sector is defined may have a highly material effect on the outcome. **7.282**

This issue was identified early in the investment treaty arbitration jurisprudence in *Methanex v USA*.⁴⁶⁷ The claimant argued that a ban imposed in California on the use of methanol in the reformulated gasoline market was a breach of the national treatment requirement against it, a Canadian company. In order to construct this argument, Methanex had to submit that the domestic producers in 'like circumstances' included US producers of ethanol. This submission, observed the Tribunal, suffered from the fundamental difficulty that there were also a substantial number of producers of methanol in the United States: 'It would be a forced application of Article 1102 if a tribunal were to ignore the identical comparator and to try to lever in an, at best, approximate (and arguably inappropriate) comparator. The fact stands—Methanex did not receive less favourable treatment than the identical domestic comparators, producing methanol.'⁴⁶⁸ **7.283**

More questionable was the approach taken to this issue by the Tribunal in *Occidental v Ecuador*.⁴⁶⁹ Finding a breach of the national treatment obligation arising from the imposition of VAT on exports of oil, the Tribunal dismissed the argument that the relevant comparators were local oil producers. It held that the comparison 'cannot be done by addressing exclusively the sector in which that particular activity is undertaken'.⁴⁷⁰ **7.284**

Products or services. The fact that the investor and the comparator are engaged in the sale of the same products or services is a relevant consideration, but it is not dispositive. Tribunals have rejected submissions that sought to import the trade law jurisprudence, developed under GATT, on 'like products' into the investment law standard. They have done so even where, as in NAFTA itself, the treaty as a whole includes trade and investment provisions or where all parties to the investment treaty are also parties to the GATT. This is partly a matter of treaty interpretation, there being simply no evidence in the treaty that would warrant importing a different term (and the jurisprudence interpreting it) into the investment **7.285**

⁴⁶⁶ *Apotex* para 8.15.

⁴⁶⁷ *Methanex Corp v United States of America* (Award) (2005) IIC 167 (NAFTA/UNCITRAL, 2005, Veeder P, Reisman & Rowley).

⁴⁶⁸ *Methanex* IV chap B para 19.

⁴⁶⁹ *Occidental Exploration and Production Co v Ecuador* (Award) LCIA Case No UN3467, 12 ICSID Rep 59, IIC 202 (UNCITRAL, 2004, Orrego Vicuña C, Brower & Sweeney).

⁴⁷⁰ *ibid* para 173. The award was the subject of an unsuccessful challenge in the English courts: *Occidental Exploration and Production Co v Ecuador* [2005] EWCA Civ 1116; [2006] 2 WLR 70; [2005] 2 Lloyd's Rep 707; *Ecuador v Occidental Exploration and Production Co* [2006] EWHC 345; [2006] 1 Lloyd's Rep 773.

chapter.⁴⁷¹ The requirement of art 31(3)(c) VCLT to have regard to other rules of international law applicable to the parties only applies to the extent that such rules are relevant to the interpretation of the provision at hand.

- 7.286** In both *GAMI v Mexico*⁴⁷² and *Pope & Talbot*⁴⁷³ the foreign investor was held not to be in like circumstances with local investors even though they produced the same product and competed in the same market. A different approach is required in the investment context precisely because of inherent differences in the nature of investment, when compared to trade in goods. Investment involves a long-term economic stake within the host State, which may have many other intersections with the local economy than trade in goods, and may in turn engage a wide range of regulation by the State.
- 7.287** This point was particularly material in a series of three important cases against Mexico in which American investors producing high fructose corn syrup ('HFCS') for use in soft drinks complained that they had received treatment less favourable than Mexican producers of cane sugar.⁴⁷⁴ A WTO Panel had already ruled that HFCS and sugar were directly substitutable and therefore like products for trade law purposes.⁴⁷⁵ The NAFTA Tribunals rejected the submission that this determination of 'like product' sufficed for the purpose of the investment law test.⁴⁷⁶ It was an important element. But the treatment accorded to the investor's business had to be compared with others in the same business sector on a broader basis than a comparison of products. In *GAMI* and *Pope & Talbot*, there had been material differences in the economic situation of the claimant and the comparators that were directly relevant to the rationale of the particular measure being imposed.⁴⁷⁷ These differences had the consequence that the investor and the comparator could not be treated as being 'in like circumstances'. This is another way of putting the point that distinctions based on rational government policies may be permissible under the standard, subject to the proviso that such distinctions cannot 'be used to justify a measure that destroys an economically viable foreign investment in order to benefit a domestic competitor.'⁴⁷⁸ In the Mexican sugar cases, the Tribunals found that HFCS producers were in like circumstances with Mexican cane sugar producers and that the measures did unfairly target the claimants, breaching the national treatment standard.
- 7.288** *Regulatory regime.* A third factor in identifying the comparator is identity of the legal and regulatory regime applicable to the investors being compared.⁴⁷⁹ In *ADF v USA*,⁴⁸⁰ the

⁴⁷¹ *Methanex* IV chap B para 37; *Cargill Inc v Mexico* (Award) ICSID Case No ARB(AF)/05/2, IIC 479 (NAFTA, 2009, Pryles P, Caron & McRae) para 193.

⁴⁷² *GAMI Investments Inc v Mexico* (Award) 13 ICSID Rep 147, IIC 109 (NAFTA/UNCITRAL, 2004, Paulsson P, Muró & Reisman) para 91.

⁴⁷³ *Pope & Talbot Inc v Canada* (Award on the Merits of Phase 2).

⁴⁷⁴ *Archer Daniels Midland Co v Mexico* (Award) ICSID Case No ARB(AF)/04/5, IIC 329 (NAFTA, 2007, Cremades P, Rovine & Siqueiros); *Corn Products; Cargill*.

⁴⁷⁵ WTO Panel Report *Mexico—Tax Measures on Soft Drinks and Other Beverages* WT/DS308/R (7 October 2005); upheld on other grounds Appellate Body WT/DS308/AB/R (6 March 2006).

⁴⁷⁶ *Corn Products* para 121; *Cargill* para 193.

⁴⁷⁷ *Cargill* paras 195–210.

⁴⁷⁸ *ibid* para 210.

⁴⁷⁹ *Grand River Enterprises Six Nations Ltd v United States of America* (Award) ICSID Case No ARB/10/5, IIC 481 (NAFTA, 2011, Nariman P, Anaya & Crook) para 166; *Apotex* para 8.15.

⁴⁸⁰ *ADF v USA* paras 147–74.

claimant, a Canadian company, had been sub-contracted to supply structural steel components for nine bridges in a federally funded road project in Northern Virginia. The contract required the use of US steel. ADF had proposed to purchase US steel, but to fabricate it at its plant in Canada. The US authorities ruled that this violated federal performance conditions, requiring fabrication in the United States. The Tribunal decided that it was required to decide whether ADF's US steel was treated differently to the US steel of US investors in similar circumstances.⁴⁸¹ The claim failed on the basis that all of the US investors were also subjected to the 'Buy America' provisions of the legislation.⁴⁸² By contrast, in *UPS v Canada*, the Tribunal found that Canada Post was not comparable with UPS. Canada Post was subject to legal requirements under both Canadian law and international postal agreements that did not apply to UPS or other courier companies.⁴⁸³

This difference in the regulatory regime was also dispositive in *Apotex*. The claim concerned an import alert issued to a Canadian generic drug manufacturer. The Tribunal held that there were important differences in the regulatory regime applicable where the drugs were manufactured locally than where they were manufactured in a foreign country. In the latter case, the Federal Drug Agency could not conduct a local inspection, and restrictions at the border had to be applied instead. This distinction, which applied based on the location of the manufacturing facility and irrespective of whether it was owned by a local or a foreign investor, meant that the imposition of an import alert did not infringe the national treatment standard.⁴⁸⁴ **7.289**

The applicable legal regime may also be contractual. In *Bayindir*, the Tribunal accepted that another single local contractor with the Pakistan Government *might* suffice as a comparator. But on analysis it found that there were material differences between the contractual terms in the two arrangements that precluded them being treated as in a similar situation.⁴⁸⁵ **7.290**

The cases underscore the limited and relative nature of the enquiry. The national treatment standard does not, as *ADF* demonstrates, serve to eliminate all protectionism from the market. It is a relative concept that applies to the position of the respective investors and not every element in their supply chain. It suffices that local and foreign investors are under similar burdens. **7.291**

This element has to be qualified. Consideration of the legal framework within the comparator cannot be taken too far. After all, the national treatment standard applies to all forms of treatment by the host State *including* the imposition of legal or regulatory measures. The subjection of a foreign investor to a different regulatory regime to that applicable to the local investor may itself constitute a breach of the standard. This element is also necessarily linked to the question whether the treatment pursues a rational government policy—a key factor in both *UPS* and *Apotex*. **7.292**

No less favourable treatment—the comparison

The third requirement that a claimant must meet in order to succeed in a national treatment claim is to establish that the treatment that it has received fails the State's undertaking that it **7.293**

⁴⁸¹ *ibid* para 155.

⁴⁸² *ibid* para 156.

⁴⁸³ *UPS v Canada* paras 98 (distinction between postal traffic and courier shipments) and 175 (unique universal delivery requirement of Government postal assistance programme).

⁴⁸⁴ *Apotex* para 8.51.

⁴⁸⁵ *Bayindir* paras 400 & 411.

be ‘no less favourable’ than that accorded to a local investor. In *Pope & Talbot Inc v Canada*,⁴⁸⁶ the Tribunal held that the expression ‘“no less favorable” means equivalent to, not better or worse than, the best treatment accorded to the comparator’.⁴⁸⁷ It rejected an argument raised by Canada that it was necessary to establish some disproportionate disadvantage to the foreign investor.⁴⁸⁸

- 7.294** Once the relevant comparator has been established, it does not matter if the class is very small, provided clear preferential treatment for the local investor is established. The Tribunal in *Feldman v Mexico*⁴⁸⁹ found that there had been a breach of the standard, even where the evidence showed that there was only one local investor in the same business sector, since the record showed preferences accorded to the local investor that were not extended to the foreign investor.⁴⁹⁰

Nexus to rational government policies

- 7.295** If the application of the above elements points to a less favourable treatment in comparison with a local investor in like circumstances, the tribunal must still consider whether those differences can be justified by reference to rational government policies. In *Pope & Talbot*, the Tribunal said:

... as a first step, the treatment accorded a foreign owned investment protected by Article 1102(2) should be compared with that accorded domestic investments in the same business or economic sector. However, that first step is not the last one. Differences in treatment will presumptively violate Article 1102(2), unless they have a reasonable nexus to rational government policies that (1) do not distinguish, on their face or *de facto*, between foreign-owned and domestic companies, and (2) do not otherwise unduly undermine the investment liberalizing objectives of NAFTA.⁴⁹¹

- 7.296** This consideration was ultimately dispositive in *Pope & Talbot*. It also played a key role in a number of the other cases. In *UPS*, the tribunal found that the differential treatment meted out to Canada Post vis-à-vis courier companies could be explained as the pursuit of rational government policy. It did not discriminate between foreign and local investors. Rather, the distinctions reflected the special function and obligations of a universal postal service, as contrasted with courier companies generally. In particular, the selection of only Canada Post to receive government assistance for the delivery of Canadian publications to Canadian consumers reflected an important government policy of making such publications available on the widest possible basis.⁴⁹² In *Apotex*, the protection of public health justified the imposition

⁴⁸⁶ *Pope & Talbot* paras 30–104.

⁴⁸⁷ *Pope & Talbot* para 42.

⁴⁸⁸ *Pope & Talbot* para 72.

⁴⁸⁹ *Feldman v Mexico* (Award) ICSID Case No ARB(AF)/99/1, 7 ICSID Rep 318, IIC 157 (2002, Kerameus P, Gantz & Covarrubias Bravo (dissenting)) paras 165–88, finding undisturbed on application for judicial review to the Ontario Court: *Mexico v Feldman* 8 ICSID Rep 500, IIC 159 (Ontario Superior Court of Justice).

⁴⁹⁰ cf the curious refusal of the Tribunal in *Loewen* to entertain the national treatment claim on the basis that the only evidence of comparable treatment meted out to a local investor which had been adduced by the claimant related to the treatment accorded to the local opponent in the litigation in question: *Loewen Group Inc v United States of America* (Award) ICSID Case No ARB(AF)/98/3, 7 ICSID Rep 421, IIC 254 (NAFTA, 2003, Mason P, Mikva & Mustill) para 140.

⁴⁹¹ *Pope & Talbot* para 78.

⁴⁹² *UPS v Canada* paras 175–7.

of import checks on foreign manufactured drugs—applicable irrespective of whether the manufacturer was local or foreign.⁴⁹³

In the result, therefore, the majority of the jurisprudence to date on national treatment in investment treaties has preferred a relatively simple test of comparison with the most directly comparable local investor or investors in the same business sector. If a difference in treatment is detected through such a process, then the Tribunal will proceed to enquire whether the difference has a reasonable nexus to rational government policies, and is not discriminatory in its effect on foreign investors. **7.297**

D. Most-Favoured-Nation Treatment

General considerations

The majority of investment treaties contain, alongside the provision for national treatment, a general obligation on the part of each Contracting State not to afford treatment to the investors or investments of the other State less favourable than that accorded to those of third States.⁴⁹⁴ The obligation contained in such a clause is referred to as most-favoured-nation treatment ('MFN treatment'). **7.298**

In some cases, this clause is said to apply '[i]n all matters governed by this Agreement'.⁴⁹⁵ NAFTA adds that MFN treatment applies to 'the establishment, acquisition, expansion, management, conduct, operation, and sale or other disposition of investments.'⁴⁹⁶ MFN treatment may be specifically linked to only some of the obligations under the treaty. The clause may also contain a qualifying phrase, requiring that the investments be 'in like circumstances'. MFN clauses, particularly those in plurilateral free trade agreements, may also contain specified exceptions or non-conforming measures that are excluded from the operation of the clause.⁴⁹⁷ **7.299**

These variations in language may well affect the scope and interpretation of the clause. As with national treatment, there is a major distinction between those MFN clauses that impose obligations on the host State with regard to the establishment or admission of an investment (as in the case of NAFTA and subsequent free trade agreements on the North American model), and those that limit their operation to the protection of an investment duly admitted in accordance with host State law.⁴⁹⁸ **7.300**

The potential for such differences in approach being recognised, the diverse versions of the MFN clause nevertheless share some common properties or elements. These are rarely articulated in terms in the clause itself. Yet the States' invocation of most-favoured-nation language indicates a reference to the recognised meaning of the term in international law.⁴⁹⁹ **7.301**

⁴⁹³ *Apotex* para 8.56, applying *Pope & Talbot*.

⁴⁹⁴ eg UK model BIT, art 3(1) (Appendix 4 below).

⁴⁹⁵ Agreement on the Reciprocal Promotion and Protection of Investments (Argentina-Spain) (signed 3 October 1991) 1699 UNTS 187, art X(3)(a).

⁴⁹⁶ NAFTA, art 1103 (Appendix 1 below).

⁴⁹⁷ eg TPPA, art 9.11 (not yet in force) (Appendix 11).

⁴⁹⁸ Above paras 7.47 *et seq*.

⁴⁹⁹ VCLT, art 31(3)(c); ILC 'Fragmentation of International Law: Difficulties arising from the Diversification and Expansion of International Law: Report of the Study Group of the International Law Commission' (Koskenniemi, Chair) UN Doc A/CN.4/L.702, conclusion (20)(b).

7.302 MFN treatment shares with national treatment an impressive lineage in both trade and investment treaties.⁵⁰⁰ The general approach to the interpretation of such clauses has received considerable attention from international tribunals and, on two successive occasions, from the International Law Commission.⁵⁰¹ Although the work of the Commission has not resolved all issues of interpretation of the clause, its 1978 Draft Articles and Commentary and its recent 2015 Report nevertheless are of assistance in clarifying and narrowing the remaining areas of difficulty.

7.303 The claim to MFN treatment is based solely on an international obligation voluntarily undertaken by the granting State.⁵⁰² As the International Law Commission put it, this is to state no more than:

... the obvious rule that no State is entitled to most-favoured-nation treatment by another State unless that State has undertaken an international obligation to accord such treatment. The rule follows from the principle of the sovereignty of States and their liberty of action. This liberty includes the right of States to grant special favours to some States and not to be bound by customary law to extend the same favours to others. This right is not impaired by the general duty of non-discrimination. The general duty not to discriminate between States is not breached by treating another State, its nationals, ships, products, etc., in a particularly advantageous way. Other States do not have the right to challenge such behaviour and to demand for themselves, for their nationals, ships, products, etc., the same treatment as that granted by the State concerned to a particularly favoured State. Such a claim can rightfully be made only if it is proved that the State in question has undertaken an international obligation to accord to the claiming State the same treatment as that extended to the particularly favoured State or to its nationals, ships, products, etc.⁵⁰³

7.304 Such an international obligation is most commonly granted by treaty. It is the treaty containing the grant of MFN treatment that produces the legal effect giving rise to a claim, not any treaty with a third State to which reference may be made in determining the level of treatment to be accorded.⁵⁰⁴

7.305 The scope of operation of such a clause is determined by reference to the following elements of the legal test:

- (a) What acts of the State are capable of constituting *treatment*?
- (b) What is the relevant class of persons or things — the *comparator*—whose treatment is to be compared with the class of persons protected under the MFN clause?
- (c) The level of treatment accorded: is it less or no less favourable? These issues are the same, *mutatis mutandis*, as those that arise under the national treatment standard, to which reference may be made in their interpretation.⁵⁰⁵

⁵⁰⁰ See para 7.298 *et seq* above.

⁵⁰¹ ILC ‘The Most Favoured Nation Clause: Draft Articles with Commentary’ (Ushakov, Special Rapporteur) [1978] 2(2) YB ILC 8–73 (‘1978 ILC Draft Articles’ and ‘1978 ILC Commentary’); ILC, ‘Study Group on the Most-Favoured Nation clause: Final Report’ (McRae, Chair) (29 May 2015) UN Doc A/CN.4/L.852 (‘2015 ILC Report’).

⁵⁰² 1978 ILC Draft Articles, art 7.

⁵⁰³ 1978 ILC Commentary, 24.

⁵⁰⁴ 1978 ILC Draft Articles, art 8(1); *Anglo-Iranian Oil Co (United Kingdom v Iran)* (Preliminary Objections) [1952] ICJ Rep 93.

⁵⁰⁵ Above paras 7.293 *et seq*.

The MFN clause forms a central part of the matrix of protections commonly agreed between States under an investment treaty. Despite its importance as a conventional provision, the clause has to date played only a limited role in arbitral jurisprudence. Almost all of the cases have concerned the question whether, and if so to what extent, such a clause may apply in relation to the dispute resolution provisions of an investment treaty. This question will be addressed as a discrete issue below, in paragraphs 7.317–7.342. It is necessary first to elucidate further the three core aspects of the clause identified above. **7.306**

Treatment. The MFN clause concerns a comparison in the level of ‘treatment’ accorded by the host State to the beneficiaries of the clause as compared with those of the third State. Treatment is not defined. It may include treatment by any of the organs of government: whether by legislative measures; judicial decisions; or the conduct in fact of the executive. In each case, ‘[t]he mere fact of treatment is enough to set in motion the operation of the clause.’⁵⁰⁶ **7.307**

The assumption of a treaty obligation towards a third State is a sufficient but not a necessary manifestation of treatment. In Article X.7(4) of CETA, Canada and the European Union agree that ‘[s]ubstantive obligations in other international investment treaties and other trade agreements do not in themselves constitute “treatment”, and thus cannot give rise to a breach of this article, absent measures adopted by a Party pursuant to such obligations.’ This provision must be taken to be *lex specialis*. As a matter of general international law, a treaty obligation assumed towards a third State may constitute treatment for the purpose of the MFN clause.⁵⁰⁷ In the *Rights of Nationals of the USA in Morocco*,⁵⁰⁸ although the Court found that the more favourable rights accorded by Morocco to France and Great Britain had ceased to apply at the relevant time, the fact that the rights were enshrined in treaties with those States would otherwise have sufficed for the purpose of establishing ‘treatment’. **7.308**

In the field of investment law where most of the obligations of States have been assumed bilaterally, the inclusion of an MFN clause represents a potent ratchet by which obligations assumed or concessions made in negotiations may raise the stakes in the obligations of the host State under the BIT in question. For example, in *MTD v Chile*,⁵⁰⁹ the Malaysian investor was, through this route, able to rely upon the more specific provisions of the Croatian and Danish BITs with Chile in relation to the observance of foreign investment contracts and the obligation to grant the necessary permits. **7.309**

The comparator. The second requisite of the test is to establish the class of persons or things in respect of which the comparison of treatment is to be undertaken: the comparator. MFN clauses in investment treaties only rarely define all elements of the comparator expressly. Typically such clauses will identify the requisite connection with the third State *ratione personae*: requiring comparison with nationals or companies of the third State. But only exceptionally does the clause itself establish a connection *ratione materiae*. NAFTA does so when requiring that the treatment be accorded ‘in like circumstances.’⁵¹⁰ The inclusion of such **7.310**

⁵⁰⁶ 1978 ILC Commentary, 23.

⁵⁰⁷ *ibid.*

⁵⁰⁸ *Rights of Nationals of the United States of America in Morocco (France v United States of America)* (‘Morocco’) [1952] ICJ Rep 176, 190–7.

⁵⁰⁹ *MTD Equity Sdn Bhd v Chile* (Award) ICSID Case No ARB/01/7, 12 ICSID Rep 6, IIC 174 (2004, Rigo Sureda P, Lalonde & Oreamuno Blanco).

⁵¹⁰ NAFTA, art 1103(1).

express language helps to define the comparator. The same language is also used in the definition of national treatment in a number of investment treaties. Arbitral decisions interpreting the phrase in that context may well assist in ascertaining its meaning for the purpose of an MFN clause.⁵¹¹

7.311 Many treaties do not contain such qualifying language, yet the establishment of a qualifying class for purposes of comparison is inherent in the MFN test. As a recent UNCTAD Study put it, when such language is omitted ‘the Contracting Parties do not intend to dispense with the comparative context, as it would distort the entire sense and nature of the MFN treatment clause.’⁵¹² Such a class must be established with more specificity than simply ‘nationals or companies’ of the third State. The test presupposes that the activities engaged in by the comparator, and thus the effect of the host State’s treatment upon those activities, are comparable.

7.312 Reference to general international law confirms that the establishment of the comparator requires:

- (a) identity of subject matter between the rights protected by the clause and the rights compared;⁵¹³ and
- (b) that the persons or things protected by the clause belong to the same category of persons or things to those with which the comparison is made and are in the same relationship with the relevant State.⁵¹⁴

These two elements together form the *ejusdem generis* rule, which ‘is generally recognized and affirmed by the jurisprudence of international tribunals and national courts and by diplomatic practice.’⁵¹⁵

7.313 In order to establish identity of subject matter, the interpreter must first ascertain the boundaries of the subject matter of the rights protected by the MFN clause or implied from its subject matter.⁵¹⁶ It is the subject matter scope of the treaty containing the MFN clause that defines the outer boundaries of the operation of the clause. It is essential to ensure that the provisions relied upon as constituting the more favourable treatment are properly applicable and will not have the effect of fundamentally subverting the carefully negotiated balance of the investment treaty being applied.⁵¹⁷

7.314 The second element of the test deals with the category of persons or things being compared. In *Parkerings*,⁵¹⁸ the Tribunal applied the test developed in the national treatment context to hold not only that the comparator must be in the same economic and business sector as the claimant, but also that there is no justification for the difference in treatment between the two companies. In that case, the claimant alleged a failure to accord MFN treatment in the grant

⁵¹¹ Paras 7.298 *et seq* above; accord: ILC 2015 Report para 76.

⁵¹² UNCTAD, *Most-Favoured-Nation Treatment* UNCTAD/DIAE/IA/2010/1, 26.

⁵¹³ ILC 1978 Draft Articles, art 9; *Ambatielos (Greece v United Kingdom)* (Award) XII RIAA 83, 107.

⁵¹⁴ 1978 ILC Draft Articles, art 10.

⁵¹⁵ 1978 ILC Commentary, 27.

⁵¹⁶ 1978 ILC Draft Articles, art 9.

⁵¹⁷ *Accession Mezzanine Capital LP v Hungary* (Decision on Jurisdiction) ICSID Case No ARB/12/3, IIC 577 (2013, Rovine P, Lalonde & McRae) para 74, approving a statement to this effect in the first edition of this work.

⁵¹⁸ *Parkerings-Compagniet AS v Lithuania* (Award) ICSID Case No ARB/05/8, IIC 302 (2007, Lévy P, Lalonde & Lew) paras 371–5.

of licences to build parking garages. The Tribunal found that there were material differences between the two projects in terms of their planning implications that justified their different treatment.⁵¹⁹ The consequence was that the MFN clause was not engaged.

The level of treatment. The obligation to receive treatment no less favourable arises from the moment that the more favourable treatment is extended to the national of the third State⁵²⁰ and ceases when such treatment is terminated or suspended.⁵²¹ **7.315**

The purpose of the ‘no less favourable’ requirement is to ensure equality of competitive opportunities as between investors from foreign States investing in the host State.⁵²² As such its operation is closely linked to scope of the comparator, since equality of treatment has to be determined by reference to whether the two investments under comparison are *ejusdem generis*. **7.316**

Application to dispute settlement provisions

The issue that remains is whether and, if so, to what extent the scope of the dispute settlement provisions in an investment treaty (‘the basic treaty’) may be subject to variation if they can be said to provide treatment less favourable than that accorded under another investment treaty (‘the comparator treaty’) entered into between the host State and a third State. **7.317**

This question has provoked considerable controversy in both investment arbitral awards and doctrine.⁵²³ The present section will seek to demonstrate that the scope of the difference is narrower than the rhetoric of the debate would suggest and to set forth a framework for decision. The 2015 Final Report of a Study Group of the International Law Commission⁵²⁴ provides some further assistance with this task, though it does not finally resolve the issues. In order to understand the contours of this controversy, it is first necessary to outline its origins. **7.318**

In *Maffezini v Spain*,⁵²⁵ the investment treaty that Spain had concluded with Argentina contained a dispute settlement clause that permitted the submission of the dispute to international arbitration only if it had first been submitted to the courts of the host State and no decision had been rendered within eighteen months.⁵²⁶ Spain’s investment treaty with Chile, by contrast, merely contained a cooling off period of six months, with no requirement to resort to the host State courts. The claimant, an Argentinian national, had not complied with the requirement to resort to local courts. Instead, he invited the Tribunal to find that the specific provisions of the dispute resolution clause in the Argentina–Spain BIT did not constitute a bar to its jurisdiction in view of the more liberal provisions of the comparator Chile–Spain BIT. He alleged that he **7.319**

⁵¹⁹ *ibid* paras 376–430.

⁵²⁰ 1978 ILC Draft Articles, art 20.

⁵²¹ 1978 ILC Draft Articles, art 21; *Morocco* 190–7.

⁵²² 2015 ILC Report, para 75.

⁵²³ *cf* Z Douglas, ‘The MFN Clause in Investment Arbitration: Treaty Interpretation off the Rails’ (2011) 2 JIDS 97 and S Schill, ‘Allocating Adjudicatory Authority: Most-Favoured-Nation Clauses as a Basis of Jurisdiction—A Reply to Zachary Douglas’ (2011) 2 JIDS 353. On the possibility for a middle ground see: M Paparinskis, ‘MFN Clauses and International Dispute Settlement: Moving beyond *Maffezini* and *Plama*?’ (2011) 26 ICSID Review–FILJ 14; JA Maupin ‘Consistency in MFN-based Jurisdiction in Investor-State Arbitration: Is There Any Hope for a Consistent Approach?’ (2011) 14 JIEL 157.

⁵²⁴ 2015 ILC Report.

⁵²⁵ *Maffezini v Spain* (Decision on Jurisdiction) ICSID Case No ARB/97/7, 5 ICSID Rep 396, IIC 85 (2000, Orrego Vicuña P, Buergenthal & Wolf) paras 38–64.

⁵²⁶ Agreement on the Reciprocal Promotion and Protection of Investments (Argentina–Spain) (signed 3 October 1991, entered into force 28 September 1992) 1699 UNTS 188, art X(3)(a).

was entitled to avail himself of such treatment in view of the obligation assumed by Spain in the Argentina BIT to accord him treatment no less favourable than that of an investor from a third State.

- 7.320** The Tribunal observed that, as the investor could only derive its rights from the basic treaty, there was always a preliminary question as to whether the rights for which benefit was claimed by virtue of the MFN provision fell within the subject-matter scope of the basic treaty. The second question was an application of the *ejusdem generis* rule of construction. Did the dispute settlement provisions of the comparator treaty relate to the requirement of fair and equitable treatment to which the MFN clause applied?
- 7.321** The Tribunal considered that the protection of the rights of traders by means of dispute resolution clauses is a matter that falls within the protections afforded by treaties of commerce and navigation or investment treaties. Accordingly, Maffezini could take the benefit of the Chile–Spain BIT, and was not required to resort to the Spanish courts before invoking the jurisdiction of the arbitral tribunal. The Tribunal saw the only exceptions to the application of MFN clauses to the dispute settlement provisions of a BIT as being ones of public policy: where the parties to the basic treaty had required the exhaustion of local remedies; made the dispute settlement provisions the subject of an irrevocable fork in the road; or specified a particular arbitral forum which one of them then sought to change by invoking the MFN clause.⁵²⁷
- 7.322** This approach was rejected in *Salini Costruttori SpA v Jordan*,⁵²⁸ and, after a very full consideration, in *Plama Consortium Ltd v Bulgaria*.⁵²⁹ In *Plama*, the basic treaty, between Bulgaria and Cyprus, contained a provision for international arbitration in its dispute settlement clause, which was limited to determining the amount of compensation in a case of expropriation. The claimant sought to invoke ICSID arbitration by virtue of the more generous provisions for investor–State arbitration in other comparator treaties to which Bulgaria was a party, including, for example, that between Bulgaria and Finland. The Tribunal rejected that submission, and with it the reasoning in *Maffezini*.
- 7.323** The *Plama* Tribunal started with the proposition that all international arbitration must be based upon an agreement of the parties, which must be clear and unambiguous, even where reached by incorporation by reference.⁵³⁰ States could provide expressly that they intended the MFN clause to apply to dispute settlement (as was the case, for example, in the UK model form BIT).⁵³¹ But the fact that the MFN clause was expressed to apply ‘with respect to all matters’ dealt with by the basic treaty was not sufficient to alleviate the doubt as to whether the parties had really intended it to apply to the dispute settlement clause. Could it be said that the MFN clause operated so as to replace one means of dispute settlement with another? How was a tribunal to evaluate which method of dispute settlement was in fact more favourable to the investor?

⁵²⁷ *Maffezini* paras 62–3.

⁵²⁸ *Salini Costruttori SpA v Jordan* (Decision on Jurisdiction) ICSID Case No ARB/02/13, 14 ICSID Rep 306, IIC 207 (2004), Guillaume P, Cremades & Sinclair) paras 102–19.

⁵²⁹ *Plama Consortium Ltd v Bulgaria* (Decision on Jurisdiction) ICSID Case No ARB/03/24, 13 ICSID Rep 272, IIC 189 (2005, Salans P, van den Berg & Veeder) paras 183–227.

⁵³⁰ *ibid* paras 198–200.

⁵³¹ UK model BIT (Appendix 4 below) art 3(3).

The Tribunal then found that the three decisions relied upon in *Maffezini* were not authority for the proposition which it had enunciated.⁵³² In fact, in both the *Morocco* and *Anglo-Iranian* cases, the ICJ had rejected the application of the MFN clause to dispute resolution. In the former case, that rejection was because the comparator treaties relied upon had been terminated, and could not therefore be regarded as having been incorporated permanently by reference.⁵³³ In the latter case, the Court rejected the application of MFN to jurisdictional matters.⁵³⁴ In *Ambatielos*, the Arbitration Commission was concerned with the scope of the substantive protection from denial of justice, rather than with a jurisdictional provision in the basic treaty.

The Tribunal finally rejected the reasoning in *Maffezini*. It found that, so far from promoting the harmonization of dispute settlement provisions, the application of an MFN approach to dispute settlement would rather produce a ‘chaotic situation’.⁵³⁵ Moreover, the public policy exceptions outlined in *Maffezini* were not based on authority. Rather, they were in fact reasons that fundamentally undermined the rationale for the rule that the *Maffezini* Tribunal had endorsed.⁵³⁶ This analysis led the Tribunal to substitute instead a simple rule of construction to the effect that an MFN provision would not incorporate by reference dispute settlement provisions in another treaty unless the MFN provision in the basic treaty leaves no doubt that this was the intention of the Contracting Parties.⁵³⁷

This reasoned critique did not quiet the controversy. Over the last decade, arbitral tribunals have continued to divide on the issue. A number of subsequent decisions have followed *Maffezini*.⁵³⁸ Most (but not all)⁵³⁹ such cases have concerned a basic treaty containing the eighteen-month local court rule that was in issue in *Maffezini* itself.⁵⁴⁰

A number of other tribunals have, for various reasons, found that the arbitration clause in the principal investment treaty could not be extended by reference to the different provisions of dispute resolution clauses in other investment treaties through an application of the MFN provision.⁵⁴¹

⁵³² *Anglo-Iranian Oil Co (United Kingdom v Iran)* (Jurisdiction) [1952] ICJ Rep 93; *Morocco* [1953] ICJ Rep 10; (Award) (1956) XII RIAA 83, 107.

⁵³³ *Morocco* 196.

⁵³⁴ *Anglo-Iranian* 109.

⁵³⁵ *Plama* para 219.

⁵³⁶ *ibid* para 221.

⁵³⁷ *ibid* para 223.

⁵³⁸ eg *Siemens AG v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/02/8, 12 ICSID Rep 174, IIC 226 (2004, Rigo Sureda P, Bello Janeiro & Brower); *Suez Sociedad General de Aguas de Barcelona SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/03/17, IIC 236 (2006, Salacuse P, Kaufmann-Kohler & Nikken) para 66; *Impregilo SpA v Argentina* (Award) ICSID Case No ARB/07/17, IIC 498 (2011, Danelius P, Brower & Stern (dissenting)); *Hochtief AG v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/07/31, IIC 513 (2011, Lowe P, Brower & Thomas (dissenting)); *RosInvest Co UK Ltd v Russia* (Award on Jurisdiction) SCC Case No V079/2005, IIC 315 (SCC, 2007, Böckstiegel C, Berman & Steyn) para 128; *Teinver SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/09/1, IIC 570 (2012, Buergenthal P, Álvarez & Hossain (dissenting in part)) paras 168–72.

⁵³⁹ See notably *RosInvest* (Award on Jurisdiction).

⁵⁴⁰ The 2015 ILC Report para 124 notes that, of the eighteen cases so far where an MFN provision has been invoked successfully, twelve have related to the same provision obliging the claimant to submit a claim before the local courts and litigate for 18 months before invoking dispute settlement under the BIT.

⁵⁴¹ eg *Telenor Mobile Communications AS v Hungary* (Award) ICSID Case No ARB/04/15, IIC 248 (2006, Goode P, Allard & Marriott); *Wintershall Aktiengesellschaft v Argentina* (Award) ICSID Case No ARB/04/14, IIC 357 (2008, Nariman P, Bernardini & Torres Bernárdez), also citing with approval the first edition of this

- 7.328** The decision in *Maffezini* produced a further downstream effect in the practice of States. In the negotiations for CAFTA, the contracting States opposed the proposition that the scope of the dispute settlement provision in an investment treaty could be altered through the operation of an MFN clause. They included a footnote in the negotiating history of the Agreement recording that they ‘share the understanding and intent that this clause does not encompass international dispute resolution mechanisms such as those contained in Section C of this chapter, and therefore could not reasonably lead to a conclusion similar to that of the *Maffezini* case.’⁵⁴²
- 7.329** Subsequent free trade agreements have been even more explicit. Article 139(2) of the China–New Zealand Free Trade Agreement qualifies the MFN provision, adding that ‘[f]or greater certainty, the obligation in this article does not encompass a requirement to extend to investors of the other Party dispute resolution procedures other than those set out in this chapter.’⁵⁴³ Article 9.3 of the TPPA is to the same effect as is Article X.7(4) of CETA. These provisions deal with the matter expressly for the purpose of the particular treaties. They also provide some indication of a wider disquiet amongst States from many different regions of the world (capital exporting and capital importing) at the implications of the use by arbitral tribunals of an MFN clause to vary the scope of the dispute settlement provisions of the basic treaty. Against that background it is now possible to return to consider the basic approach to this question.
- 7.330** The starting point is the proper construction of the dispute settlement provision in the basic treaty itself. The jurisdiction of an investment arbitral tribunal depends upon the consent in writing of the parties.⁵⁴⁴ ‘Consent of the parties is’, as the Executive Directors of the World Bank put it in their Report on the ICSID Convention, ‘the cornerstone of the jurisdiction of the Centre.’⁵⁴⁵
- 7.331** The establishment of the mutual consent of both parties requires careful attention to the written instrument by which such consent is given: the arbitration agreement. The proper approach to the construction of an agreement to arbitrate in the investment context was authoritatively laid down at an early stage in the development of the jurisprudence in *Amco v Indonesia*:

[A] convention to arbitrate is not to be construed restrictively, nor, as a matter of fact, broadly or liberally. It is to be construed in a way which leads to find out and to respect the common will of the parties: such a method of interpretation is but the application of the fundamental principle *pacta sunt servanda*, a principle common indeed to all legal systems of internal law and to international law. Moreover—and this is again a general principle of law—any

work; *Berschader v Russia* (Award) SCC No 080/2004, IIC 314 (SCC, 2006, Sjövall C, Lebedev & Weiler (dissenting)); *ICS Inspection and Control Services Ltd v Argentina* (Decision on Jurisdiction) PCA Case No 2010-9, IIC 528 (2012, Dupuy P, Lalonde & Torres Bernárdez) para 282; *Daimler Financial Services AG v Argentina* (Award) ICSID Case No ARB/05/1, IIC 560 (2012, Dupuy P, Bello Janeiro & Brower) para 169–170; *Kiliç İnşaat İthalat İhracat Sanayi ve Ticaret Anonim Şirketi v Turkmenistan* (Award) ICISD Case No ARB/10/1, IIC 595 (2013, Rowley P, Sands & Park (dissenting)) para 7.3.9.

⁵⁴² Draft CAFTA dated 28 January 2004 <http://www.sice.oas.org/TPD/USA_CAFTA/Jan28draft/Chap10_e.pdf> (last accessed 18 April 2016), art 10.4(2).

⁵⁴³ New Zealand–China Free Trade Agreement (signed 7 April 2008, entered into force 1 October 2008) [2008] NZTS 19, art 139(2).

⁵⁴⁴ ICSID Convention, art 25(1).

⁵⁴⁵ ICSID, ‘Report of the Executive Directors on the Convention’ (1965) para 23.

convention, including conventions to arbitrate, should be construed in good faith, that is to say by taking into account the consequences of the commitments the parties may be considered as having reasonably and legitimately envisaged.⁵⁴⁶

The agreement to arbitrate is autonomous. It is separable from the substantive obligations to which it applies. This is a general principle of international arbitration law. As it was put in *Elf Aquitaine v NIOC*: **7.332**

The autonomy of the arbitration clause is a principle of international law that has been consistently applied in decisions rendered in international arbitrations, in the writings of the most qualified publicists on international arbitration, in arbitration regulations adopted by international organizations and in treaties.⁵⁴⁷

This principle is not limited to commercial arbitration. It applies also to investment arbitration.⁵⁴⁸

It is also a basic principle of international law that the existence and application of a substantive obligation is a separate question to the conferral of jurisdiction upon an international tribunal.⁵⁴⁹ Whatever the source or nature of the substantive obligation, 'jurisdiction always depends upon consent.'⁵⁵⁰ **7.333**

The consent of the parties to arbitrate is contained in the dispute resolution clause in the basic treaty. It is by means of that arbitration agreement that the parties confer jurisdiction upon the tribunal. **7.334**

The parties may expressly incorporate into that agreement other provisions by reference, provided that the reference is such as to make the other clause part of the arbitration agreement.⁵⁵¹ Thus an arbitration agreement in a comparator treaty may be applied to the basic treaty by means of a provision that expressly so states. An example of this approach is art 3(3) of the UK model BIT.⁵⁵² **7.335**

In the absence of such an express incorporation, the tribunal must proceed to determine its jurisdiction by reference to the scope and application of the arbitration agreement pursuant to which it has been constituted. Where the arbitration agreement refers to a dispute arising 'under the Agreement', it will be called upon to refer to that investment treaty for the purpose of determining the scope *ratione personae*, *ratione materiae* and *ratione temporis* of the **7.336**

⁵⁴⁶ *Amco Asia Corp v Indonesia* (Decision on Jurisdiction) ICSID Case No ARB/81/1, 1 ICSID Rep 389 (1983, Goldman P, Foighel & Rubin) para 14.

⁵⁴⁷ *Elf Aquitaine Iran v National Iranian Oil Co* (Preliminary Award) XI YB Comm Arb 97 (14 January 1982) para 256; see also *TOPCO v Libya* (1975) 55 ILR 354, 407–12, paras 16–8; S Schwebel, *International Arbitration: Three Salient Problems* (1987) part I.

⁵⁴⁸ Schreuer 260, para 25.622; *Duke Energy International Peru Investments No 1 Ltd v Peru* (Decision on Annulment) ICSID Case No ARB/03/28, IIC 483 (2011, McLachlan P, Hascher & Tomka) para 131.

⁵⁴⁹ *East Timor (Portugal v Australia)* [1995] ICJ Rep 90.

⁵⁵⁰ *Armed Activities on the Territory of the Congo (New Application: 2002) (Democratic Republic of the Congo v Rwanda)* (Decision on Jurisdiction and Admissibility) [2006] ICJ Rep 6, 52, para 125.

⁵⁵¹ UNCITRAL Model Law on International Commercial Arbitration, art 7(6) (Option 1).

⁵⁵² Appendix 4 below. In *Garanti Koza LLP v Turkmenistan* (Decision on Jurisdiction) ICSID Case No ARB/11/20, IIC 601 (2013, Townsend P, Lambrou & Boisson de Chazournes (dissenting)), the basic treaty contained a consent to arbitration with the possibility of ICSID arbitration by agreement, failing which ad hoc arbitration would apply. The Tribunal invoked art 3(3) to enable the claimant to take advantage of the provisions of a comparator treaty referring to ICSID arbitration as the default dispute mechanism.

consent to arbitrate. These provisions form the outer boundaries of the jurisdiction of the tribunal.

- 7.337** A person that does not meet the criteria under the BIT to be an investor cannot become an investor by invoking an MFN provision.⁵⁵³ The same is true for the scope of investments covered by the treaty *ratione materiae*.⁵⁵⁴ Nor can reference to the MFN provision change the application of the basic treaty *ratione temporis*, such that it would be capable of conferring rights in respect of State conduct producing effects prior to the entry into force of the treaty.⁵⁵⁵ In each case, it is the basic treaty alone that establishes the scope of the parties' consent to jurisdiction.
- 7.338** The balance struck by the State Parties to an investment treaty in giving their consent to particular dispute settlement options is often the subject of careful negotiation between the State parties, selecting from a range of different techniques. Absent express provision, it is not to be presumed that this can be disrupted by an investor selecting at will from an assorted menu of other options provided in other treaties, negotiated with other State parties and in other circumstances. It is in any event not possible to imply a hierarchy of favour to dispute settlement provisions. The clauses themselves do not do this and it would be invidious for international tribunals to be finding (in the absence of specific evidence) that host State adjudication of treaty rights was necessarily inferior to international arbitration. The same point could be made with even more force in the case of a comparison between ICSID and other forms of arbitration that the State parties may have specified in particular investment treaties.⁵⁵⁶
- 7.339** The conclusion is that reference to obligations to other states by means of an MFN clause cannot be used (in the absence of express words of incorporation by reference to the arbitration agreement) to enlarge the jurisdiction of the tribunal from that agreed between the State Parties to the basic treaty. Such an enlargement was contended for in *Plama* and rejected by the Tribunal.⁵⁵⁷
- 7.340** This leaves an additional question. Where the tribunal has jurisdiction under the basic treaty, may it apply the MFN clause to provide more favourable treatment to the investor in respect of the procedural conditions pursuant to which that jurisdiction may be exercised? This kind of potential engagement of the MFN clause to the dispute resolution provisions of an investment treaty is materially different from its effect on the jurisdiction of the tribunal.

⁵⁵³ *HICEE BV v Slovakia* (Partial Award) PCA Case No 2009-11, IIC 514 (2011, Berman P, Brower & Tomka) para 149; 2015 ILC Report 2015 paras 105 & 166.

⁵⁵⁴ *Técnicas Medioambientales Tecmed SA v Mexico* (Award) ICSID Case No ARB(AF)/00/2, 10 ICSID Rep 134, IIC 247 (ICSID(AF), 2003, Grigera Naón P, Bernal Verea & Fernández Rozas) para 69.

⁵⁵⁵ *Société Générale v Dominican Republic* (Decision on Jurisdiction) LCIA Case No UN 7927, IIC 366 (2008, Orrego Vicuña P, Bishop & Cremades) para 41.

⁵⁵⁶ The position is different where the States have expressly agreed to apply MFN to the dispute settlement clause, as in art 3(3) of the UK model BIT: *Garanti Koza*.

⁵⁵⁷ A similar result (though in each case on different grounds) is reached in three cases construing the effect of an MFN clause on a dispute settlement clause that is expressly limited *ratione materiae* to disputes as to the amount of compensation for expropriation: *Berschader v Russia* (Award); *Renta 4 SVSA v Russia* (Award on Preliminary Objections) SCC No 24/2007, IIC 369 (2009, Paulsson C, Landau & Brower (dissenting)) (operation of MFN clause excluded because expressly limited to FET obligation) and *Austrian Airlines v Slovakia* (Award) IIC 434 (UNCITRAL, 2009, Kaufman-Kohler C, Trapp & Brower (dissenting)) (specific limitation in dispute settlement clause overrides general MFN clause). Contra: *RosInvest Co UK Ltd v Russia* (Award on Jurisdiction) SCC No V 079/2005, IIC 315 (2007, Böckstiegel C, Berman & Steyn).

A number of the arguments of principle that compellingly support the proposition that an MFN clause may not be used to enlarge the jurisdiction of the tribunal do not necessarily apply where the clause is invoked in relation to issues of procedural treatment that do not call into question the tribunal's jurisdiction.

Maffezini and the majority of cases that have followed its approach have concerned the eighteen-month local court resort clause contained in investment treaties concluded by Argentina. A preliminary question in such cases that distinguishes them from the argument raised in *Plama* is the proper characterisation and application of such a clause. There is a substantial body of authority for the proposition that such a clause is an integral part of the conferral of jurisdiction upon the tribunal pursuant to the agreement to arbitrate. This is a view that has been taken by a number of tribunals considering this issue⁵⁵⁸ and accords with the approach taken by the International Court in the construction of consent to its own jurisdiction.⁵⁵⁹ The alternative view, which has also subsequently secured high authority, is that the eighteen-month rule is a procedural pre-condition that is not jurisdictional.⁵⁶⁰ In any event, the express requirement of this clause of submission to a 'court of competent jurisdiction' calls for close attention to the evidence as to whether such a court was indeed available for the resolution of the dispute. The local court must have jurisdiction *ratione personae*, *materiae* and *temporis* to adjudicate the claimant's claim and be reasonably available to do so within the prescribed time. If that were not the case, the conditions inherent in the clause could not operate to preclude earlier submission to arbitration.⁵⁶¹ It is therefore important not to overstate the wider significance of a body of case law provoked by a clause that may not in fact have been properly engaged in the proceedings in which it was invoked or whose application to the fundamental issue of jurisdiction is contestable. **7.341**

Provided the tribunal is properly endowed with the jurisdiction according to the scope of the arbitration agreement in the basic treaty, construed according to its parameters, it may be possible for the claimant to invoke the MFN clause in order to invoke procedural advantages accorded to more favoured investors by reference to other treaties, unless the parties have expressly excluded the MFN clause altogether from applying to the dispute resolution provisions. **7.342**

3. An Approach to the Determination of Contested Rights

In the light of the foregoing review of both the basis and character of treatment obligations in Section 1 of this chapter, and the consideration of the modern application of the rights in investment arbitral awards in Section 2, it is now possible to summarise the results of the enquiry. It is important to be clear about the function of the conclusions set out below. They are not intended to form a prescriptive set of rules. One must bear in mind that States have designedly chosen to use open-textured language in their treaty confirmations of investor protection. It may be easier to reach agreement on general language. Particular prescriptions may only serve to expose differences between the parties and their legal systems, rather **7.343**

⁵⁵⁸ *Wintershall Aktiengesellschaft* para 143; *ICS Inspection and Control Services Ltd* para 362.

⁵⁵⁹ *Armed Activities on the Territory of the Congo (New Application: 2002)* para 88.

⁵⁶⁰ *BG Group plc v Argentina* 134 S Ct 1198 (2014).

⁵⁶¹ *Urbaser SA v Argentina* (Decision on Jurisdiction) ICSID Case No ARB/07/26 (2012, Bucher P, Martinez-Fraga & McLachlan).

than to cement their commonality. The sensitivity over attempts to codify primary rules of custom regarding the treatment of aliens within the International Law Commission bears witness to this. Moreover, undue particularity may operate as a straitjacket, unnecessarily limiting the ability of the treaty guarantees to respond to the wide variety of fact patterns that may present themselves for review.

7.344 This is not to say that no guidance can usefully be given. The standards are, after all, as a number of tribunals have emphasised, *legal* standards. They are not a warrant for unlimited arbitral discretion. It is a hallmark of legal reasoning in many legal systems that one must work with very general concepts (for example reasonableness, good faith, and legitimate expectation) and apply them to solve many different problems. In international law this is especially common. But it does not make such concepts any the less law than a tax statute. Rather, the use of very general concepts underlines a more general observation—that their interpretation forms part of a process of legal reasoning. The most important guidance that may be given in this area is to indicate an integrated approach, which may usefully be followed in the determination of particular disputes. These insights are grouped into three sections: first, some observations on the function of investor treatment obligations generally; secondly, an analysis of the central role of the non-contingent obligations; and finally, the continuing place of the contingent obligations.

A. General

7.345 The standards set for investor treatment in investment treaties exist on the plane of international law. Their content is therefore determined by international law, and not by the national legal systems of either the host State or any other State. This has the consequence that:

- (1) a breach of host State law will not necessarily give rise to a breach of the international law standard; and, conversely,
- (2) the fact that the conduct is legal according to the law of the host State will not necessarily mean that it conforms to the international standard.

7.346 Since the standards are found in treaties, they must be interpreted according to the regime of interpretation provided for by arts 31 and 32 of the VCLT. Such a process of interpretation cannot stop at the four corners of the treaty itself. In particular:

- (1) The object and purpose of investment treaties, being the intensification of the States' economic relations, calls for a balanced approach which does not overemphasise investor protection at the risk of discouraging host States from the admission of foreign investments.
- (2) Subject to the next paragraph, art 31(3)(c) mandates consideration of the meaning of the key operative phrases in investment treaties against the background of the broader development of these terms in international law generally.

7.347 The fact that the rights of investors created by investment treaties are direct and not derivative of the States' rights has the consequence that their enjoyment should not be circumscribed by limitations necessarily imposed upon the determination and pursuit of an international delict between States arising under the customary international law of diplomatic protection and State responsibility.

7.348 The rights must be construed consistently. The protections that they afford may be cumulative. But each must be given an independent meaning and distinctive role within the overall scheme.

B. Non-Contingent Standards

The key terms 'fair and equitable treatment' and 'full protection and security' are expressive of 'general principles of law common to civilized nations', within the meaning of art 38(1) (c) of the Statute of the International Court of Justice. Their acceptance in the model form BITs of many States serves to underline the extent of acceptance. These factors may also tend to support the existence of the obligation in customary international law,⁵⁶² although it may be more difficult to establish a binding obligation outside the treaty framework. **7.349**

Conceived as general principles of law, the content of the non-contingent obligations must: **7.350**

- (1) reflect a sufficient degree of commonality as between civilized nations to justify application; and
- (2) be capable of evolution over time to reflect a changing consensus on expected standards.

Fair and equitable treatment

Fair and equitable treatment is the functional equivalent in contemporary treaty law of the minimum standard of treatment at international law as applied to investments, since it affords a basis by which international law judges the adequacy of treatment meted out to a foreign investor by the judicial and administrative agencies of the host State. It reflects treatment that all civilized nations should accord to their citizens as well as to aliens. The application of the standard in investment treaties ensures that the foreign investor receives a protection which domestic administrative law might otherwise only vouchsafe to nationals. **7.351**

As an international law standard derived from general principles of law common to civilized nations, the standard must recognise and accept a great divergency in legal and administrative systems in different countries.⁵⁶³ **7.352**

The starting-point is always that a foreign investor enters a host State voluntarily, and must take its law as he finds it. Further (absent specific agreement to the contrary) it is for the host State's own law to define the basis for the investor's establishment, and the nature of any property rights which he may acquire. **7.353**

The standard is of its nature a broad one, and is not to be cut down or over-refined, as this would undermine its safety-valve function as a minimum standard.⁵⁶⁴ However, greater guidance can be given to its content through *developments* in the general principles of law common to civilised nations, which are capable of evolution.⁵⁶⁵ In particular, the minimum standards of treatment found in international human rights law relating to fair trial, the due process of law,⁵⁶⁶ and protection from non-discrimination⁵⁶⁷ constitute a source by which the general test of fair treatment may be given more specificity. **7.354**

⁵⁶² *Mondev International Ltd v United States of America* (Award) ICSID Case No ARB(AF)/99/2, 6 ICSID Rep 181, IIC 173 (NAFTA/ICSID (AF), 2002, Stephen P. Crawford & Schwebel) para 111.

⁵⁶³ eg Revised Harvard Draft (1961) 55 AJIL 545, 551 art 8(b).

⁵⁶⁴ Brownlie 614.

⁵⁶⁵ *Mondev* paras 112–25.

⁵⁶⁶ Universal Declaration of Human Rights (10 December 1948) UNGA Res A/811 arts 8 & 10; Convention for the Protection of Human Rights and Fundamental Freedoms (signed 4 November 1950, entered into force 3 September 1953) 213 UNTS 222 ('European Convention on Human Rights') art 6(1).

⁵⁶⁷ Universal Declaration art 7; International Covenant on Civil and Political Rights (signed 19 December 1966, entered into force 23 March 1976) 999 UNTS 171 art 26.

- 7.355** The standard is primarily concerned with the *process* of decision-making as it affects the rights of the investor, rather than with the protection of substantive rights (the latter being the function of the protection against expropriation and the guarantee of full protection and security). The concept of 'fair treatment' is concerned with the protection of fundamental rule of law values in decision-making by the organs of the State: predictability, accessibility, impartiality, and natural justice,⁵⁶⁸ as contrasted with arbitrary action.⁵⁶⁹
- 7.356** When applied to the *judicial* function of the host State, the standard provides a protection against denials of justice, being a failure to accord due process to the investor. This protection is concerned with the procedures applied by the host State court, and not with the substantive outcome under host State law. To constitute an international wrong sufficient to attract the protection of the treaty standard, the denial of justice must constitute a serious systemic breakdown in the host State's adjudicatory process.
- 7.357** When applied to the *legislative* function, the standard provides a measure of regulatory stability for the investor, especially where the State has accorded him specific assurances as to the regulatory framework on the basis of which it induced him to invest; where the impugned measures operate in an arbitrary or discriminatory fashion or where they virtually eliminate the reasonably anticipated value of the investment. In assessing legislative measures, the tribunal must weigh the effect on the investor with the host State's ability to amend its regulatory framework over time in the public interest.
- 7.358** When applied to the *executive* function, tribunals have been primarily concerned with:
- (1) The protection of legitimate expectations;
 - (2) The application of a fair decision-making process;
 - (3) Substantive unfairness, such as discrimination, arbitrary conduct, harassment, and bad faith.⁵⁷⁰
- 7.359** The enquiry into legitimate expectations is itself concerned with process. It is concerned with ensuring consistency of treatment of an investor by the State. It starts from the proposition that the investor must take host State law as he finds it. The tribunal will attach more weight to specific representations made to a particular investor than to general policy statements. It will be concerned to leave a legitimate scope for regulatory flexibility.
- 7.360** Countervailing factors which may suggest that the standard has not been breached include: the existence of an objective basis for the State agency's decision; the lack of a disproportionate impact on the foreign investor as compared with other investors in the same industry; the fact that the right on which the investor relies is not found in either host State law or in international law; and failings in the investor's own conduct, including its failure to investigate properly the State's regulatory requirements.

⁵⁶⁸ See the general discussion in B Kingsbury et al (eds), 'Foreword: Global Governance as Administration—National and Transnational Approaches to Global Administrative Law' (2005) 68 Law & Cont Prob 1; D Dyzenhaus, 'The Rule of (Administrative) Law in International Law' (2005) 68 Law & Cont Prob 127.

⁵⁶⁹ *Asylum Case (Colombia v Peru)* [1950] ICJ Rep 266, 284, applied in *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* [1989] ICJ Rep 15, 76, para 128.

⁵⁷⁰ cf similar factors in international trade law: WTO, *United States—Import Prohibition of Certain Shrimp and Shrimp Products—Report of the Appellate Body* (12 October 1998) WT/DS58/AB/R para 147; as to which see S Cassese, 'Global Standards for National Administrative Procedure' (2005) 68 Law & Cont Prob 109.

The concept of 'equitable treatment' adds an additional element to that of fair treatment. **7.361**
Equitable treatment:

- (1) Acts as a link with the protections of national and MFN treatment by ensuring that the national of the reciprocating State receives at least the equivalent treatment, cumulatively, to those in substantially the same position and who are nationals:
 - (a) of the host State; or
 - (b) of another State with whom the host State has entered into bilateral treaty relations, and reinforcing the protection against discrimination, whether on grounds of nationality, or on any other grounds.
- (2) Tempers the application of the standard by enabling the tribunal to do equity to the State as well as the foreign investor, by giving due weight to the proper public purposes which the host State may wish to protect in determining whether the standard has been breached. The analogy here is with the concept of proportionality as it has been developed in administrative law and in the application of human rights standards—as a means of balancing the private right against the State's determination of the public good. This enables the tribunal to make a determination of whether or not the impugned decision pursues some legitimate end, which might be balanced against the effect on the investor.

Full protection and security

The guarantee of full protection and security is concerned with the *substantive* protection afforded to the investor's property by the host State from damage caused to it either by host State officials, or by others acting within the host State's jurisdiction. **7.362**

It does not operate as an indemnity for any damage caused to the investor's property within the host State, or create a test of strict liability. Rather the enquiry is as to whether the State utilised its police powers with due diligence. It will be particularly applicable in cases of civil strife or acts of violence. Where the damage to the investment was caused by third parties rather than by State officials, the enquiry will be as to whether the State acted unreasonably in either failing to prevent the damage, or failing to take subsequent steps to prevent continuing damage or to sanction the offenders. **7.363**

C. Contingent Standards

By contrast with the non-contingent standards, the contingent standards of national treatment and MFN treatment have never been regarded as forming part of customary international law, and only arise as a result of a treaty obligation voluntarily assumed. Nevertheless, the very wide use of these concepts in investment treaties has the consequence that there is a substantial common understanding as to their meaning. **7.364**

The standards operate independently from the non-contingent standards: **7.365**

- (1) The fact that a foreign investor is treated as well as a local one will not necessarily mean that the foreigner has received fair and equitable treatment or full protection and security.
- (2) Conversely, the conditions provided for local investors (or for those from MFNs) may exceed the standards required by fair and equitable treatment, in which case the investor is entitled to take the benefit of the higher standard.

- (3) The same conduct may nevertheless give rise to a breach of both standards, since one concern of fair and equitable treatment is discrimination and the lack of even-handedness.
- (4) Nevertheless, the province of fair and equitable treatment is principally procedural, whereas the contingent standards are also concerned with substantive treatment.

7.366 The principal analytical tasks in the application of the contingent standards are:

- (1) The establishment of the appropriate comparator, being the relevant business or economic sector.
- (2) If the measure does in fact result in a difference of treatment as between the protected investor and the like treatment accorded to the comparable group:
 - (a) Does the measure have a reasonable connection to a rational policy of the host State?
 - (b) Does it, either expressly or in fact, discriminate against the foreign investor?

7.367 The application of MFN protection will not be justified where it subverts the balance of rights and obligations that the parties have carefully negotiated in their investment treaty. In particular, it will not apply to enlarge the parameters of the jurisdiction of an international arbitral tribunal, unless the parties expressly so provide.